



Annual Financial Statements 2025



Healthcare. We Care.

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Certificate of the Company Secretary

In my capacity as the Company Secretary & Group Governance Officer, I hereby confirm, in terms of the Companies Act, that for the year ended 30 June 2025, the Company has lodged with the Companies and Intellectual Property Commission all such returns as are required of a public company in terms of this Act, and that all such returns are, to the best of my knowledge and belief, true, correct and up to date.

Raeesa Khan

Group Company Secretary
Johannesburg

2 October 2025

Responsibility statement

In terms of Section 3.84(k) of the JSE Limited Listings Requirements, the directors, whose names are stated below, hereby confirm that:

- the Annual Financial Statements set out on pages 13 to 120 fairly present, in all material respects, the financial position, financial performance and cash flows of the issuer in terms of International Financial Reporting Standards ("IFRS") Accounting Standards;
- no facts have been omitted or untrue statements made that would make the Annual Financial Statements false or misleading;
- internal financial controls have been put in place to ensure that material information relating to the issuer and its consolidated subsidiaries have been provided to effectively prepare the financial statements of the issuer;
- the internal financial controls are adequate and effective and can be relied upon in compiling the Annual Financial Statements, having fulfilled our role and function within the combined assurance model pursuant to principle 15 of the King Code; and
- we are not aware of any fraud involving directors.

Where we are not satisfied, we have disclosed to the Audit & Risk Committee and the auditors the deficiencies in design and operational effectiveness of the internal financial controls and any fraud that involves directors, and have taken the necessary remedial action.

Stephen Saad

Group Chief Executive

Sean Capazorio

Group Chief
Financial Officer

Audit & Risk Committee Report

The full mandate, role and responsibilities of the Audit & Risk Committee in terms of its terms of reference have been detailed on the Corporate Governance page online at www.aspenpharma.com.

The table below reflects a summary of the activities undertaken by the Audit & Risk Committee during the year under review, its terms of reference and work done in support of the Board, with the resulting material outcomes from these activities.

RESPONSIBILITY	ACTIVITIES
Engagement with the Group's external auditor	- Ernst & Young Inc. ("EY") recommended for reappointment as auditor, and Ziningi B Khoza as the designated auditor; - The Committee was satisfied with the capacity and independence of EY and the designated auditor; - Oversaw that there were no scope limitations in respect of audit work performed by EY and that there were no factors that impacted the independence of EY as the external auditors; - Approved the auditor's terms of engagement and the fees to be paid to the auditor - Ensured that the appointment of the auditor complies with the Companies Act, the applicable JSE Listings Requirements, and any other legislation relating to the appointment of the auditor; - Determined the nature and extent of any non-audit services that the auditor may provide to the Group (during the year, R0,9 million (2024: R0,9 million) was paid to EY in respect of the provision of non-audit services, which is approximately 1% of the external audit fee paid for the year); - Pre-approved any proposed agreement with the auditor for the provision of non-audit services to the Group, which are of a material nature as provided for in the Group's non-audit services policy; - Concurred on any proposed agreement with the auditor for the provision of non-audit services insofar as the auditor's self-assessment of self-review, self-interest, advocacy, intimation, familiarity and acting as management threats; - The Chair held two separately scheduled meetings with EY (without presence of management) as per the Committee's work plan; and - Considered the most recent JSE Accreditation pack, including the 2024 reports and letters issued by the Independent Regulatory Board of Auditors ("IRBA") of South Africa, a summary of the firm's monitoring processes and outcome of any legal or disciplinary proceedings which may have been instituted against the firm or designated auditor by the IRBA and satisfied itself that there were no areas of concern in respect of the reports, letters and summaries considered.
Compliance with Companies Act requirements	- This report is in compliance with section 94(7)(f) of the Companies Act. The full mandate, roles and responsibilities of the Committee, as per its formally adopted terms of reference, may be accessed online at: https://www.aspenpharma.com/corporate-governance/ - No concerns or complaints relating to the accounting practices and internal audit of the Company and the Group, the content or auditing of the Annual Financial Statements, the internal financial controls of the Company and the Group or any related matter; and - Reported to the Board on matters concerning the Company and the Group's accounting policies, financial controls, records and reporting.
Internal financial controls, internal audit and combined assurance	- Following a formal review of the design, implementation, and effectiveness of the Group's internal financial controls, conducted by Group Internal Audit and supported by approved outsourced providers, the Committee, after also considering input from management and discussions with the external auditor, confirmed that no material breakdowns in these controls occurred during the 2025 financial year; - Confirmed that the results of the audit tests conducted indicate that the internal financial controls provide a sound basis for the preparation of financial statements; - Considered and confirmed its satisfaction with the effectiveness, competency, capacity and independence of the Internal Audit function, as well as the expertise and experience of the Group Executive: Internal Audit; and - Oversight of a comprehensive combined assurance model was applied to the Group's key risks to provide a coordinated approach to all assurance activities, and confirmed that there were no significant areas of overlap or assurance gaps and the levels of assurance were considered appropriate.

Audit & Risk Committee Report continued

ACTIVITIES	OUTCOME
Oversight of risk governance and risk management	- Monitored the implementation of the Group Risk Policy and Group Risk Plan as approved by the Board; - Reviewed and considered the activities and reports of the Group Executive Risk Forum and Tax Committee; reviewed and considered business unit risk reports presented to the Committee; - Reviewed and considered the report by Internal Audit on the integrity and robustness of the Group's risk management processes; - Reviewed and recommended for approval the Group's risk appetite framework; - Reviewed and considered the status of financial, information technology and cybersecurity measures and internal controls for the year under review, as reported on by the Group's internal and external auditors; - Reviewed and approved the adequacy of the Group's insurance cover; - Considered financial-related tip-off reports and management actions to address these; and - Confirmed its satisfaction with the status and effectiveness of risk governance in the Group and the adequacy of mitigation plans for material risks, recommending this as such to the Board.
Integrated reporting	Will review the Group's Integrated Report and the sustainability information as disclosed therein to evaluate the integrity of reported information and for consistency with the Annual Financial Statements, prior to its release in due course.
Assurance in respect of financial expertise of the Financial Director and Finance function	- Considered and concluded on the adequacy of the expertise and experience of the: - Group Chief Financial Officer, who performs the duties of the Company's Finance Director; and - Group's Finance function and the senior members of management responsible for the Group's Finance function.
Information & Technology ("I&T") Governance	- Oversight of the Group's maturity in respect of I&T governance, considering reports from the Group Digital Technology function and assurance as provided by the Internal Audit function in accordance with the approved internal audit plan; - Approved the Group's Information Security Policy for implementation; - Evaluated the Group's I&T governance framework to better, direct and monitor Aspen's I&T assets, as well as to align I&T services with the Group's current and future business needs; and - Monitored the programme to mitigate infrastructure technology and cybersecurity risks and maturity being coordinated centrally, and maintained oversight of the mitigation plans introduced to address the risk of material operational and disruptive incidents.

COMMITTEE MEMBERS AND ATTENDANCE AT MEETINGS

The following table of attendance at Audit & Risk Committee meetings reflects the Committee's meetings held during the year and the attendance of these meetings by its members during the year:

	19 August 2024	22 August 2024	28 August 2024	1 October 2024	17 October 2024	3 December 2024	25 February 2025	25 June 2025
Ben Kruger (Chair)	√	√	√	√	√	√	√	√
Linda de Beer	√	√	√	√	√	√	√	√
Neo Dongwana	√	√	√	√	√	√	√	√
Yvonne Muthien	√	√	√	√	√	√	√	√

The overall average attendance for the Audit & Risk Committee meetings held during the year was 100%.

ANNUAL FINANCIAL STATEMENTS FOR THE 2025 FINANCIAL YEAR

The Committee has reviewed the Annual Financial Statements as well as provisional results announcements and interim financial information of the Company and the Group for the year under review and has been assured by the external auditors that they comply with IFRS.

INTERNAL CONTROLS CONFIRMATION

This section requires a statement by the Group Chief Executive and Group Chief Financial Officer (in his capacity as Financial Director of the Company), confirming that internal financial controls are in place to ensure that material information has been provided to effectively prepare the financial statements. Furthermore, confirmation is to be given that the internal financial controls are adequate, effective, and can be relied upon in compiling the Annual Financial Statements, and if not, that the deficiencies in the design and operational effectiveness of the internal financial controls have been disclosed to the Committee and the external auditors, and that the necessary remedial action has been taken.

The Group undertakes a rigorous self-assessment process with the scope including all subsidiaries. The self-assessment includes financial and disclosure controls, internal financial and operating controls, business performance-related representations and a detailed fraud assessment review. The self-assessment review is formally signed off by the financial head of each subsidiary and reviewed and approved by the Group finance team. The positive assurance outcome provided strong support for meeting the requirements of section 3.84(k) of the JSE Listings Requirements.

Based on the representations made by Group Internal Audit, Group Risk Management, the Group Chief Executive and the Group Chief Financial Officer, as well as the other related processes mentioned, the Committee is satisfied that the internal financial controls in place for the Group were adequate and effective during the period under review.

KEY AUDIT MATTERS

The following key audit matter was considered by the Audit & Risk Committee in relation to these Annual Financial Statements:

MATTER	OUTCOME
Valuation of intangible assets and impairment of goodwill	The Audit & Risk Committee interrogated all material elements supporting the valuation and measurement of goodwill and indefinite life intangible assets, which included stress testing the process and key assumptions underpinning the valuations. The process of reviewing the classification of intangible assets and the criteria for determining whether these assets met the definition of indefinite life intangible assets was extensively reviewed and the Committee was satisfied that the classification and valuation of indefinite life intangible assets was materially correct and fairly presented. Rigorous impairment testing of intangible asset values was once again performed resulting in an impairment of R5,3 billion, offset by impairment reversals of R1,2 billion.

MATERIALITY CONSIDERATION

Overall, Group external audit materiality was set at R265 million for the year, compared to R348 million last year.

GOING CONCERN

The Committee has, for the year under review, considered the documented assessment by management of the going concern premise of the Group and has, following this consideration and the combined assurance obtained, recommended to the Board that the Group is a going concern and will remain so for the foreseeable future.

RECOMMENDATION OF THE ANNUAL FINANCIAL STATEMENTS FOR APPROVAL BY THE BOARD

At its meeting held on 1 October 2025, the Audit & Risk Committee reviewed and recommended the Annual Financial Statements for approval by the Board of Directors.

The Audit & Risk Committee is satisfied that, for the year under review, it has complied with its statutory responsibilities and the responsibilities assigned to it by the Board.

Ben Kruger CA(SA)

Audit & Risk Committee Chair

Statement of responsibility by the Board of Directors

The Board of Directors ("Board") is responsible for the preparation, integrity and fair presentation of the Annual Financial Statements for the year ended 30 June 2025 ("Annual Financial Statements") of Aspen Pharmacare Holdings Limited ("the Company") and its subsidiaries (collectively "the Group").

The Board, with guidance from the Audit & Risk Committee, considers that in preparing the Annual Financial Statements it has used the most appropriate accounting policies, consistently applied and supported by reasonable and prudent judgements and estimates, and that all International Financial Reporting Standards ("IFRS Accounting Standards") that it considers to be applicable have been followed. The preparation of the Annual Financial Statements in conformity with IFRS Accounting Standards requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities at the date of the Annual Financial Statements and the reported expenses during the reporting period. Actual results could differ from those estimates.

The Board is satisfied that the information contained in the Annual Financial Statements is supported by an unqualified audit opinion from the Group's external auditor, Ernst & Young Incorporated, and its report is presented on page 9. The Annual Financial Statements were prepared under the supervision of the Group Chief Financial Officer, Sean Capazorio CA(SA), approved by the Board of Directors on 2 October 2025 and are signed on its behalf. A signed copy of these Annual Financial Statements is available for inspection at the Company's registered office.

The Company and its subsidiaries operate in a well-established control environment, which is documented and regularly reviewed. This incorporates risk management and internal control procedures, which are designed to provide reasonable, but not absolute, assurance that assets are safeguarded and the risks facing the business are being controlled.

The Board has responsibility for ensuring that accounting records are kept. The accounting records should disclose with reasonable accuracy the financial position of the Group to enable the directors to ensure that the Annual Financial Statements comply with the relevant legislation.

The going concern basis has been adopted in preparing the Annual Financial Statements. The Board has no reason to believe that the Group or any company within the Group will not continue on the going concern basis in the foreseeable future, based on forecasts, available cash resources and facilities. These Annual Financial Statements support the viability of the Company and the Group.

The Board further acknowledge that they are responsible for the content of the Integrated Report and its supplementary documents, as well as its consistency with the Annual Financial Statements.

Kuseni Dlamini

Chair

Stephen Saad

Group Chief Executive

Sean Capazorio

Group Chief Financial Officer

Johannesburg

2 October 2025

Directors' Report

The directors have pleasure in presenting their report for the Group and the Company for the year ended 30 June 2025.

NATURE OF BUSINESS

Aspen is a global specialty and branded pharmaceutical company, improving the health of patients across the world through its high quality and affordable medicines. Active at every stage of the value chain, the Group is uniquely diversified by geography, product, and manufacturing capability.

FINANCIAL RESULTS AND REVIEW OF OPERATIONS

The financial results of the Group are set out on pages 13 to 97 and the Company on pages 98 to 120 of the Annual Financial Statements. The segmental analysis is included on pages 20 to 23. These Annual Financial Statements have been prepared using appropriate accounting policies, in accordance with IFRS Accounting Standards, the SAICA Financial Reporting Guidelines, as issued by the Accounting Practices Committee, financial pronouncements, as issued by the Financial Reporting Standards Council ("FRSC"), the Companies Act 71 of 2008, and the JSE Listings Requirements and include amounts based on judgements and estimates made by management. Further analysis of the results for the period under review will be included in the Financial Director's Report of the Integrated Report.

The consolidated loss attributable to equity holders of the Group amounted to R1 083 million for the year, compared with a profit of R4 404 million for the previous year. Headline earnings per share ("HEPS") decreased by 42% from 1356,6 cents to 792,1 cents.

The financial results are more fully described in the Annual Financial Statements.

REVIEW OF THE BUSINESS, FUTURE DEVELOPMENTS AND SUBSEQUENT EVENTS

Aspen's external operating context, reported on in our 2025 Integrated Report to be published at the end of October 2025, will provide details of the Group's environment. The Group's operational performance for 2025 is discussed and information on our future outlook can be found throughout the 2025 Integrated Report. The Financial Director's Report in the 2025 Integrated Report, together with these Annual Financial Statements, provide a full description of our financial performance for the year.

GOING CONCERN

These Annual Financial Statements have been prepared on the going concern basis. Based on the Group's reserves, positive cash flows and cash balances, the availability of unutilised funding facilities and the budgets for the period to June 2026, the Board believes that the Group and the Company have adequate resources to continue in operation for the next 12 months.

SHARE CAPITAL

There was no change to the authorised ordinary share capital of Aspen during the year. The following changes to the issued share capital were effected during the year:

	Number of shares million	Share capital R'million
Ordinary shares		
Balance at the beginning and end of the year	446,3	2 017

Further details of the authorised and issued share capital of the Company are given in note 11 of the Group Annual Financial Statements and note 8 of the Company Annual Financial Statements.

The unissued ordinary shares are under the control of the directors of the Company until the next annual general meeting.

Directors' Report continued

NET BORROWINGS

Net borrowings at year-end (net of cash and cash equivalents) amounted to R29 711 million (2024: R24 118 million) and are made up as follows:

	2025 R'million	2024 R'million
Non-current borrowings	31 508	25 141
Current borrowings	4 612	11 314
Cash and cash equivalents	(6 409)	(12 337)
	29 711	24 118

Borrowings have increased from last year mainly as a result of capital expenditure investment and partly due to the payment of the second of three instalments of the Merck, Sharpe & Dohme ("MSD") loan.

The level of borrowings is authorised in terms of the Company's and its subsidiaries' memoranda of incorporation and have been authorised in terms of the required Board approvals.

A detailed list of borrowings is set out in note 13 of the Group Annual Financial Statements.

DIRECTORATE AND SECRETARY

The directors in office at the date of this report are as follows:

- Kuseni Dlamini – appointed April 2012
- Ben Kruger – appointed April 2019
- Sean Capazorio – appointed January 2022
- Linda de Beer – appointed July 2018
- Neo Dongwana – appointed March 2024
- Reginald Haman – appointed March 2024
- Themba Mkhwanazi – appointed April 2019
- Chris Mortimer – appointed January 1999
- Yvonne Muthien – appointed December 2021
- David Redfern – appointed February 2015
- Stephen Saad – appointed January 1999

The biographical details of the directors, the capacities in which they have been appointed to the Board and the relevant Board Committees they serve on are set out online at <https://www.aspenpharma.com/board-of-directors/>. The Company Secretary is Raeesa Khan. Her business and postal addresses are set out online at www.aspenpharma.com.

In terms of the Company's memorandum of incorporation, Ben Kruger, Themba Mkhwanazi and David Redfern retire as directors by rotation, and being eligible, offer themselves for re-election at the Company's annual general meeting scheduled for 4 December 2025.

In terms of the Company's policy on tenure, Kuseni Dlamini will also offer himself for re-election at the Company's annual general meeting scheduled for 4 December 2025.

The Group Chief Executive, Group Chief Financial Officer and Group Chief Corporate Officer are employed on indefinite term service contracts subject to contractual notice periods by either party.

Details of directors' interests in the Company's issued shares are in the Remuneration Policy and Implementation Report, to be included in the 2025 Integrated Report, and the directors' remuneration details are set out in note 22 of the Group Annual Financial Statements.

There have been no changes in the interests of the directors in the shares of the Company between 30 June 2025 and the date of this report.

The Board has the following three subcommittees, each with its own terms of reference:

- Audit & Risk Committee
- Remuneration & Nomination Committee
- Social & Ethics Committee

For more information on these committees, their members and mandates, refer to <https://www.aspenpharma.com/corporate-governance/>.

GROUP SHARE TRADING POLICY

It is Group policy that directors, prescribed officers and their associates are not to deal in shares or otherwise transact in the securities of the Company for the periods from half year-end and year-end to 24 hours after publication of the half year-end and year-end results or when the Company is trading under a cautionary announcement.

NOTABLE EVENTS OVER THE REPORTING PERIOD:

- Commercial Pharmaceuticals, Aspen's core business segment, comprising more than 70% of the Group's revenue, has delivered revenue and normalised EBITDA¹ growth of 10% in constant exchange rate ("CER") underpinned by organic revenue growth in all three segments (Injectables, OTC and Prescription). This has been supplemented by the launch and roll-out of Mounjaro® in South Africa, while also benefitting from a full year's results from the acquired product portfolio in Latin America. Reported performance has been diluted by the strength of the ZAR average exchange rates against Aspen's major trading currencies;
- Considerable progress has been made in executing the Group's generic semaglutide GLP-1 strategy;
- The restructuring of Aspen China and its integration with the acquired Sandoz AG ("Sandoz") business has been completed. Consequently, significant restructuring costs of circa R0,5 billion were incurred in H2 2025 as well as inventory rationalisation resulting in abnormal write-offs of R0,3 billion. These diluted the Group's Injectables gross profit margin percentage in FY2025, and which is expected to revert to normal levels in FY2026. The restructured business in China, supported by higher EBITDA margins, is now well positioned to contribute positively towards earnings growth in FY2026;
- Manufacturing performance and intangible asset impairments have been negatively impacted by a material contractual dispute ("Dispute") announced on SENS on 22 April 2025, whereby shareholders were advised that normalised EBITDA from the Manufacturing business for FY2025 in CER would potentially be R2 billion lower than previously indicated in March 2025. The Dispute, the details of which are subject to contractual confidentiality, relates to a manufacturing and technology agreement with a contract manufacturing customer for mRNA products. As a consequence of the Dispute and related risks, normalised EBITDA from the Manufacturing business for FY2025 of R0,7 billion in CER was 38% of that reported in FY2024. The Dispute is now the subject of a contractually prescribed adjudication process;
- Aspen is pleased to report that the validation stage of the insulin contract has been successfully completed in our South African sterile facility. In anticipation of regulatory approvals being received shortly, commercial production has already been initiated;
- The retrospective implementation of global minimum tax legislation in South Africa coupled with the announcement by the Mauritian government of a Qualified Domestic Minimum Top Up Tax ("QDMTT") of 15%, effective from FY2025, has negatively impacted both Commercial Pharmaceuticals intangible asset valuations and Group effective tax rates. As guided previously, higher Group effective tax rates are expected to be sustained. The QDMTT has materially increased the tax rate used for Commercial Pharmaceuticals brand-related intangible asset valuations, increasing impairments by R1,7 billion. These intangible assets are only impaired if the individual brand asset value is below carrying amount and are not revalued above cost where their individual brand value exceeds carrying amount. Despite the negative impact of the QDMTT, total brand-related intangible assets still have a valuation of more than 50% greater than their carrying amount;
- The abovementioned intangible asset impairments totalling R4,1 billion, which comprises the QDMTT related impact of R1,7 billion, the mRNA asset impairment of R0,8 billion and regional performance related net impairments of R1,6 billion, have resulted in the Group incurring a loss for the year. These impairments and the increased restructuring costs have adversely impacted Aspen's earnings per share ("EPS") and headline earnings per share ("HEPS") as compared to the Group's primary measure of performance being normalised headline earnings per share ("NHEPS");
- Operating cash conversion rate of 147% well exceeded the Group's target of 100%. The leverage ratio ended at 3,2x. Net debt of R31,2 billion was marginally higher than the R30,0 billion in H1 2025, negatively affected by the weaker ZAR year-end closing rates partly offset by the stronger second half CER operating cash flows and lower inventory levels; and
- Finance costs benefitted from interest rate cuts across the Group's EUR, ZAR and AUD debt pools in the second half of the year. Despite this, year-on-year finance costs have risen, influenced by higher net debt levels and increased foreign exchange losses driven by US tariff-led global volatility in exchange rates.

¹ Normalised EBITDA represents operating profit before depreciation and amortisation adjusted for specific non-trading items as defined in the Group's accounting policy.

Directors' Report continued

MEMORANDUM OF INCORPORATION

No changes were made to the Company's memorandum of incorporation during the year ended 30 June 2025 and up until the date of this report.

DIVIDEND TO SHAREHOLDERS

Taking into account the earnings and cash flow performance for the year ended 30 June 2025, existing debt service commitments, future proposed investments and funding options, notice was given that the Board declared a gross dividend of 211 cents per ordinary share to shareholders recorded in the share register of the Company at the close of business on 3 October 2025 (2024: 359 cents).

A dividend withholding tax of 20% is applicable to shareholders who are not exempt. The Company income tax number is 9325178714. The issued share capital of the Company is 446 252 332 ordinary shares. The dividend will be paid from income reserves. Shareholders were advised to seek their own tax advice on the consequences associated with the dividend.

The directors are of the opinion that the Company will satisfy the solvency and liquidity requirements of sections 4 and 46 of the Companies Act, 2008.

Future distributions will be decided on a year-to-year basis. In compliance with IAS 10 – *Events After the Reporting Period*, the dividend will be accounted for in the financial statements for the year ending 30 June 2026.

The salient dates in respect of the dividend were as follows:

Last day to trade <i>cum</i> dividend	Tuesday, 30 September 2025
Shares commence trading ex-dividend	Wednesday, 1 October 2025
Record date	Friday, 3 October 2025
Payment date	Monday, 6 October 2025

SPECIAL RESOLUTIONS

All special resolutions were passed by the Company at the annual general meeting on 5 December 2024.

AUDITORS

The Audit & Risk Committee and Board have recommended that Ernst & Young Inc. be appointed as the external auditor of the Group and the Company, and that Ziningi Khoza be appointed as the designated auditor for this purpose, in terms of the resolution to be proposed at the annual general meeting in accordance with the Companies Act. The directors further confirm that the Audit & Risk Committee has addressed the specific responsibility required by it in terms of the Companies Act and that membership of the Audit & Risk Committee will be proposed to shareholders by ordinary resolution at the annual general meeting. The activities of the Audit & Risk Committee are contained within the Audit & Risk Committee Report available online at: <https://www.aspenpharma.com/investor-relations/#integrated-reporting>.

INVESTMENTS IN SUBSIDIARIES AND STRUCTURED ENTITIES

The financial information in respect of the Group and the Company's interests in its material operating subsidiaries and structured entities is set out in note 20 of the Company's Annual Financial Statements.

CONTRACTS

None of the directors and officers of the Company had an interest in any contract of significance during the financial year, save as disclosed in note 31 of the Group Annual Financial Statements and note 17 of the Company Annual Financial Statements.

CORPORATE GOVERNANCE

Our application of the principles of King IV is set out on the Company's website: <https://www.aspenpharma.com/corporate-governance/>.

CREATING, SUSTAINING AND PROTECTING VALUE THROUGH OUR APPROACH TO ENVIRONMENTAL, SOCIAL AND CORPORATE GOVERNANCE ("ESG") FACTORS

Our Integrated Report for 2025, to be published at the end of October 2025, will provide information on our ESG performance and provide information on the Group's approach to remuneration.

Independent auditor's report

To the Shareholders of Aspen Pharmacare Holdings Limited

Report on the Audit of the Consolidated and Separate Financial Statements

Opinion

We have audited the consolidated and separate financial statements of Aspen Pharmacare Holdings Limited and its subsidiaries ("the Group") and Company set out on pages 13 to 120, which comprise the consolidated and separate statements of financial position as at 30 June 2025, the consolidated and separate statements of profit or loss and other comprehensive income, the consolidated and separate statements of changes in equity and the consolidated and separate statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including a summary of significant accounting policies.

In our opinion, the consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of the Group and Company as at 30 June 2025, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Companies Act of South Africa.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing ("ISAs"). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the consolidated and separate financial statements section of our report. We are independent of the Group and Company in accordance with the Independent Regulatory Board for Auditors' Code of Professional Conduct for Registered Auditors ("IRBA Code") and other independence requirements applicable to performing audits of financial statements of the Group and Company and in South Africa. We have fulfilled our other ethical responsibilities in accordance with the IRBA Code and in accordance with other ethical requirements applicable to performing audits of the Group and Company and in South Africa. The IRBA Code is consistent with the corresponding sections of the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards). We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

In terms of the IRBA Rule on Enhanced Auditor Reporting for the Audit of Financial Statements of Public Interest Entities, published in Government Gazette Number 49309 dated 15 September 2023 ("EAR Rule") we report:

Final Materiality

The ISAs recognise that:

- Misstatements, including omissions, are material if the misstatements, individually or in the aggregate, could reasonably be expected to influence the economic decisions of users taken based on the financial statements.
- Judgements about materiality are made considering surrounding circumstances and are affected by the size or nature of a misstatement, or a combination of both.
- Judgements about matters that are material to users of the financial statements consider users as a group rather than as specific individual users, whose needs may vary greatly.

The amount we set as materiality represents a quantitative threshold used to evaluate the effect of misstatements to the financial statements as a whole based on our professional judgement. Qualitative factors are also considered in making final determinations regarding what is material to the financial statements.

We determined final materiality for the Group to be R265 million, which is 3% of normalised Earnings Before Interest, Tax, Depreciation and Amortisation ("EBITDA"). We have identified EBITDA as the most appropriate basis as we typically believe that for profit companies are evaluated by users on their ability to generate earnings. EBITDA is a measure that focuses on operational performance that emphasises the company's core operations, making it easier to identify trends and performance over time. Our review of information provided to users by the entity and analysts confirms our view.

In using EBITDA, we believed it was necessary to normalise the base which we adjusted to remove non-recurring events being the impact of future changes in tax rates impacting on the impairment of intangible assets (R1,7 billion) and the impairments arising from the material contractual dispute (R1,2 billion) from the current period EBITDA which we then averaged with the actual EBITDA from the prior 3 years. The use of a normalised measurement basis is based on the principle that users of the financial statement adjust their expectation of earnings because of the impact of once-off events as well as other factors impacting results in the short-term, and thus are focusing on EBITDA trends over a longer period rather than the absolute EBITDA in one year.

We determined final materiality for the Company to be R331 million, which is 1% of Total Equity. We have identified that a capital-based measure (total equity) is most appropriate because Aspen Pharmacare Holdings Limited is not an operating entity, and its sole purpose is to hold investments for the Aspen Pharmacare Holdings Limited Group. Our review of information provided to users by the entity confirms our view.

Group Audit Scope

Our assessment of audit risk, our evaluation of materiality and our allocation of performance materiality determine our audit scope for each component within the Group. Taken together, this enables us to form an opinion on the consolidated financial statements.

We take into account the size and risk profile of the components in the Group. In addition, we further consider the organisation of the Group and effectiveness of Group wide controls, changes in the business environment, and other factors such as our experience in prior years and recent internal audit results when assessing the level of work to be performed at each component of the Group. Our process focuses on identifying and assessing the risk of material misstatements of the Group financial statements as a whole including, with respect to the consolidation process.

In establishing our overall approach to the Group audit, we determined the type of work that needed to be undertaken at each of the components by us, as the primary audit engagement team, or by component auditors under our instruction.

Independent auditor's report continued

Group Audit Scope continued

In selecting components, we perform risk assessment activities across the Group and its components to identify risks of material misstatement. We then identify how the nature and size of the account balances at the components contribute to those risks and thus determine which account balances require an audit response. We then consider for each component the degree of risk identified (whether pervasive or not) and the number of accounts requiring audit responses to assign either a full or specific scope (including specified procedures) to each component. We involved component auditors in this risk assessment process.

In our assessment of the residual account balances not covered by the audit procedures, we considered whether these could give rise to a risk of material misstatement of the Group financial statements. This assessment included performing overall analytical procedures at Group level.

Of the 24 components selected, we identified:

- 13 components ("full scope components") which were selected based on the pervasiveness of risk in those components and for which we therefore performed procedures on what we considered to be the entire financial information of the component.
- 11 components ("specific scope components") where our procedures were more focussed or limited to specific accounts which we considered had the potential for the greatest impact on the significant accounts in the financial statements given the specific risks identified.

At Group level we also tested the consolidated financial statement close process.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For the matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's Responsibilities for the audit of the consolidated and separate financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated and separate financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated and separate financial statements.

KEY AUDIT MATTER	HOW THE MATTER WAS ADDRESSED IN THE AUDIT
Valuation of intangible assets and goodwill (Consolidated and separate financial statements)	
At year end, the intangible assets for the Group and Company amounted to R67,2 billion and R1,0 billion respectively. The Group also has goodwill to the value of R5,2 billion (Company: Rnil). Intangible assets are in respect of intellectual property and brands, and goodwill that arose historically from the acquisition of standalone businesses and/or individual assets. As described in note 1 and 4 of the Consolidated financial statements and note 2 of the Company financial statements, the recoverable amount of the intangible assets and goodwill had been determined based on a value-in-use calculation using cash flow projections from five-year strategic plans, and annual financial budgets approved by the Board. Where the recoverable amount was less than the carrying amount, an impairment was recognised. The impairments are attributed to shifts in trading conditions, increasing interest rates, and their effect on the weighted average cost of capital. Additionally, changes in sales within regulated pricing environments and rising costs due to supply chain challenges, future changes to tax rates related to Qualified Domestic Minimum Top-up Tax implementation, and ongoing geopolitical challenges have also contributed to these impairments. Note 1 and note 4 of the Group financial statements describe intangible assets and goodwill which were impaired by to the gross value of R5,3 billion and Rnil respectively. Impairment reversals for the Group related to intangible assets only, which amounted to R1,2 billion. Note 2 of the Company financial statements describes intangible assets which were impaired, and which amounted to R0,1 billion.	Our procedures amongst others included the following: • We obtained an understanding of management's process and controls applied to: – Identify and define the CGUs, – Assess the valuation of the CGUs and the related intangible assets and goodwill, and – Evaluate the useful lives of the intangible assets. • We evaluated the valuation methodology and model used by management in determining the value-in-use of goodwill and intangible assets through comparison with prior years for consistency, and with reference to relevant accounting standards and our knowledge of industry practice. • In response to the macro-economic pressures facing the determination of the weighted average discount rates, we involved our valuation specialists to independently challenge management's methodology, calculation, and inputs. • We performed detailed quantitative and qualitative assessments to select various CGUs for detailed testing. • For the sample of CGUs selected: – We challenged and examined the business plans approved and assumptions used by management, including forecasted revenue base, profit from operating margins, working capital for terminal value calculations and cash flows necessary for the continuing use of the CGU's assets and allocated goodwill. – We evaluated the completeness of the country specific risk premiums added to the discount rate used to discount a given model by identifying the different risk dependent cash flows incorporated into the model. – We involved our valuation specialists to assist with the evaluation of the discount rates applied to a given model based our knowledge of the industry and benchmarked adjustments for country specific risks premiums to the risk-free rates against external international databases.

KEY AUDIT MATTER	HOW THE MATTER WAS ADDRESSED IN THE AUDIT
Valuation of intangible assets and goodwill (Consolidated and separate financial statements)	
Key judgements that affected management's annual impairment assessment were: • Selection of the appropriate impairment model. • Discount rate applied. • Specific risk premia added to the discount rate by management. • Inputs to the cash flow forecasts such as growth and terminal value rates. • Useful lives of intangibles assets. • Assumptions regarding pricing growth, volume growth and margin management. • Recoverability of development costs in respect of projects The valuation of intangible assets and goodwill required significant auditor attention and is considered a Key Audit Matter due to the following: • The quantum of the Group balances being 30% and 2% respectively in relation to the consolidated total assets and equity as at 30 June 2025 (and 1% in relation to both the total assets and equity of the company), and the resulting quantum of impairments recognised during the current year. • The number of Cash Generating Units ("CGUs") and models to be evaluated. • The extent to which we involved our internal valuations specialists to evaluate management's judgements and assumptions. • A value in use model has significant judgment and estimations in respect of future cash flow forecasts, discount rate and terminal growth rate assumptions. Changes in certain assumptions can lead to significant changes in the assessment of the recoverable amount. • The number of countries, operating and reporting segments that the brands operate in brought into focus: – The need for a weighted discount rate which appropriately covered these various jurisdictions, – The need for a change in tax rates that is reasonably expected to be enacted during the forecast period. – The forecasting of annual growth, terminal growth, cost-saving and efficiency measures as well as the respective useful lives reflective of the various locations. • The impact on the weighted average cost of capital because of the rising inflationary environment, the conflicts in Europe and the Middle East, and moderation of interest rates in the United States. • We further focused on the estimation of the useful lives of the intangible assets which are subject to tight regulatory environments and changes in consumer behaviour. • The extent of disclosures required by IAS 36 <i>Impairment of Assets</i> and 38 <i>Intangible assets</i>.	– We evaluated the weighting applied to the country specific risk premiums by reference to the proportion of cash flows from each country. – We evaluated the accuracy of the inputs to the cash flow forecasts used in the valuation models by agreeing them to the budgets approved by the Board and customer agreements, and assessed the forecasts for reasonableness against actuals, management's plans and other relevant market and economic information which we benchmarked against external sources. – We evaluated management's growth and terminal value with reference to country-specific inflation rates. – We evaluated management's assessment of useful lives with reference to product life cycles, licence to distribute and underlying sales agreements. – We identified the interdependencies between various inputs to evaluate that the inputs used are consistent in a given model and across models. – We recalculated the arithmetical accuracy of management's computations. – We performed our own independent calculation of the point in estimate based on what we expect the inputs to be and compared our point in estimate to management's point in estimate. – We performed sensitivity analyses on the key assumptions applied by management including pricing levels, volume growth, margins and the discount rate to determine the impact that a reasonable expected change could have on the recoverable amount of any given CGU. • We evaluated the disclosures in note 1 and 4 of the Consolidated financial statements and note 2 of the Company financial statements, relating to intangible assets and goodwill to assess compliance with the requirements of IAS 36 – <i>Impairment of Assets</i> and IAS 38 – <i>Intangible assets</i>.

Other Information

The directors are responsible for the other information. The other information comprises the information included in the 131 page document titled "Aspen Holdings Annual Financial Statements for the year ended 30 June 2025", which includes the Directors' Report, the Audit & Risk Committee's Report, unaudited share statistics, Illustrative constant exchange rate report – Annexure 1 and the Company Secretary's Certificate as required by the Companies Act of South Africa, which we obtained prior to the date of this report, and the Integrated Report, which is expected to be made available to us after that date. Other information does not include the consolidated or the separate financial statements and our auditor's report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements, or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Independent auditor's report continued

Responsibilities of the Directors for the consolidated and separate financial statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with International Financial Reporting Standards and the requirements of the Companies Act of South Africa, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group and Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group and Company or to cease operations, or have no realistic alternative but to do so.

Auditor's Responsibilities for the audit of the consolidated and separate financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group and Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group and Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and/or the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated and separate financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

In terms of the IRBA Rule published in Government Gazette Number 39475 dated 4 December 2015, we report that Ernst & Young Inc. has been the auditor of Aspen Pharmacare Holdings Limited for five years.

Ernst & Young Inc.

Ernst & Young Inc.
Director – Derek Engelbrecht
Registered Auditor

2 October 2025

Group statement of financial position

at 30 June 2025

	Note	2025 R'million	2024 R'million
ASSETS			
Non-current assets			
Intangible assets ¹	1	67 212	66 026
Property, plant and equipment	2	21 303	19 946
Right-of-use assets	3	404	563
Goodwill ¹	4	5 202	5 696
Deferred tax assets	5	2 222	1 794
Contingent environmental indemnification assets	6	294	298
Other non-current receivables	7	554	654
Total non-current assets		97 191	94 977
Current assets			
Inventories	8	18 009	18 002
Receivables and other current assets	9	13 339	12 664
Current tax assets		945	1 083
Cash and cash equivalents	10	6 409	12 337
Total current assets		38 702	44 086
Total assets		135 893	139 063
SHAREHOLDERS' EQUITY			
Retained income		58 092	60 763
Non-distributable reserves		24 988	22 292
Share capital (net of treasury shares)	11	1 654	1 653
Share-based compensation reserve	12	159	153
Total shareholders' equity		84 893	84 861
LIABILITIES			
Non-current liabilities			
Borrowings	13	31 508	25 141
Other non-current liabilities ¹	14	424	2 041
Unfavourable and onerous contracts	15	94	137
Deferred tax liabilities	5	446	1 582
Contingent environmental indemnification liabilities	6	294	298
Retirement and other employee benefit obligations	16	738	701
Total non-current liabilities		33 504	29 900
Current liabilities			
Borrowings	13	4 612	11 314
Trade and other payables	17	10 675	10 347
Other current liabilities ¹	18	1 731	1 739
Current tax liabilities		385	791
Unfavourable and onerous contracts	15	93	111
Total current liabilities		17 496	24 302
Total liabilities		51 000	54 202
Total equity and liabilities		135 893	139 063

¹ The 2024 figures relating to these line items and related subtotals have been restated as permitted by IFRS 3 – Business Combinations. Refer to note E in the statement of cash flows for further disclosure.

Group statement of comprehensive income

for the year ended 30 June 2025

	Note	2025 R'million	2024 R'million
Revenue	19	43 363	44 706
Cost of sales	21	(24 234)	(25 252)
Gross profit		19 129	19 454
Selling and distribution expenses	21	(7 039)	(6 481)
Administrative expenses	21	(3 953)	(3 657)
Other operating income	21	1 285	1 543
Other operating expenses	21	(7 985)	(3 861)
Operating profit	20	1 437	6 998
Investment income	23	358	1 059
Financing costs	24	(1 918)	(2 343)
(Loss)/profit before tax		(123)	5 714
Tax	25	(960)	(1 310)
(Loss)/profit for the year		(1 083)	4 404
OTHER COMPREHENSIVE INCOME, NET OF TAX¹			
Currency translation gains/(losses)	29	2 696	(4 274)
Remeasurement of retirement and other employee benefit obligations		13	7
Total comprehensive income		1 626	137
Basic and diluted (loss)/earnings per share (cents)	27	(243,9)	991,4

¹ Remeasurements of retirement and other employee benefit obligations are not reclassified to profit and loss. All other items in other comprehensive income are reclassified to profit or loss.

Group statement of changes in equity for the year ended 30 June 2025

	Non-distributable reserves					
	Share capital (net of treasury shares) R'million	Hedging reserve R'million	Foreign currency translation reserve R'million	Share-based compensation reserve R'million	Retained income R'million	Total R'million
BALANCE AT 30 JUNE 2023	1 669	454	25 855	124	58 134	86 236
Total comprehensive income	–	–	(4 274)	–	4 411	137
Profit for the year	–	–	–	–	4 404	4 404
Other comprehensive loss	–	–	(4 274)	–	7	(4 267)
Dividends paid	–	–	–	–	(1 525)	(1 525)
Transfer between reserves	–	–	257	–	(257)	–
Treasury shares purchased	(56)	–	–	–	–	(56)
Deferred incentive bonus shares exercised	40	–	–	(40)	–	–
Share-based payment expense	–	–	–	69	–	69
BALANCE AT 30 JUNE 2024	1 653	454	21 838	153	60 763	84 861
Total comprehensive income	–	–	2 696	–	(1 070)	1 626
Loss for the year	–	–	–	–	(1 083)	(1 083)
Other comprehensive income	–	–	2 696	–	13	2 709
Dividends paid	–	–	–	–	(1 601)	(1 601)
Treasury shares purchased	(68)	–	–	–	–	(68)
Deferred incentive bonus shares exercised	69	–	–	(69)	–	–
Share-based payment expense	–	–	–	75	–	75
BALANCE AT 30 JUNE 2025	1 654	454	24 534	159	58 092	84 893

Group statement of cash flows

for the year ended 30 June 2025

	Note	2025 R'million	2024 R'million
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash generated from operations	A	8 461	9 725
Financing costs paid	B	(1 903)	(2 410)
Investment income received ¹		358	1 059
Tax paid	C	(1 757)	(2 149)
Cash generated from operating activities		5 159	6 225
CASH FLOWS FROM INVESTING ACTIVITIES			
Capital expenditure – property, plant and equipment		(2 576)	(3 117)
Proceeds received from disposal of property, plant and equipment		34	13
Capital expenditure – intangible assets		(2 479)	(2 418)
Proceeds received from disposal of intangible assets		28	2
Contractual prepayments		–	(595)
Proceeds received from disposal of other non-current assets		6	9
Disposal of Oncology portfolio in USA		–	52
Payment of deferred, fixed and contingent consideration relating to prior year business transactions		(229)	(158)
Acquisition of portfolio products in Latin America	D	–	(3 229)
Acquisition of a subsidiary and business in China net of cash acquired	E	–	(963)
Proceeds from disposal of European Anaesthetic brands	F	–	936
Cash utilised in investing activities		(5 216)	(9 468)
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from borrowings		9 880	13 988
Repayment of borrowings		(6 688)	(7 571)
Repayment of lease liabilities		(205)	(201)
Dividends paid		(1 601)	(1 525)
Repayment of MSD loan		(1 480)	(1 012)
Purchase of treasury shares		(68)	(56)
Cash (utilised in)/generated from financing activities		(162)	3 623
Movement in cash and cash equivalents before currency translation movements			
Currency translation movements		(592)	(653)
Movement in cash and cash equivalents		(811)	(273)
Cash and cash equivalents at the beginning of the year		7 220	7 493
Cash and cash equivalents at the end of the year²	G	6 409	7 220
Operating cash flow per share (cents)		1 161,9	1 401,4

¹ Investment income received per the statement of cash flows equates to the amount per the statement of comprehensive income.

² For the purposes of the statement of cash flows, cash and cash equivalents comprise bank balances, short-term bank deposits less bank overdrafts.

Notes to the Group statement of cash flows

for the year ended 30 June 2025

	2025 R'million	2024 R'million
A. CASH GENERATED FROM OPERATIONS		
Operating profit	1 437	6 998
Amortisation of intangible assets	635	583
Depreciation of property, plant and equipment and right-of-use assets	1 454	1 390
Net impairment charges	6 498	2 592
Loss on disposal of property, plant and equipment and right-of-use assets	27	7
(Profit)/loss on disposal of intangible assets	(5)	27
Share-based payment expense	109	117
Deferred revenue	(8)	(4)
Unfavourable and onerous contracts – revenue	(34)	(102)
Non-cash operating profit – Acquisition of a portfolio of products in Latin America (note D)	–	(1 124)
Non-cash operating profit	–	(585)
Other non-cash items	(49)	68
Cash operating profit	10 064	9 967
Working capital movements	(1 603)	(242)
(Increase)/decrease in inventories	(704)	200
Increase in trade and other receivables	(773)	(104)
Decrease in trade and other payables	(126)	(338)
	8 461	9 725
B. FINANCING COSTS PAID		
Financing costs per statement of comprehensive income	(1 918)	(2 343)
Add: Borrowing cost capitalised	(228)	(124)
Less: Non-cash financing costs	243	57
	(1 903)	(2 410)
C. TAX PAID		
Amounts receivable at the beginning of the year	292	29
Current tax charged to the statement of comprehensive income	(1 541)	(1 872)
Acquisition of Sandoz China	–	(5)
Currency translation movements	52	(9)
Amounts payable at the end of the year	385	791
Amounts receivable at the end of the year	(945)	(1 083)
	(1 757)	(2 149)
D. ACQUISITION OF A PORTFOLIO OF PRODUCTS IN LATIN AMERICA		
With effect from 1 November 2023, Aspen Global Incorporated (“AGI”), a wholly owned subsidiary, acquired from Viartis Inc. the commercialisation rights and related intellectual property for a portfolio of brands in Latin America.		
Intangible assets acquired	–	(5 292)
Funded from operating activities	–	2 063
Receivables forgone	–	939
Liabilities and provisions raised on acquisition:		1 124
Other current liabilities	–	709
Unfavourable and onerous contracts	–	415
	–	(3 229)

Notes to the Group statement of cash flows continued

for the year ended 30 June 2025

E. ACQUISITION OF A SUBSIDIARY AND BUSINESS IN CHINA NET OF CASH ACQUIRED

With effect from 1 May 2024, Aspen concluded an agreement with Sandoz AG ("Sandoz"), in terms of which Aspen acquired the beneficial ownership of its subsidiary, Sandoz (China) Pharmaceutical Co., Ltd. ("Sandoz China" and "the Company"), together with the commercialisation rights and related intellectual property for a portfolio of established products currently commercialised by the Company and a pipeline of products to be launched by the Company in the short to medium term. As consideration, Aspen paid an upfront amount of EUR73 million and expects to pay contingent consideration based on future pipeline sales of EUR9 million. Due to the timing of the transaction, a detailed exercise to identify and value the separately identifiable assets and liabilities, finalise the contingent consideration and the goodwill arising from the transaction was only completed during the current year.

The table below discloses the fair values provisionally accounted for in the 2024 financial year and the restated fair values.

	2024 Restated R'million	2024 Provisional R'million
Fair value of assets and liabilities acquired		
Property, plant and equipment	15	15
Right-of-use assets	35	35
Intangible assets	1 325	1 651
Inventories	264	264
Receivables and other current assets	234	234
Deferred tax assets	120	120
Cash and cash equivalents	381	381
Borrowings	(40)	(40)
Trade and other payables	(895)	(895)
Other current and non-current financial liabilities	(171)	(185)
Unfavourable and onerous contracts	(69)	(69)
Deferred tax liabilities	(10)	(10)
Current tax liabilities	(5)	(5)
Fair value of net assets acquired	1 184	1 496
Goodwill arising on acquisition	439	205
Purchase consideration	1 623	1 701
Cash and cash equivalents at acquisition	(381)	(381)
Contingent consideration	(174)	(229)
Consideration outstanding	(128)	(128)
Cash outflow on acquisition	940	963
The effects of the adjustments to the provisional accounting are as follows:		
Decrease in intangible assets	(326)	–
Decrease in other current and non-current financial liabilities	14	–
Increase in goodwill	234	–
Decrease in contingent consideration	55	–
Adjustment of initial accounting	(23)	–

The goodwill of R439 million comprises the value of expected synergies arising from the acquisition and other intangibles that are not separately recognised.

This business contributed R2 billion to revenue reported for the year ended 30 June 2025.

F. PROCEEDS FROM DISPOSAL OF EUROPEAN ANAESTHETIC BRANDS

With effect from 1 May 2024, AGI concluded an agreement with Sandoz, in terms of which AGI disposed to Sandoz the commercialisation rights and related intellectual property for four anaesthetic products sold by AGI in the European Economic Area for a consideration of EUR46 million.

	2025 R'million	2024 R'million
Proceeds		
Proceeds receivable	–	936
Cash inflow per statement of cash flows	–	936
Assets disposed		
Intangible assets disposed	–	(720)
Liabilities raised as part of disposal		
Other current liabilities	–	(54)
Unfavourable and onerous contract	–	(189)
Loss on disposal	–	(27)
G. CASH AND CASH EQUIVALENTS		
Bank balances	3 714	11 751
Short-term bank deposits	2 688	571
Cash-on-hand	7	15
Cash and cash equivalents per the statement of financial position	6 409	12 337
Less: bank overdrafts ¹	–	(5 117)
Cash and cash equivalents per the statement of cash flows²	6 409	7 220

¹ Bank overdrafts are included within current borrowings in the statement of financial position.

² Previously, the South African business operated a notional cash pool which resulted in the accumulation of c.R4 billion of cash pledged against c.R4 billion of accumulated overdraft positions. In July 2024, the South African business replaced its notional cash pool with a physical cash pool thereby eliminating the gross cash and overdraft positions.

Group segmental analysis

for the year ended 30 June 2025

SEGMENTAL REPORTING

The Group shows its reportable segments to reflect the operating model which aligns with the way in which the business is managed and reported on to the Chief Operating Decision Maker ("CODM").

Business segments of the Group are split between the Commercial Pharmaceuticals and Manufacturing segments.

Enhancement of the Group segmental analysis

The Group's segmental report has been enhanced (introduced in the interim results, 31 December 2024) to provide a detailed breakdown of normalised EBITDA, distinguishing between Commercial Pharmaceuticals and Manufacturing. Other represents once-off compensation or insurance-related income or expenses that have not been allocated to the business segments. This refinement ensures a comprehensive insight into the business's performance.

Commercial Pharmaceuticals

The Commercial Pharmaceuticals business segments are:

- **Injectables** – Sterile products in injectable form primarily administered in hospitals and also those prescribed and administered by either physicians or in a retail pharmacy environment. Principle therapeutic areas covered are anaesthetics, anticoagulants, antithrombotic agents, analgesics, and hormone replacement medicines. Key brands include Arixtra, Diprivan, Fraxiparine, Sandostatin, Sustanon and Xylocaine (Injectables).
- **Over-the-counter ("OTC")** – Products that do not require a prescription and are primarily sold in the retail pharmacy and Fast-Moving Consumer Goods sectors, where brand recognition, marketing and communication with pharmacists are influential in consumers' product choices. Key brands include EMLA, Maltofer, Ovestin, Solpadeine and Xylocaine (topicals).
- **Prescription** – All other products that generally require a prescription from a healthcare professional. Primary therapeutic areas are anti-inflammatories, immunosuppressants, hypothyroidism, anti-gout, analgesics, and corticosteroids. Key brands include Eltroxin, Imuran, Lipitor, Lyrica and Meticorten.

Manufacturing

The Manufacturing business segments are:

- **Active Pharmaceutical Ingredients ("API")** – All API sales, excluding Heparin-based APIs.
- **Finished Dose Form ("FDF")** – FDF products manufactured for third parties.
- **Heparin** – Heparin-based API sales to third parties.

The business has been split at a revenue and normalised EBITDA level between the Commercial Pharmaceuticals and Manufacturing segments to give separate visibility to the EBITDA earned by each of these segments.

The entity-wide revenue disclosure reflects the regional split of revenue within the reportable segments. The regions are as follows:

- Africa Middle East;
- Europe CIS;
- Australasia;
- Asia; and
- Americas.

The financial information of the Group's reportable segments is reported to the CODM for purposes of allocating resources to the segment and assessing its performance.

Each of the reportable segments is managed by a segment manager.

Group segmental analysis

	2025						
	Prescription R'million	OTC R'million	Injectables R'million	Total Commercial Pharmaceuticals R'million	Total Manufacturing R'million	Other R'million	Total R'million
Revenue	12 519	9 812	9 885	32 216	11 147	–	43 363
Cost of sales	(4 785)	(4 087)	(4 628)	(13 500)	(10 734)	–	(24 234)
Gross profit	7 734	5 725	5 257	18 716	413	–	19 129
Selling and distribution expenses				(6 584)	(455)	–	(7 039)
Administrative expenses				(3 494)	(459)	–	(3 953)
Depreciation				285	1 169	–	1 454
Normalised EBITDA¹				8 923	668	–	9 591
Gross profit %	61,8	58,3	53,2	58,1	3,7		44,1
Selling and distribution expenses %				20,4	4,1		16,2
Administrative expenses %				10,8	4,1		9,1
Normalised EBITDA %				27,7	6,0		22,1

	2024						
	Prescription R'million	OTC R'million	Injectables R'million	Total Commercial Pharmaceuticals R'million	Total Manufacturing R'million	Other R'million	Total R'million
Revenue	11 380	9 706	9 484	30 570	14 136	–	44 706
Cost of sales	(4 447)	(4 012)	(3 964)	(12 423)	(12 829)	–	(25 252)
Gross profit	6 933	5 694	5 520	18 147	1 307	–	19 454
Selling and distribution expenses				(6 302)	(179)	–	(6 481)
Administrative expenses				(3 251)	(406)	–	(3 657)
Depreciation				265	1 125	–	1 390
Other				–	–	549	549
Normalised EBITDA¹				8 859	1 847	549	11 255
Gross profit %	60,9	58,7	58,2	59,4	9,2		43,5
Selling and distribution expenses %				20,6	1,3		14,5
Administrative expenses %				10,6	2,9		8,2
Normalised EBITDA %				29,0	13,1		25,2

	Change						
	Prescription %	OTC %	Injectables %	Total Commercial Pharmaceuticals %	Total Manufacturing %	Other %	Total %
Revenue	10	1	4	5	(21)	–	(3)
Cost of sales	8	2	17	9	(16)	–	(4)
Gross profit	12	1	(5)	3	(68)	–	(2)
Selling and distribution expenses				4	>100	–	9
Administrative expenses				7	13	–	8
Depreciation				8	4	–	5
Other				–	–	(100)	(100)
Normalised EBITDA¹				1	(64)	(100)	(15)

¹ Normalised EBITDA represents operating profit before depreciation and amortisation adjusted for specific non-trading items as defined in the Group's accounting policy.

Group revenue segmental analysis

for the year ended 30 June 2025

	2025 R'million	2024 R'million	Change %
Commercial Pharmaceuticals by customer geography	32 216	30 570	5
Africa Middle East	10 086	9 021	12
Americas	6 826	6 677	2
Australasia	5 748	5 904	(3)
Asia	4 850	4 100	18
Europe CIS	4 706	4 868	(3)
Manufacturing by geography of manufacture			
Finished dose form	5 099	5 262	(3)
Europe CIS	4 159	4 131	1
Australasia	563	781	(28)
Africa Middle East	250	216	16
Asia	110	100	10
Americas	17	34	(50)
Active pharmaceutical ingredients	4 718	5 102	(8)
Europe CIS	4 487	4 832	(7)
Africa Middle East	231	270	(14)
Heparin	1 330	3 772	(65)
Europe CIS	1 330	3 772	(65)
Total Manufacturing revenue	11 147	14 136	(21)
Total revenue	43 363	44 706	(3)
Summary of regions			
Europe CIS	14 682	17 603	(17)
Africa Middle East	10 567	9 507	11
Americas	6 843	6 711	2
Australasia	6 311	6 685	(6)
Asia	4 960	4 200	18
Total revenue	43 363	44 706	(3)

Commercial Pharmaceuticals therapeutic area analysis

	2025			
	Prescriptions R'million	OTC R'million	Injectables R'million	Total R'million
By customer geography				
Africa Middle East	4 569	3 746	1 771	10 086
Americas	3 320	1 329	2 177	6 826
Australasia	2 377	2 448	923	5 748
Asia	1 210	316	3 324	4 850
Europe CIS	1 043	1 973	1 690	4 706
Total Commercial Pharmaceuticals	12 519	9 812	9 885	32 216

	2024			
	Prescriptions R'million	OTC R'million	Injectables R'million	Total R'million
By customer geography				
Africa Middle East	4 242	3 561	1 218	9 021
Americas	2 832	1 450	2 395	6 677
Australasia	2 618	2 430	856	5 904
Asia	697	291	3 112	4 100
Europe CIS	991	1 974	1 903	4 868
Total Commercial Pharmaceuticals	11 380	9 706	9 484	30 570

	Change			
	Prescriptions %	OTC %	Injectables %	Total %
By customer geography				
Africa Middle East	8	5	45	12
Americas	17	(8)	(9)	2
Australasia	(9)	1	8	(3)
Asia	74	9	7	18
Europe	5	0	(11)	(3)
Total Commercial Pharmaceuticals	10	1	4	5

Notes to the Group annual financial statements

for the year ended 30 June 2025

1. INTANGIBLE ASSETS

ACCOUNTING POLICY

Recognition and measurement

Intangible assets are stated at historical cost less accumulated amortisation and accumulated impairment losses. Intangible assets are not revalued.

Cost

Intellectual property

Intellectual property represents patents, trademarks, dossiers, licences and know-how which have been acquired by Aspen. With regard to accounting for acquisitions of intangible assets that involved future contingent and/or milestone payments, the Group has adopted the financial liability approach. Under the financial liability approach, the liability is recognised at fair value at the date of initial recognition of the asset, and subsequently remeasured through the statement of comprehensive income to account for changes in fair value of the liability. This will account for a higher intangible asset value and corresponding liability on acquisition when compared to the cost accumulation method, with the accounting for notional interest on the capitalised future payments.

An indefinite useful life intangible asset is an intangible asset where there is no foreseeable limit to the period over which the asset is expected to generate future economic benefits for the Group.

Development costs

Expenditure on acquired patents, trademarks, dossiers, licences and know-how is capitalised. Expenditure incurred to extend the term of the patents or trademarks is capitalised. All other expenditure is charged to the statement of comprehensive income when incurred.

Development costs directly attributable to the production of new or substantially improved products or processes controlled by the Group are capitalised (until the date of commercial production) if the costs can be measured reliably, the products and processes are technically feasible, future economic benefits are probable, and the Group intends to and has sufficient resources to complete development and to use or sell the asset. All the remaining development costs are charged to the statement of comprehensive income. Research expenditure is charged to the statement of comprehensive income when incurred.

The amounts that are recognised as intangible assets consist of all direct costs relating to the intellectual property and also include the cost of intellectual property development employees and an appropriate portion of relevant overheads. Other development costs that do not meet these criteria are recognised as an expense as incurred. Development costs previously recognised as an expense are not recognised as an asset in a subsequent period.

Product participation and contractual rights

Rights acquired to co-market or manufacture certain third-party products are capitalised to intangible assets. Intellectual property relating to the acquired rights is not owned by Aspen.

Software

Acquired computer software licences are capitalised on the basis of the costs incurred to acquire and bring to use the specific software.

Costs associated with developing or maintaining computer software programs are recognised as an expense as incurred. Costs that are directly associated with the production of identifiable and unique software products controlled by the Group, and that will probably generate economic benefits exceeding costs beyond one year, are recognised as intangible assets if they meet the following criteria:

- the costs can be measured reliably;
- the software is technically feasible;
- future economic benefits are probable;
- the Group intends to and has sufficient resources to complete development; and
- the Group intends to use or sell the asset.

Accumulated amortisation

Intellectual property

Finite intangible assets are recognised at cost and amortised on a straight-line basis over their estimated remaining useful lives. Estimated useful lives are reviewed annually.

Amortisation is included in other operating expenses in the statement of comprehensive income.

Development costs

Development costs are amortised from the commencement of the commercial sale of the product to which they relate, being the date at which all regulatory requirements necessary to commercialise the product are met. Amortisation is done on a straight-line basis over their estimated remaining useful lives and estimated useful lives are reviewed annually.

Product participation and contractual rights

Product participation and other acquired product-related contracted distribution rights are amortised over the remaining contractual term net of any contracted residual values.

Software

Computer software is amortised on a straight-line basis over its estimated remaining useful life. Estimated useful lives are reviewed annually.

1. INTANGIBLE ASSETS CONTINUED

ACCOUNTING POLICY CONTINUED

Impairment

An indefinite useful life intangible asset is an intangible asset where there is no foreseeable limit to the period over which the asset is expected to generate future economic benefits for the Group.

An impairment assessment is performed on indefinite useful life intangible assets annually, or more frequently if there are impairment indicators. Finite useful life intangible assets are reviewed annually and assessed for impairment when there are impairment indicators. Impairment testing is performed by comparing the recoverable amount to the carrying amount of the intangible asset.

The recoverable amounts of the intangible assets are determined as the higher of value-in-use and fair value less costs to sell.

Fair value less costs to sell

In determining fair value less costs to sell, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used.

Value-in-use

Key assumptions relating to this valuation method include the discount rate and cash flows used to determine the value-in-use. Future cash flows are estimated based on the most recent budgets and forecasts approved by management covering a period of up to five years and are extrapolated over the useful life of the asset to reflect the long-term plans of the Group using the estimated growth rate for the specific business or product. The estimated future cash flows and discount rates used are pre-tax based on an assessment of the current risks applicable to the specific asset and/or entity and country in which it operates or the product is sold.

Management determines the expected performance of the assets based on the following:

- an assessment of existing products against past performance and market conditions;
- an assessment of existing products against existing market conditions; and
- the pipeline of products under development, applying past experiences of launch success and existing market conditions.

The growth rates used to extrapolate cash flow projections beyond the period covered by the budgets and forecasts take into account the long-term average rates of the industry in which the cash generating unit is operating. Estimations are based on a number of key assumptions such as volume, price and product mix, which will create a basis for future growth and gross margin. These assumptions are set in relation to historic figures and external reports on market growth. If necessary, these cash flows are then adjusted to take into account any changes in assumptions or operating conditions that have been identified subsequent to the preparation of the budgets and forecasts.

The weighted average cost of capital is derived from a pricing model based on credit risk and the cost of the debt. The variables used in the model are established on the basis of management judgement and current market conditions. Management judgement is also applied in estimating the future cash flows of the cash generating units. These values are sensitive to the cash flows projected for the periods for which detailed forecasts are not available and to the assumptions regarding the long-term sustainability of the cash flows thereafter.

Intangible assets that have been impaired in past financial years are reviewed for possible reversal of impairment at each reporting date.

The reversal of impairment is included in other operating income in the statement of comprehensive income.

SIGNIFICANT JUDGEMENTS AND ESTIMATES

Indefinite useful life intangible assets

Significant judgement is needed by management when determining the classification of intangible assets as finite or indefinite useful life assets. The following factors are taken into account when this classification is made:

- historical product sales, volume and profitability trends as well as the expected uses for the asset further evident from budgets, future growth and plans to invest in each of the assets over the long term are taken into account when this is being assessed;
- estimates of useful lives of similar assets – historical trends market sentiment and/or the impact of any competitive activity;
- the strategy (FY2026 budget, specific marketing plans, specific enhancement plans and the identification of new markets) for obtaining maximum economic benefit from the asset;
- rates of technical, technological or commercial obsolescence in the industry are slow and evident in the fact that most of the reinvestment in technology is expansion rather than replacement due to obsolescence;
- the stability of the industry and economy in which the asset will be deployed;
- the willingness and ability of the entity to commit resources to maintain the performance of the asset;
- the period of the entity's control over the asset and any legal or other restriction on its ability to use the asset;
- redundancy of a similar medication due to changes in market preferences; and
- development of new drugs treating the same disease.

In assessing whether any intangible assets ought to be reclassified from indefinite life to finite life, in addition to specific known events that could indicate a reclassification is appropriate, management considers the following key criteria when selecting intangible assets for such an assessment:

- intangible assets that have low headroom and for which the outlook reflects compound sales declines; or
- intangible assets which have been impaired in consecutive years; or
- intangible assets which are expected to have a negative growth over the medium to long term.

Indefinite useful life intangible assets constitute 85% of total intangible assets (2024: 87%).

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

1. INTANGIBLE ASSETS CONTINUED

SIGNIFICANT JUDGEMENTS AND ESTIMATES CONTINUED

Finite useful life intangible assets

Amortisation rates and residual values

The Group amortises its assets over their estimated useful lives. The estimation of the useful lives of assets is based on historic performance as well as expectations about future use, and therefore requires a significant degree of judgement to be applied by management. The actual lives of these assets can vary depending on a variety of factors, including technological innovation, product life cycles and maintenance programmes.

Significant judgement is applied by management when determining the residual values for intangible assets. Only in the event of contractual obligations, in terms of which a termination consideration is payable to the Group, will management apply a residual value to the intangible asset.

The estimated remaining useful life information for 2025 was as follows:

Intellectual property	Up to	40	years
Product participation and other contractual rights	Up to	37	years
Computer software	Up to	10	years
Development costs	Up to	12	years

RECONCILIATION OF BALANCE

	Intellectual property R'million	Development costs R'million	Product participation and other contractual rights R'million	Computer software R'million	Total R'million
2025					
Carrying amount					
Cost	76 456	3 360	4 741	5 139	89 696
Accumulated amortisation	(2 930)	(630)	(601)	(2 716)	(6 877)
Accumulated impairment losses	(14 476)	(907)	–	(224)	(15 607)
	59 050	1 823	4 140	2 199	67 212
Movement in intangible assets					
Carrying amount at the beginning of the year	59 186	771	4 075	1 994	66 026
Additions	807	1 218	–	454	2 479
Disposals	–	(23)	–	–	(23)
Amortisation	(244)	(20)	(55)	(316)	(635)
Reclassification between classes of assets	116	(116)	–	–	–
Impairment losses	(5 221)	(76)	–	(2)	(5 299)
Impairment losses reversed	1 077	14	61	–	1 152
Change in expected utilisation ¹	(553)	–	–	(4)	(557)
Currency translation movements	3 882	55	59	73	4 069
	59 050	1 823	4 140	2 199	67 212

¹ Certain of the Group's assets are no longer expected to be held for continued long-term use but instead are expected to be realised through sale in the foreseeable future. The change in the manner of recovery has resulted in a change in the deferred tax liability.

1. INTANGIBLE ASSETS CONTINUED RECONCILIATION OF BALANCE CONTINUED

	Intellectual property R'million	Development costs R'million	Product participation and other contractual rights R'million	Computer software R'million	Total R'million
2024					
Carrying amount					
Cost	71 721	2 219	4 627	4 626	83 193
Accumulated amortisation	(2 767)	(597)	(492)	(2 409)	(6 265)
Accumulated impairment losses	(9 768)	(851)	(60)	(223)	(10 902)
	59 186	771	4 075	1 994	66 026
Movement in intangible assets					
Carrying amount at the beginning of the year	59 009	822	1 413	1 860	63 104
Additions	9	143	1 796	470	2 418
Acquisition of a portfolio of products in Latin America	5 292	–	–	–	5 292
Acquisition of Sandoz China ¹	305	–	1 020	–	1 325
Disposal of European Anaesthetics brands	(720)	–	–	–	(720)
Disposals	(1)	(1)	–	–	(2)
Amortisation	(198)	(49)	(40)	(296)	(583)
Reclassification between classes of assets	78	(15)	(63)	–	–
Impairment losses	(2 294)	(113)	–	(8)	(2 415)
Impairment losses reversed	976	1	–	–	977
Currency translation movements	(3 270)	(17)	(51)	(32)	(3 370)
	59 186	771	4 075	1 994	66 026

¹ The 2024 figures relating to these line items have been restated as permitted by IFRS 3 – Business Combinations. Refer to note E in the statement of cash flows for further disclosure.

INDEFINITE USEFUL LIFE INTANGIBLE ASSETS

Split of balance ²	2025 R'million	2024 R'million
1) AstraZeneca anaesthetics portfolio	19 772	19 740
2) MSD business	7 636	7 590
3) Viartis Latam portfolio	5 459	5 091
4) GSK thrombosis business	4 618	5 575
5) GSK anaesthetics portfolio	4 493	4 714
6) ELIZ products	4 726	4 131
7) Specialist global brands	3 285	3 539
8) GSK OTC brands	3 227	2 874
Sandoz China Good Supply Practice ("GSP") licence	1 050	1 079
9) GSK classic brands	637	653
Other brands	2 233	2 253
	57 137	57 239

² All balances are stated at closing rates.

The key brands for the above-mentioned indefinite life intangible assets are as follows:

- 1) Diprivan, EMLA, Marcaine, Naropin and Xylocaine.
- 2) Desogestrel, Meticorten, Orgaran, Ovestin and Testosterone.
- 3) Lyrica, Lipitor, Zolofit, Norvasc and Cardura.
- 4) Arixtra and Fraxiparine.
- 5) Ultiva, Nimbox, Mivacron and Tracrium.
- 6) Eltroxin, Imuran and Zyloric.
- 7) Alkeran, Leukeran, Purinethol, Lanvis, Septrin and Trandate.
- 8) Phillips Milk of Magnesia, Solpadeine and Cartia.
- 9) Augmentin, Amoxil and Zyban.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

1. INTANGIBLE ASSETS CONTINUED

IMPAIRMENT OF INTANGIBLE ASSETS

Key assumptions used in the impairment tests for significant intangible assets were as follows in 2025:

	Carrying amount of intangible assets (R'million)			Period covered by budgets and forecasts	Growth in revenue (% per annum) ¹	Average gross profit (% per annum)	Terminal growth (% per annum) ²	Pre-tax discount rate applied to cash flows (% per annum)
	Finite	Indefinite	Total					
AstraZeneca anaesthetics portfolio	–	19 772	19 772	5 years	5	59	1	9
MSD business	10	7 636	7 646	5 years	4	71	1	10
Viartis Latam portfolio	–	5 459	5 459	5 years	4	72	1	15
GSK thrombosis business	–	4 618	4 618	5 years	4	67	1	10
GSK anaesthetics portfolio	–	4 493	4 493	5 years	8	59	1	10
ELIZ products	695	4 726	5 421	5 years	4	62	1	11
Specialist global brands	–	3 285	3 285	5 years	1	62	0	11
GSK OTC brands	7	3 227	3 234	5 years	6	51	1	11
GSK classic brands	674	637	1 311	5 years	0	72	0	8
Sandoz China GSP licence	–	1 050	1 050	5 years	4	51	3	12

Based on the calculations, the appropriate impairments and reversal of impairments were recognised for these intangible assets.

The Directors and management have performed a sensitivity analysis in order to consider and assess the impact of possible changes in key assumptions on the recognised impairments. The assumptions that are considered to be the main drivers in the calculation of the value of the assets, where changes are reasonably possible, include price levels, the growth rate of the assets beyond the five-year forecast period and the discount rate used.

The table below sets out the outcome of the sensitivity analysis and the resulting hypothetical additional impairments that would result from this modelling. It is the Directors and management's view that the appropriate impairments and reversal of impairments were recognised at 30 June 2025.

	1% point reduction in revenue due to price reductions R'million	1% point reduction in terminal growth ² R'million	0,5% point increase in the pre-tax discount rate R'million
AstraZeneca anaesthetics portfolio	133	512	295
MSD business	23	202	116
GSK thrombosis business	45	172	115
GSK anaesthetics portfolio	61	305	177
Specialist global brands	49	185	111
GSK OTC brands	–	59	20
GSK classic brands	12	35	28

¹ Average compound annual growth rate during the period covered by above-mentioned budgets and forecasts.

² Average growth rate used to extrapolate cash flows beyond the period covered by the above-mentioned budgets and forecasts. In the case of finite life assets, this is to the end of their expected useful life.

1. INTANGIBLE ASSETS CONTINUED

IMPAIRMENT OF INTANGIBLE ASSETS CONTINUED

Key assumptions used in the impairment tests for significant intangible assets were as follows in 2024:

	Carrying amount of intangible assets (R'million)			Period covered by budgets and forecasts	Growth in revenue (% per annum) ¹	Average gross profit (% per annum)	Terminal growth (% per annum) ²	Pre-tax discount rate applied to cash flows (% per annum)
	Finite	Indefinite	Total					
AstraZeneca anaesthetics portfolio	–	19 740	19 740	5 years	3	63	1	9
MSD business	–	7 590	7 590	5 years	4	76	1	10
GSK thrombosis business	–	5 575	5 575	5 years	12	74	1	9
Viatis LATAM portfolio	–	5 091	5 091	5 years	11	78	1	18
GSK anaesthetics portfolio	–	4 714	4 714	5 years	8	62	2	9
ELIZ products	583	4 131	4 714	5 years	4	64	1	10
Specialist global brands	–	3 539	3 539	5 years	0	66	1	10
GSK OTC brands	7	2 874	2 881	5 years	8	50	1	11
GSK classic brands	809	653	1 462	5 years	(3)	76	1	7

The table below sets out the outcome of the sensitivity analysis and the resulting hypothetical additional impairments that would result from this modelling. It is the Directors and management's view that the appropriate impairments and reversal of impairments were recognised at 30 June 2024.

	1% reduction in revenue due to price reductions R'million	1% point in terminal growth ² R'million	0,5% increase in the pre-tax discount rate R'million
AstraZeneca anaesthetics portfolio	220	669	320
MSD business	–	94	–
GSK thrombosis business	105	372	237
GSK anaesthetics portfolio	97	354	285
Specialist global brands	32	77	29
GSK OTC brands	20	28	1
GSK classic brands	14	40	76

The Directors and management consider that changes in excess of those shown above are not probable, and that the remaining headroom between the value determined in the impairment tests and the carrying amounts of the intangible assets is sufficient to support the above disclosure.

¹ Average compound annual growth rate during the period covered by above-mentioned budgets and forecasts.

² Average growth rate used to extrapolate cash flows beyond period covered by above-mentioned budgets and forecasts. In the case of finite life assets, this is to the end of their expected useful life.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

1. INTANGIBLE ASSETS CONTINUED

IMPAIRMENT OF INTANGIBLE ASSETS CONTINUED

	Note	2025 R'million	2024 R'million
Impairment of intangible assets (included in other operating expenses)			
Impairment of intangible assets can be split as follows:			
AstraZeneca anaesthetics portfolio	1	1 679	692
GSK thrombosis business	1	1 195	998
mRNA technology	2	753	–
Specialist global brands	3	469	213
GSK anaesthetics portfolio	4	463	264
GSK classic brands	4	266	80
MSD business	5	208	–
Project and product development costs	6	75	113
Other		191	55
		5 299	2 415

The majority of the Group's Commercial Pharmaceutical intangible assets are owned by Aspen Global Inc. in Mauritius. The announced QDMTT has materially increased the tax rate used in the impairment assessments, contributing approximately R1,7 billion to the impairments. Other than this, the impairments have generally arisen as a result of a decline in the outlook of revenue and profitability but notable circumstances exist in the case of:

- 1) Slower post Volume Based Procurement ("VBP") recovery in China impacts on Diprovan (AstraZeneca anaesthetics portfolio) and Fraxiparine (GSK thrombosis business).
- 2) Relating to the Dispute, the amount has been fully written down to a nil recoverable amount.
- 3) A reduced sales outlook impacting three products within this portfolio.
- 4) Increasing competition and price inelasticity impacted two and four products within the GSK anaesthetics and GSK classic brands portfolios, respectively.
- 5) A reduced sales outlook impacts one product within this portfolio.
- 6) Product development and other projects, which were no longer technically or commercially feasible.

With the exception of intangible assets fully written off, the carrying value of intangible assets impaired or with impairment reversals have been determined based on either value-in-use calculations or fair value less costs to sell, using a five-year forecast horizon.

	Note	2025 R'million	2024 R'million
Reversal of impairments can be split as follows (included in other operating income)			
AstraZeneca anaesthetics portfolio	1	(622)	–
GSK OTC brands	2	(153)	(724)
ELIZ products		(88)	–
MSD business		(83)	(75)
GSK classic brands		(54)	–
Specialist global brands		(50)	–
Other		(102)	(178)
		(1 152)	(977)
Net impairment of intangible assets		4 147	1 438

- 1) The post VBP recovery on one product, Naropin, has been better than anticipated.
- 2) Relates to a brand discontinued in Australia and subsequently relaunched.

The impairment reversals have generally arisen as a result of an improvement in the outlook of revenue and profitability.

1. INTANGIBLE ASSETS CONTINUED

IMPAIRMENT OF INTANGIBLE ASSETS CONTINUED

Other key assumptions used (where appropriate and in relation to the material impairments) were:

	Growth in revenue (% per annum) ¹	Gross profit (% per annum)	Growth (% per annum) ²	Pre-tax discount rate applied to cash flows (% per annum)
2025				
Impairments				
AstraZeneca anaesthetics portfolio	9	51	1	11
GSK thrombosis business	0	49	1	11
Specialist global brands	1	63	0	11
GSK anaesthetics portfolio	4	57	1	10
GSK classic brands	(2)	68	(1)	9
MSD business	8	83	2	9
Impairment reversals				
AstraZeneca anaesthetics portfolio	7	41	2	10
GSK OTC brands	14	53	1	11
ELIZ products	0	58	(1)	11
MSD business	5	37	0	9
Specialist global brands	0	35	(2)	12
	Growth in revenue (% per annum) ¹	Gross profit (% per annum)	Growth (% per annum) ²	Pre-tax discount rate applied to cash flows (% per annum)
2024				
Impairments				
GSK thrombosis business	9	63	1	9
AstraZeneca anaesthetics portfolio	0	61	2	10
Specialist global brands	6	58	1	11
GSK anaesthetics portfolio	1	57	2	9
GSK classic brands	(1)	72	1	8
Impairments reversals				
GSK OTC brands	43	78	2	9
MSD business	4	66	1	11

¹ Average compound average growth rate during the above-mentioned five-year forecast.

² Average growth rate used to extrapolate cash flows beyond the above-mentioned five-year forecast. In the case of finite life assets, this is to the end of their expected useful life.

COMMITMENTS

Capital commitments include all projects for which specific Board approval has been obtained up to the reporting date. Capital expenditure will be financed from funds generated out of normal business operations and existing borrowing facilities. Projects still under investigation for which specific Board approval has not yet been obtained are excluded from the following:

Authorised and contracted for

Authorised but not yet contracted for

	2025 R'million	2024 R'million
	697	580
	689	623
	1 386	1 203

OTHER DISCLOSURES

No intangible assets have been pledged as security for borrowings.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

2. PROPERTY, PLANT AND EQUIPMENT

ACCOUNTING POLICY

Recognition and measurement

Property, plant and equipment is stated at historical cost less accumulated depreciation and accumulated impairment losses.

Cost

Historical cost includes expenditure that is directly attributable to the acquisition of the items.

The cost of self-constructed assets includes expenditure on materials, direct labour and an allocated proportion of project overheads. Costs capitalised for work-in-progress in respect of activities to develop, expand or enhance items of property, plant and equipment are classified as part of assets under capital work-in-progress. Subsequent costs are included in the asset's carrying amount, or recognised as a separate asset, only when it is probable that the future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the statement of comprehensive income in the period in which they are incurred.

Profit or losses on disposals of property, plant and equipment are determined by comparing proceeds with the carrying amount and are included in operating profit in the statement of comprehensive income. An item of property, plant and equipment and any significant part initially recognised is derecognised upon disposal (i.e. at the date the recipient obtains control) or when no future economic benefits are expected from its use or disposal. Any profit or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the statement of profit or loss when the asset is derecognised.

Costs directly attributable to major development projects of property, plant and equipment are capitalised to the asset.

Depreciation

Property, plant and equipment is depreciated to its estimated residual value on a straight-line basis over its expected useful life or unit of production method. The assets' residual values, unit of production and useful lives are reviewed, and adjusted if appropriate, at each year-end date.

Land and buildings comprise mainly factories and office buildings. Owned land is not depreciated.

Impairment

The Group reviews the carrying amount of its property, plant and equipment annually and if events occur which call into question the carrying amount of the assets to determine whether there is any indication of impairment. If any such indication exists, the recoverable amount of the asset is estimated, being the higher of the asset's fair value less cost to sell and value-in use. In assessing value-in-use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purposes of assessing impairment, assets are grouped at the lowest level for which there are separately identifiable cash flows (cash-generating units). Where the carrying value exceeds the estimated recoverable amount, such assets are written down to their recoverable amount. Property, plant and equipment that have been impaired in past financial years are reviewed for possible reversal of impairment at each reporting date. Impairment charges and reversals are included in other operating expenses and other operating income in the statement of comprehensive income.

SIGNIFICANT JUDGEMENTS AND ESTIMATES

Depreciation and residual values

The Group depreciates its assets over their estimated useful lives. The estimation of the useful lives of assets is based on historic performance as well as expectations about future use, and therefore requires a significant degree of judgement to be applied by management. The actual lives of these assets can vary depending on a variety of factors, including technological innovation, product lifecycles and maintenance programmes. These depreciation rates represent management's current best estimate of the useful lives of these assets.

Significant judgement is applied by management when determining the residual values for property, plant and equipment. When determining the residual value, the following factors are taken into account:

- external residual value information (if available); and
- internal technical assessments for complex plant and machinery.

The Group has reviewed the residual values and useful lives of the assets. No material adjustment resulted from such review in the current year.

Depreciation rates

The estimated remaining useful life information for 2025 was as follows:

Buildings	Up to	50	years
Plant and equipment	Up to	30	years
Computer equipment	Up to	10	years
Office equipment and furniture	Up to	15	years

2. PROPERTY, PLANT AND EQUIPMENT CONTINUED

RECONCILIATION OF BALANCE

	Land and buildings R'million	Plant and equipment R'million	Other tangible assets ¹ R'million	Capital work-in- progress R'million	Total R'million
2025					
Carrying amount					
Cost	8 378	11 244	2 530	8 887	31 039
Accumulated depreciation	(2 101)	(5 430)	(1 371)	–	(8 902)
Accumulated impairment losses	(311)	(125)	(3)	(395)	(834)
	5 966	5 689	1 156	8 492	21 303
Movement in property, plant and equipment					
Carrying amount at the beginning of the year	6 030	5 301	917	7 698	19 946
Additions	129	488	198	1 761	2 576
Borrowing costs capitalised ²	–	–	–	228	228
Disposals	(20)	(33)	(3)	–	(56)
Depreciation	(258)	(815)	(147)	–	(1 220)
Reclassification between classes of assets	193	677	132	(1 002)	–
Impairment losses	(203)	(97)	–	(297)	(597)
Impairment losses reversed	1	–	–	–	1
Currency translation movements	94	168	59	104	425
	5 966	5 689	1 156	8 492	21 303
2024					
Carrying amount					
Cost	7 945	9 708	2 206	7 786	27 645
Accumulated depreciation	(1 803)	(4 385)	(1 286)	–	(7 474)
Accumulated impairment losses	(112)	(22)	(3)	(88)	(225)
	6 030	5 301	917	7 698	19 946
Movement in property, plant and equipment					
Carrying amount at the beginning of the year	5 992	5 182	791	6 530	18 495
Additions	288	389	195	2 245	3 117
Acquisition of Sandoz China	–	–	15	–	15
Borrowing costs capitalised ²	–	–	–	124	124
Disposals	–	(20)	–	–	(20)
Depreciation	(285)	(753)	(133)	–	(1 171)
Reclassification between classes of assets	162	699	98	(959)	–
Impairment losses	–	(6)	–	(78)	(84)
Currency translation movements	(127)	(190)	(49)	(164)	(530)
	6 030	5 301	917	7 698	19 946

¹ Other tangible assets comprise computer equipment, office equipment and furniture.

² Borrowing costs capitalised represent financing costs arising on the construction of qualifying assets. The capitalisation rate for the year was 9,1% (2024: 8,8%).

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

2. PROPERTY, PLANT AND EQUIPMENT CONTINUED

IMPAIRMENTS

	2025 R'million	2024 R'million
Split of movement		
European factories	128	74
South African factories	463	–
Other	6	10
	597	84
European factories		
Final discontinuation of the polybag line, due to declining product demand, within the anaesthetics facility at the French factory. In the prior year, the polybag line was partially impaired.		
South African factories		
The impairment for South African operations relates mainly to the closure of the eyedrop facility, coupled with various strategic projects which have been discontinued as they are no longer commercially viable, and has been written down to a nil recoverable amount.		
COMMITMENTS		
Capital commitments		
Capital commitments, excluding potential capitalised borrowing costs, include all projects for which specific Board approval has been obtained up to the reporting date. Capital expenditure will be financed from funds generated out of normal business operations and existing borrowing facilities. Projects still under investigation for which specific Board approvals have not yet been obtained are excluded from the following:		
Authorised and contracted for	625	932
Authorised but not yet contracted for	1 965	1 598
	2 590	2 530
Summary of land and buildings		
Land	868	800
Buildings	5 098	5 230
	5 966	6 030
The depreciation charge was classified as follows in the statement of comprehensive income		
Cost of sales	1 112	1 087
Selling and distribution expenses	37	27
Administrative expenses	71	57
	1 220	1 171

No property, plant and equipment was pledged or committed as security for any borrowings.

3. RIGHT-OF-USE ASSETS

ACCOUNTING POLICY

Group's leasing activities

The Group's leases include office and warehouse buildings, vehicles, plant and machinery and computer hardware. Rental contracts are for fixed periods varying between two to six years but may have renewal periods as described below.

At inception of a contract, the Group assesses whether a contract is, or contains a lease. A contract is, or contains a lease, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Recognition and measurement

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the lease commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

3. RIGHT-OF-USE ASSETS CONTINUED

ACCOUNTING POLICY CONTINUED

Depreciation

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The estimated useful lives of right-of-use assets are determined as the shorter of the asset's useful life and the lease term, including options to extend and or terminate the lease if the Group is reasonably certain it will exercise the option. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The estimated remaining useful life information for 2025 was as follows:

Buildings	Up to	5	years
Motor vehicles	Up to	5	years
Plant and machinery	Up to	5	years
Computer hardware	Up to	5	years

Impairment

The Group reviews the carrying amount of its right-of-use assets annually and if events occur which call into question the carrying amount of the assets to determine whether there is any indication of impairment. If any such indication exists, the recoverable amount of the asset is estimated, being the higher of the asset's fair value less cost to sell and value-in-use.

In assessing value-in-use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purposes of assessing impairment, assets are grouped at the lowest level for which there are separately identifiable cash flows (cash-generating units). Where the carrying value exceeds the estimated recoverable amount, such assets are written down to their recoverable amount.

Right-of-use assets that have been impaired in past financial years are reviewed for possible reversal of impairment at each reporting date.

Impairment charges and reversals are included in other operating expenses and other operating income in the statement of comprehensive income.

Renewal and termination options

A number of lease contracts include the option to renew the lease for a further period or terminate the lease earlier. The majority of extension and termination options held are exercisable only by the Group and not by the respective lessor.

In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option. Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated). The Group applies judgement in assessing whether it is reasonably likely that options will be exercised. Factors considered include how far in the future an option occurs, the Group's business planning cycle, significance of related leasehold improvements and past history of terminating/not renewing leases.

The lease term is reassessed if a significant event or a significant change in circumstances occurs which affects this assessment and that is within the control of the lessee.

A number of leases entitle both the Group and the lessor to terminate the lease without a termination penalty. In determining whether the Group has an economic incentive to not exercise the termination option, the Group considers the broader economics of the contract and not only contractual termination payments.

Lease and non-lease components

A number of lease contracts include both lease and non-lease components (e.g. maintenance, security, taxes, etc). The Group allocates the consideration in the contract to each lease and non-lease component based on their relative stand-alone prices. The stand-alone prices of each component are based on available market prices. The Group has not elected the practical expedient to account for non-lease components as part of its lease liabilities and right-of-use assets. Therefore, non-lease components are accounted for as operating expenses and are recognised in the statement of comprehensive income as they are incurred.

Short-term leases and leases of low-value assets

The Group elected not to recognise right-of-use assets and lease liabilities for short-term leases that have a lease term of 12 months or less and leases of low-value assets, including information technology ("IT") equipment. The Group defines low-value leases as leases of assets for which the value of the underlying asset when it is new is R89 000 or less. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

3. RIGHT-OF-USE ASSETS CONTINUED

RECONCILIATION OF BALANCE

	Buildings R'million	Motor vehicles R'million	Plant and machinery R'million	Computer hardware R'million	Total R'million
2025					
Carrying amount					
Cost	634	179	167	54	1 034
Accumulated depreciation	(335)	(110)	(81)	(38)	(564)
Accumulated impairment losses	–	–	(66)	–	(66)
	299	69	20	16	404
Movement in right-of-use assets					
Carrying amount at the beginning of the year	307	116	124	16	563
Additions	278	–	1	9	288
Depreciation	(138)	(43)	(44)	(9)	(234)
Impairment ¹	–	–	(63)	–	(63)
Termination of leases	(152)	(8)	–	–	(160)
Currency translation movements	4	4	2	–	10
	299	69	20	16	404
2024					
Carrying amount					
Cost	674	263	157	47	1 141
Accumulated depreciation	(367)	(146)	(33)	(31)	(578)
	307	116	124	16	563
Movement in right-of-use assets					
Carrying amount at the beginning of the year	268	109	14	11	402
Additions	186	36	144	12	378
Depreciation	(132)	(51)	(29)	(7)	(219)
Acquisition of Sandoz China	–	35	–	–	35
Termination of leases	(2)	(6)	–	–	(8)
Currency translation movements	(13)	(7)	(5)	–	(25)
	307	116	124	16	563

¹ Impairment of cold storage facilities required specifically for the mRNA contract at the French factory has led to a nil recoverable amount.

3. RIGHT-OF-USE ASSETS CONTINUED

COMMITMENTS

SHORT-TERM LEASES AND LEASES OF LOW-VALUE ASSETS

	2025 R'million	2024 R'million
The Group has a number of insignificant short-term and low-value leased assets, which include leases of offices, warehouses and other equipment. These are not included in the right-of-use assets but expensed in terms of <i>IFRS 16 – Leases</i> . The future minimum lease commitments are as follows:		
Less than 1 year	4	20
Between 1 and 5 years	3	20
More than 5 years	1	1
	8	41

Short-term leases and leases of low-value assets comprises of a number of individually insignificant leases. These leasing arrangements do not impose any significant restrictions on the Group.

Amounts recognised in the statement of comprehensive income

Depreciation of right-of-use assets	234	219
Interest expense (included in financing costs)	35	29
Expenses relating to short-term and low-value lease assets (included in operating expenses)	74	54
	343	302

Amounts recognised in the statement of cash flows

Expenses relating to short-term and low-value lease assets (included in operating activities)	74	54
Interest paid (included in cash flows from operating activities)	35	29
Repayment of lease liabilities (included in financing activities)	205	201
Total cash outflow	314	284

The depreciation charge was classified as follows in the statement of comprehensive income

Cost of sales	67	51
Selling and distribution expenses	8	17
Administrative expenses	159	151
	234	219

Other disclosures

No right-of-use asset was pledged or committed as security for any borrowings.

4. GOODWILL

ACCOUNTING POLICY

Recognition and measurement

Goodwill on the acquisition of subsidiaries or businesses is capitalised and shown separately on the face of the statement of financial position and carried at cost less accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the business combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units. Where goodwill has been allocated to a CGU and part of the operation within that unit is disposed of, the goodwill associated with the disposed operation is included in the carrying amount of the operation when determining the profit or loss on disposal. Goodwill disposed in these circumstances is measured based on the relative values of the disposed operation and the portion of the CGU retained.

Cost

Goodwill is initially measured as the excess of the aggregate of the consideration transferred, the acquisition date fair value of previously held equity interests and the fair value of non-controlling interests over the net identifiable assets acquired and liabilities assumed. If the cost of the acquisition is less than the fair value of the net assets of the subsidiary acquired, the difference is recognised directly in the statement of comprehensive income

The profit or loss realised on disposal or termination of an entity is calculated after taking into account the carrying amount of any related goodwill.

Impairment

For the purposes of impairment testing, goodwill is allocated to the smallest CGU. Each of those CGUs represents the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets. The allocation is made to those CGUs or groups of CGUs that are expected to benefit from the business combination in which the goodwill arose. Impairment assessments are performed annually, or more frequently if there are indicators that the balance might be impaired. Impairment testing is performed by comparing the value-in-use of the CGU to the carrying amount. Impairment testing is only performed on CGUs that are considered to be significant in comparison to the total carrying amount of goodwill. Impairment charges are included in other operating expenses in the statement of comprehensive income.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

4. GOODWILL CONTINUED

ACCOUNTING POLICY CONTINUED

Value-in-use

Key assumptions include the discount rate and cash flows used to determine the value-in-use. Future cash flows are estimated based on the most recent budgets and forecasts approved by management covering a five-year period and are extrapolated over the useful life of the asset to reflect the long-term plans for the Group using the estimated growth rate for the specific business or product. The estimated future cash flows and discount rates used are pre-tax based on an assessment of the current risks applicable to the specific entity and country in which it operates.

Management determines the expected performance of the assets based on the following:

- an assessment of existing products against past performance and market conditions;
- an assessment of existing products against existing market conditions; and
- the pipeline of products under development, applying past experiences of launch success and existing market conditions.

The growth rates used to extrapolate cash flow projections beyond the period covered by the budgets and forecasts take into account the long-term average rates of the industry in which the CGU is operating. Estimations are based on a number of key assumptions such as volume, price and product mix which will create a basis for future growth and gross margin. These assumptions are set in relation to historic figures and external reports on market growth. If necessary, these cash flows are then adjusted to take into account any changes in assumptions or operating conditions that have been identified subsequent to the preparation of the budgets and forecasts.

The weighted average cost of capital rate is derived from a pricing model based on credit risk and the cost of the debt. The variables used in the model are established on the basis of management judgement and current market conditions. Management judgement is also applied in estimating the future cash flows of the CGUs. These values are sensitive to the cash flows projected for the periods for which detailed forecasts are not available and to the assumptions regarding the long-term sustainability of the cash flows thereafter.

Impairment losses recognised for goodwill are not reversed in subsequent financial years.

RECONCILIATION OF BALANCE

	2025 R'million	2024 R'million
Carrying amount at the beginning of the year	5 696	5 596
Acquisition of Sandoz China ¹	–	439
Impairment losses	–	(145)
Change in expected utilisation ²	(361)	–
Currency translation movements	(133)	(194)
	5 202	5 696
Split of balance		
Sigma business – Australasia	3 678	3 827
Sandoz China	429	439
French sterile facility	242	226
Australian ENT business	233	243
AstraZeneca anaesthetics portfolio	–	190
Aspen Oss B.V.	183	171
Africa business	159	159
Fine Chemicals Corporation (Pty) Limited	155	155
MSD business	20	120
Other	103	166
	5 202	5 696
¹ The 2024 figures relating to this line item have been restated as permitted by IFRS 3 – Business Combinations. Refer to note E in the statement of cash flows for further disclosure.		
² Certain of the Group's assets are no longer expected to be held for continued long-term use but instead are expected to be realised through sale in the foreseeable future. The change in the manner of recovery has resulted in a change in the deferred tax liability.		
Impairment can be split as follows		
AstraZeneca anaesthetics portfolio	–	144
Other	–	1
	–	145

4. GOODWILL CONTINUED

IMPAIRMENT OF GOODWILL

Key assumptions used in the impairment tests for goodwill were as follows in 2025:

	Carrying amount of goodwill (R'million)	Period covered by budgets and forecasts	Growth in revenue (% per annum) ¹	Average gross profit (% per annum)	Capital expenditure (per annum)	Terminal growth (% per annum) ²	Pre-tax discount rate applied to cash flows (% per annum)
Sigma business – Australasia	3 678	5 years	2	55	AUD12 million	3	9
Australian ENT business	233	5 years	6	59	–	3	9
French sterile facility ³	242	5 years	10	8	EUR21 million	3	11
Sandoz China	429	5 years	4	51	–	3	12
Aspen Oss B.V.	183	5 years	6	35	EUR19 million	4	11
Africa business	159	5 years	6	43	ZAR40 million	6	26
Fine Chemicals Corporation (Pty) Limited	155	12 years	13	28	ZAR65 million	3	14
MSD business	20	5 years	4	71	–	1	10

In the current year, based on the calculations, there were no impairments of goodwill.

The Directors and management have considered and assessed reasonably possible changes in key assumptions that could cause the carrying amounts of the various elements of goodwill to exceed their values in use. The assumptions that are considered to be the main drivers in the calculation of the value of the intangible assets and where changes are reasonably possible are: price levels, the growth rate of the assets beyond the five-year forecast period and the discount rate used.

Reasonably possible changes in these key assumptions are: a 1% reduction in revenue due to price declines, a 1% reduction in the terminal growth rate and a 0,5% increase in the pre-tax discount rate. In all cases, none of these changes resulted in a possible additional impairment.

Key assumptions used in the impairment tests for goodwill were as follows in 2024:

	Carrying amount of goodwill (R'million)	Period covered by forecasts and budgets	Growth in revenue (% per annum) ¹	Average gross profit (% per annum)	Capital expenditure (per annum)	Terminal growth (% per annum) ²	Pre-tax discount rate applied to cash flows (% per annum)
Sigma business – Australasia	3 827	5 years	2	50	AUD10 million	3	10
Australian ENT business	243	5 years	6	59	–	3	10
French sterile facility ³	226	5 years	(1)	26	EUR15 million	0	9
AstraZeneca anaesthetics portfolio	190	5 years	3	63	–	1	9
Aspen Oss B.V.	171	5 years	11	36	ZAR302 million	4	10
Africa business	159	5 years	7	43	ZAR33 million	7	25
Fine Chemicals Corporation (Pty) Limited	155	13 years	14	33	ZAR65 million	3	14
MSD business	120	5 years	4	76	–	1	10

¹ Average compound annual growth rate during the period covered by above-mentioned budgets and forecasts.

² Average growth rate used to extrapolate cash flows beyond period covered by above-mentioned budgets and forecasts.

³ The decrease in the average gross profit percentage reflects the impact of the loss of the mRNA contract.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

4. GOODWILL CONTINUED

IMPAIRMENT OF GOODWILL CONTINUED

The assumptions used for the material impairment at June 2024:

	Impairment value (R'million)	Growth in revenue (% per annum) ¹	Average gross profit (% per annum)	Terminal growth (% per annum) ²	Pre-tax discount rate applied to cash flows (% per annum)
AstraZeneca anaesthetics portfolio	144	0	61	2	10

¹ Average compound annual growth rate during the period covered by above-mentioned budgets and forecasts.

² Average growth rate used to extrapolate cash flows beyond period covered by above-mentioned budgets and forecasts.

5. DEFERRED TAX

ACCOUNTING POLICY

Recognition and measurement

Deferred tax is provided using the liability method, providing for temporary differences arising between the tax base and the accounting carrying value of amounts reflected in the consolidated financial statements. Deferred tax is, however, not provided for temporary differences that arise from the initial recognition of an asset or liability where that transaction does not affect accounting and tax profits or losses. The only exception to this being when that asset or liability arises in terms of a business combination. Deferred tax is determined at tax rates that are enacted or substantively enacted at year-end and are expected to apply when that temporary difference reverses.

Deferred tax is not provided on temporary differences arising on investments in subsidiaries and associates where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred tax assets and liabilities are only offset to the extent that the balances are recoverable from the same tax authority and there is a legal right to offset them at settlement of those balances.

Significant judgements and estimates

A deferred tax asset is recognised for unused tax losses or deductible temporary differences only to the extent that it is probable that taxable profits will arise in the future against which the temporary differences can be utilised. Deferred tax assets are reviewed at each reporting date to ensure that the tax benefit will be realised. If it is determined that the tax benefit will not be realised, the deferred tax asset will be reversed.

RECONCILIATION OF BALANCE

	2025 R'million	2024 R'million
Deferred tax liabilities – opening balance	1 582	1 995
Deferred tax assets – opening balance	(1 794)	(1 579)
Net deferred tax (assets)/liabilities – opening balance	(212)	416
Credited to statement of profit or loss	(625)	(604)
Charge to other comprehensive income	2	1
Change in expected utilisation ¹	(918)	–
Acquisition of Sandoz China	–	(110)
Currency translation movements	(23)	86
	(1 776)	(212)

¹ Certain of the Group's assets are no longer expected to be held for continued long-term use but are instead expected to be realised through sale in the foreseeable future. The change in the manner of recovery has resulted in a change in the deferred tax liability.

Split of balance

Deferred tax liabilities	446	1 582
Deferred tax assets	(2 222)	(1 794)
	(1 776)	(212)

Deferred tax balance comprises²

Intangible assets and goodwill	255	1 198
Property, plant and equipment	929	832
Inventory (including provisions for inventory)	(911)	(801)
Trade and other receivables	(145)	(80)
Trade and other payables	(516)	(519)
Tax losses	(1 388)	(842)
	(1 776)	(212)

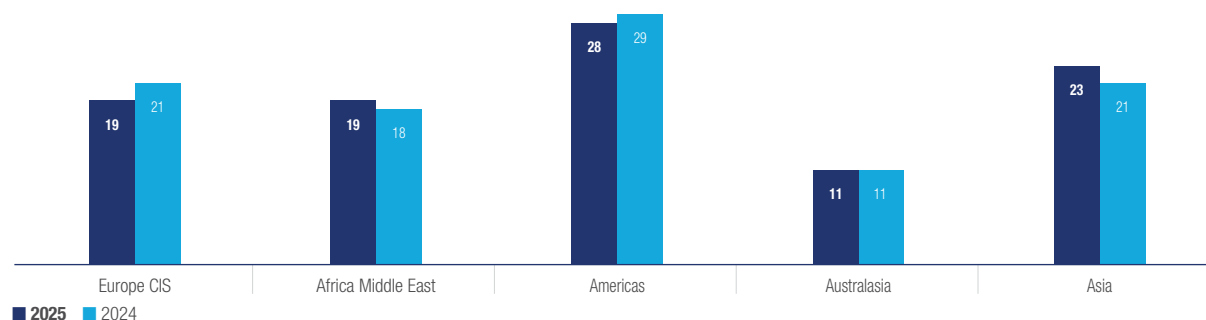
² In the current year, the number of disclosure categories was increased from five to six, resulting in the reclassification of inventory and trade receivable provisions to the related working capital categories. Comparatives have been re-presented for enhanced readability.

5. DEFERRED TAX CONTINUED

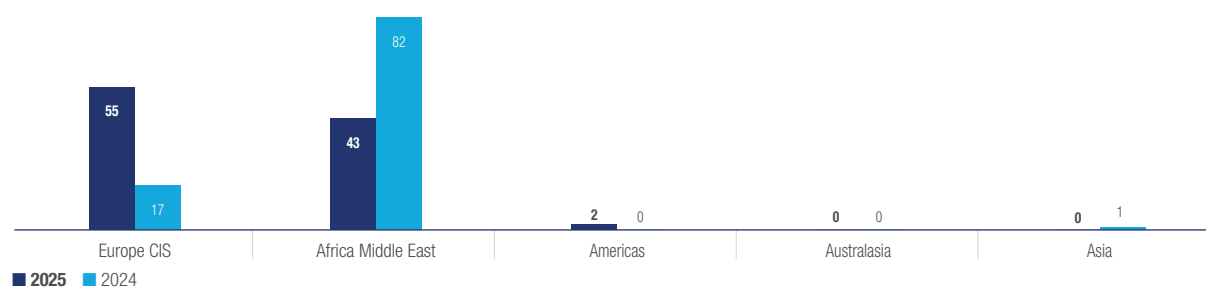
RECONCILIATION OF BALANCE CONTINUED

The deferred tax assets and liabilities that arise in the Group predominately arise in Europe CIS, Africa Middle East, Australasia, Americas and Asia. These balances are graphically reflected below:

Deferred tax assets (%)



Deferred tax liabilities (%)



On an annual basis, the Group assesses its deferred tax assets, especially relating to the timing of use of those assets. During the current year, we specifically considered the recoverability of the deferred tax assets relating to assessed losses, as the remaining deferred tax assets are realised during the subsequent year as provisions are reversed for accounting purposes and realised for tax purposes. In performing the assessment of deferred tax assets relating to assessed losses, we considered the duration in which those deferred tax assets will be utilised by applying a combination of the stress-tested management's earnings projections and the domestic tax rules relating to the utilisation of those assessed losses. To the extent that we believe that the deferred tax asset will be utilised within the foreseeable future, a deferred tax asset is raised. If, however, the domestic tax law, limits our ability to claim the assessed losses against taxable income or due to the fact that we believe the deferred tax asset will not be utilised in the foreseeable future, we would only raise a deferred tax asset based on the lower of the total assessed loss and the projected earnings.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

5. DEFERRED TAX CONTINUED

RECONCILIATION OF BALANCE CONTINUED

During the current year, the Group raised additional deferred tax assets in relation to the South African business units, European factories and Chinese companies relating to assessed losses that are projected to arise for these businesses. The Group is confident that these deferred tax assets will materialise in the foreseeable future.

In addition, the Group monitors changes in statutory tax rates to ensure the deferred tax asset or liability appropriately reflects the benefit or expense that will arise as the deferred tax asset or liability materialises. During the current year, the impact of changes in statutory tax rates was specifically considered in relation to Mauritius and adjustments to the deferred tax balances have been incorporated in the balances that have been disclosed for the respective Group companies. The Group does report its deferred tax assets and liabilities based on its ability to net those off against one another, assuming that the asset and liability arises in the same tax group for tax purposes.

Pillar Two

The Aspen Group (which has its ultimate parent entity located within South Africa) is within the scope of the Pillar Two global minimum tax rules, as the Group is a multinational enterprise with a turnover of more than EUR750 million, and thus a minimum effective corporate tax rate of 15% will be required to be applied in each jurisdiction in which Aspen operates.

The retrospective implementation of global minimum tax legislation in South Africa coupled with the announcement by the Mauritian government of a QDMTT of 15%, effective from FY2025, has negatively impacted both Commercial Pharmaceuticals intangible asset valuations and the Group's effective tax rates. The higher Group effective tax rate is expected to be sustained going forward. Refer to note 25 for detail on the higher effective tax rate.

The Group applies the exception to recognise and disclose information about deferred tax assets and liabilities related to Pillar Two income taxes, as provided in the amendments to *IAS 12 – Income Taxes* issued in May 2023.

In line with the European Union's Directive, several member states in which the Group operates have substantively enacted legislation.

6. CONTINGENT ENVIRONMENTAL INDEMNIFICATION ASSETS AND INDEMNIFICATION LIABILITIES

ACCOUNTING POLICY

Recognition and measurement

The contingent environmental indemnification assets and contingent environmental liabilities relate to environmental remediation required at the Moleneind site at Aspen Oss B.V. in the Netherlands. The remediation is being managed, undertaken and funded by MSD. However, as owner of the site, Aspen Oss B.V. has inherited a legal obligation for the remediation for which it has been indemnified by MSD. Consequently, Aspen has recognised contingent liabilities and corresponding contingent indemnification assets based on an independent estimate of the remediation cost. In view of MSD's involvement in the remediation process, the balances have been referred to as contingent as the settlement of the liabilities and the realisation of the indemnification assets are not expected to have any cash flow implications for the Group.

Liabilities for environmental restoration are recognised when the Group has a legal or a constructive obligation, as a result of a past event, and it is probable that there may be an outflow of resources embodying economic benefits to settle the obligation and the obligation can be measured reliably. The environmental liabilities are measured at the present value of the expenditures expected to be required to settle the obligation, using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation.

RECONCILIATION OF BALANCE

	2025 R'million	2024 R'million
Carrying amount at the beginning of the year	298	343
Decrease in liability from updated assessment	(25)	(27)
Currency translation movements	21	(18)
	294	298

Following the most recent annual assessment of the estimated pollution of the Moleneind land at Aspen Oss B.V., MSD, in consultation with management, concluded that the estimated remediation cost is EUR14 million (2024: EUR15 million).

7. OTHER NON-CURRENT AND CURRENT RECEIVABLES

ACCOUNTING POLICY

Recognition and measurement

Other non-current and current receivables are initially recognised at fair value and subsequently measured at amortised cost, less impairments, using the effective interest rate method. No fair value adjustment is made for the effect of time value of money where receivables have a short-term profile.

We considered the expected credit losses on non-current and current receivables under the general model and the impact is not considered material.

Outstanding proceeds are of a contractual nature and no expected credit loss provision has been raised in accordance with IFRS 9 – *Financial Instruments*.

	2025 R'million	2024 R'million
RECONCILIATION OF BALANCE		
Carrying amount at the beginning of the year	826	417
Proceeds received per the statement of cash flows – average exchange rate	(6)	534
Contractual prepayment	–	595
Disposal of Oncology portfolio in USA	–	(52)
Other	(6)	(9)
Prepayment made to API supplier realised	(37)	(74)
Contractual prepayment realised	(118)	–
Currency translation movements	51	(51)
	716	826
Split of balance		
Non-current	554	654
Current	162	172
	716	826
SUMMARY OF BALANCE (NON-CURRENT AND CURRENT)¹		
Employee benefits – reimbursive rights	118	123
Prepayments made to API supplier	35	69
Contractual prepayment	498	573
Enterprise development loans	13	13
Other	52	48
	716	826
Split of balance		
Financial instruments	65	60
Non-financial instruments	651	766
	716	826

¹ All balances are stated at closing exchange rates.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

7. OTHER NON-CURRENT AND CURRENT RECEIVABLES CONTINUED

Employee benefits – reimbursive rights

As part of the GSK thrombosis business acquisition in 2014, Aspen acquired certain non-current employee-related liabilities (which have been included in retirement and other employee benefit obligations on the statement of financial position). As part of the agreement, GSK is responsible for pre-acquisition liabilities. The value of the non-current employee-related liabilities acquired are based on independent valuations, and as such an equal and opposite asset was recognised. GSK will reimburse Aspen as and when the liabilities are paid out to employees who qualify for the benefits. Management considers the credit risk associated with these non-current receivables to be low.

Prepayments made to API supplier

As of 1 January 2021, Aspen entered into a six-year supply agreement with a supplier of active pharmaceutical ingredients. This receivable is classified as a prepayment and will be realised over the period of the supply agreement based upon future volumes supplied. In the current year, R37 million (2024: R74 million) was realised in cost of sales in the statement of comprehensive income.

Contractual prepayment

Aspen made an advance rebate prepayment of R595 million (EUR 29 million) to an API customer to secure a five-year committed heparin supply, effective from 1 July 2024 onwards, with fixed committed quantities at a competitive price. This prepayment will be amortised over the five-year committed supply contract. In the current year, R118 million (EUR6 million) was realised in cost of sales in the statement of comprehensive income.

The realisation profile is set out below:

	2025 EUR'million	2024 EUR'million
Less than 1 year	6	6
Between 1 – 2 years	6	6
Between 2 – 5 years	12	17
	24	29

Enterprise development loans

Various agreements have been entered into with several Broad-Based Black Economic Empowerment beneficiaries whereby loan funding has been advanced by Aspen. These loans have various terms ranging from three to five years and all the loans will be repaid at the end of their respective terms. The loans bear no interest (2024: South African prime rate plus margins ranging from minus 2% to plus 1%).

All the loans are secured by either immovable property, specified movable assets or cession of specified book debts. In the current year and prior year, an assessment was performed on these loans, and the Group recognised no impairment against these enterprise development loans.

Exposure to credit risk

All of the Group's non-current and current financial assets at amortised cost are considered to have a reduced credit risk as there are no historical losses, therefore no loss allowance has been recognised for expected losses. The Group considers a financial instrument to have low credit risk when it has a low risk of default and the issuer has a strong capacity to meet its contractual cash flow obligations in the near term.

8. INVENTORIES

ACCOUNTING POLICY

Recognition and measurement

The Group recognises inventories initially at cost when it has control of the inventories, expects it to provide future economic benefits and the cost can be measured reliably. Cost is determined on the first-in-first-out basis. Cost includes expenditure incurred in acquiring, manufacturing and transporting the inventory to its present location. Inventories are subsequently measured at the lower of cost and net realisable value. The carrying amounts of finished goods and work-in-progress include raw materials, direct labour, other direct costs and related production overheads (based on normal operating capacity), but exclude borrowing costs. Net realisable value is the estimate of the selling price in the ordinary course of business, less the costs of completion and applicable variable selling expenses.

A provision for obsolete inventories is established when there is evidence that no future economic benefits will be obtained for such inventories. The carrying amount of the inventories is reduced and the amount of the loss is recognised in the statement of comprehensive income within cost of sales.

SIGNIFICANT JUDGEMENTS AND ESTIMATES

Estimation of provision for obsolete stock

Management is required to exercise significant judgement in estimating the provision for obsolete stock. Such judgement takes into account the following:

- change in technology;
- regulatory requirements; and
- stock nearing expiry dates.

SUMMARY OF BALANCE	2025 R'million	2024 R'million
Raw materials	4 468	4 425
Work-in-progress	3 334	5 606
Finished goods	9 143	7 064
Consumables	1 064	907
	18 009	18 002
IMPAIRMENT		
The impairment charge (included in cost of sales) is made up as follows		
Impairment of inventories recognised as an expense ¹	1 167	814
Movement in the provision for obsolete inventories	253	100
	1 420	914
¹ The write-down relates to expired pharmaceutical finished product inventories and manufacturing inventories write-offs. Due to the finite shelf life of pharmaceutical products, they are more susceptible to impairment. The manufacturing entities inherently incur inventory write-offs as a result of production-related inefficiencies.		
Reconciliation of provision for obsolete inventories		
Balance at the beginning of the year	1 237	1 165
Increase in the provision for obsolete inventories	253	100
Currency translation movements	256	(28)
	1 746	1 237

OTHER DISCLOSURES

Inventories to the value of R3,5 billion (2024: R3,3 billion) have been pledged as security for the MSD loan. The MSD loan will be fully paid off by September 2025, at which point the inventory pledge will also terminate. Refer to note 14.1.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

9. RECEIVABLES AND OTHER CURRENT ASSETS

ACCOUNTING POLICY

Recognition and measurement

Receivables and other current assets (except for trade receivables which are initially measured at transaction price) are initially recognised at fair value and subsequently measured at amortised cost, less expected credit losses, using the effective interest rate method. No fair value adjustment is made for the effect of time value of money when receivables have a short-term profile. Financial assets and liabilities are recognised and presented in the Group statement of financial position when the Group becomes a party to the instruments. Financial assets are recognised on the date the Group commits to purchase the instruments (trade date accounting).

Other receivables comprise receivables mainly of a contractual nature, initially recognised at fair value and subsequently at amortised cost. The remainder of other receivables which are not of a contractual nature is recognised initially at fair value and subsequently at fair value through profit or loss.

The Group applies the *IFRS 9 – Financial Instruments* simplified approach to measuring expected credit losses which uses an expected credit loss allowance/provision for all trade receivables. None of the trade and other receivables have a significant financing component.

IFRS 9 – Financial Instruments allows an entity to use a simplified “provision matrix” for calculating expected losses as a practical expedient for trade receivables, if consistent with the general principles for measuring expected losses. The provision matrix is based on an entity’s historical default rates over the expected life of the trade receivables and is adjusted for forward looking estimates.

We considered the expected credit losses on receivables other than trade receivables under the general model and the impact is not considered material.

This provision is recognised through the use of an allowance account for losses. The carrying amount of the asset is reduced and the amount of the loss is recognised in the statement of comprehensive income within selling and distribution expenses. When a trade receivable is uncollectible, it is written off against the allowance account for losses.

A default in trade receivables is when the counterparty fails to meet payment terms of 30 days. Trade receivables are written off where there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, among others, the failure of a debtor to engage in a repayment plan with the Group for a period of greater than 180 days past due.

If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised (such as an improvement in the debtor’s credit rating), the reversal of the previously recognised impairment loss is credited against selling and distribution expenses in the statement of comprehensive income.

9. RECEIVABLES AND OTHER CURRENT ASSETS CONTINUED

SUMMARY OF CURRENT ASSETS BALANCE

	Note	2025 R'million	2024 R'million
Trade and other receivables	9.1	13 162	12 486
Derivatives	18.2	15	6
Other current receivables	7	162	172
		13 339	12 664

9.1 TRADE AND OTHER RECEIVABLES SUMMARY OF BALANCE

Trade receivables	11 166	10 543
Allowance for credit losses	(520)	(244)
Net trade receivables	10 646	10 299
Indirect taxes	984	951
Prepayments	271	242
Other	1 261	994
	13 162	12 486

Split of balance

Financial assets	11 068	10 676
Non-financial assets	2 094	1 810
	13 162	12 486

Reconciliation of trade receivables

Carrying amount at the beginning of the year	10 543	10 349
Acquisition of Sandoz China	–	191
Cash movements	438	645
Bad debts written off	(9)	–
Currency translation movements	194	(642)
	11 166	10 543

Impairment

The impairment charge is made up as follows

Bad debts written off	9	–
Movement in the allowance for credit losses	263	11
	272	11

Reconciliation of allowance for credit losses¹

Balance at the beginning of the year	244	262
Increase in the allowance for credit losses	263	11
Currency translation movements	13	(29)
	520	244

¹ The allowance for credit losses includes specific and general credit loss provisions.

OTHER DISCLOSURES

Credit risk

The Group has policies in place to ensure that sales of products are made to customers with a solid credit history. Ongoing credit evaluations on the financial condition of customers are performed and where appropriate credit guarantee insurance cover is purchased. Balances to the value of R2 047 million (2024: R1 293 million) were covered by credit guarantee insurance. Trade receivables consist primarily of a large, widespread customer base. The granting of credit is controlled by application and account limits. Trade and other receivables are carefully monitored for impairment. One debtors balance (2024: one) constitutes a significant concentration of credit risk to an amount of R1 304 million (2024: R1 022 million). This balance constitutes 10% (2024: 10%) of the total gross trade receivables which relates to a customer with a longstanding relationship with the Group, and there have been no defaults on payments. There are no other single customers representing more than 10% of total gross trade receivables for the years ended 30 June 2025 and 2024.

The Group has made allowance for a specific customer relating to the Dispute as well as for other customers where the likelihood of repayment has become impaired. Amounts past their due dates which are not provided for are considered to be recoverable.

Impairment losses are recorded in the allowance account for losses until the Group is satisfied that no recovery of the amount owing is possible, at which point the amount is considered irrecoverable and is written off against the financial asset.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

9. RECEIVABLES AND OTHER CURRENT ASSETS CONTINUED

9.1 TRADE AND OTHER RECEIVABLES CONTINUED

OTHER DISCLOSURES CONTINUED

Impairment risk profile

The pharmaceutical business as a sector has a low trade receivables impairment risk profile as medicines are essential for ensuring the health of patients and non-payment of debts owing (and subsequent postponement of future medicine supply) would endanger the health and safety of patients and damage the reputation of both private and public sector customers.

Throughout its history, Aspen has reported a low incidence of trade receivables impairments and consequently from an operational risk management perspective do not rate this as a high-risk area. The expected credit loss risk only proportionately increases after the 90 days past due period.

Age analysis of trade receivables (financial instruments only)

	Fully performing R'million	Past due by 1 to 30 days R'million	Past due by 31 to 90 days R'million	Past due by 91 to 180 days R'million	Past due by more than 180 days R'million	Total R'million
2025						
Gross trade receivables	9 147	855	604	340	220	11 166
Specific provisions – 100% considered unrecoverable ¹	–	–	(265)	(21)	(37)	(323)
Gross trade receivables net of specific provision	9 147	855	339	319	183	10 843
General credit loss provision ²	(50)	(23)	(20)	(8)	(96)	(197)
Net carrying amount	9 097	832	319	311	87	10 646

	Fully performing R'million	Past due by 1 to 30 days R'million	Past due by 31 to 90 days R'million	Past due by 91 to 180 days R'million	Past due by more than 180 days R'million	Total R'million
2024						
Gross trade receivables	8 784	862	608	122	167	10 543
Specific provisions – 100% considered unrecoverable ¹	–	–	–	(2)	(47)	(49)
Gross trade receivables net of specific provision	8 784	862	608	120	120	10 494
General credit loss provision ²	(53)	(31)	(31)	(12)	(68)	(195)
Net carrying amount	8 731	831	577	108	52	10 299

¹ Specific provisions are raised when there is objective evidence that the amount outstanding will no longer be received in full. The Manufacturing segment has been negatively impacted by the Dispute. The Dispute, the details of which are subject to contractual confidentiality, relates to a manufacturing and technology agreement with a contract manufacturing customer for mRNA products resulting in a R265 million increase in the specific expected credit allowance.

² The general credit loss provision is calculated based on assumptions about risk of default and expected loss rates. The Group uses judgement in making these assumptions and selecting the inputs to the impairment calculation, based on the Group's past history and existing market conditions. The significant changes in trade and other receivables are disclosed above and credit risk exposure is disclosed further below. The expected credit loss provision is 2% (2024 : 2%) of gross trade receivables.

9. RECEIVABLES AND OTHER CURRENT ASSETS CONTINUED

9.1 TRADE AND OTHER RECEIVABLES CONTINUED

OTHER DISCLOSURES CONTINUED

The Group applies the *IFRS 9 – Financial Instruments* simplified approach to measure expected credit losses, which uses a lifetime expected loss allowance for all trade receivables. Expected credit losses are measured based on days past due for groupings of various customer segments with similar loss patterns, i.e. by geography, customer type and rating, and credit insurance. The Group concluded that the expected loss rates for trade receivables are a reasonable approximation of the loss rates.

The expected loss rates are based on the payment profiles over a period of three years before 30 June 2024 or 30 June 2025, respectively, and the corresponding historical credit losses experienced within that period. The historical loss rates are adjusted to reflect current and forward looking information on macro-economic factors affecting the ability of the customers to settle the receivables.

Management's assessment of the allowance account for losses has resulted in an increase in the expected credit loss provision. The Group has made appropriate adjustments to the historical loss rates to reflect the current economic environment as well as forward looking information on macro-economic factors affecting the ability of the customers to settle the receivables. The Group has identified the customer's liquidity and solvency status, the ongoing trading ability of the customers to which it sells its goods to be the most relevant factors, and accordingly adjusts the historical loss rates based on expected change in these factors. The impact of forward looking information has been taken into account to determine the expected credit loss provision in the current year of R520 million (2024: R244 million).

	2025 R'million	2024 R'million
Currency analysis of trade and other receivables (financial instruments only)		
Euro	3 592	4 050
South African Rand	2 063	1 528
Australian Dollar	888	595
US Dollar	734	1 186
Brazilian Real	675	550
Chinese Yuan Renminbi	579	445
Mexican Peso	493	410
New Zealand Dollar	217	297
Saudi Arabian Riyal	196	138
Colombian Peso	190	171
Tanzanian Shilling	149	148
British Pound Sterling	148	144
Swedish Krona	141	130
Russian Ruble	67	86
Other currencies	936	798
	11 068	10 676

General

The Group holds no collateral over any trade and other receivables.

Trade and other receivables are predominantly non-interest bearing.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

10. CASH AND CASH EQUIVALENTS

ACCOUNTING POLICY

Recognition and measurement

Cash and cash equivalents are initially measured at fair value and subsequently carried at amortised cost. For the purposes of the statement of financial position, cash and cash equivalents comprise bank balances and short-term bank deposits. For the purposes of the statement of cash flows, cash and cash equivalents comprise bank balances, short-term bank deposits less bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities on the statement of financial position. Bank overdrafts are repayable on demand. In the current year, the South African business replaced its notional cash pool with a physical cash pool thereby eliminating the gross cash and overdraft positions.

Financial instruments

Cash and cash equivalents are accounted for at amortised cost and bank overdrafts are accounted for as financial liabilities in accordance with the accounting policy disclosed in note 13.

SUMMARY OF BALANCE	2025 R'million	2024 R'million
Bank balances	3 714	11 751
Short-term bank deposits	2 688	571
Cash-on-hand	7	15
	6 409	12 337

OTHER DISCLOSURES

Credit risk

Treasury counterparties consist of a diversified group of financial institutions. Cash balances are placed with different financial institutions to minimise risk. The Group does not expect any treasury counterparties to fail to meet their obligations, given their high credit ratings. At 30 June 2025, more than 95% (2024: 94%) of the Group's cash and cash equivalent balances were held with institutions with an international credit rating of BB or better.

	2025 R'million	2024 R'million
Currency analysis of cash and cash equivalents		
US Dollar	1 345	1 356
Brazilian Real	1 259	1 178
Mexican Peso	723	486
Australian Dollar	633	743
Euro	547	1 246
Chinese Yuan Renminbi	531	901
South African Rand	231	5 259
Canadian Dollar	134	305
Taiwan New Dollar	124	80
Philippine Peso	112	89
Colombian Peso	85	28
Russian Ruble	82	63
Tanzanian Shilling	34	116
British Pound Sterling	11	29
Other currencies	558	458
	6 409	12 337

General

The maturity profile of all cash and cash equivalents balances is less than three months.

The average effective interest rate on interest-bearing cash and cash equivalents is 5,2% (2024: 9,5%).

11. SHARE CAPITAL (NET OF TREASURY SHARES)

ACCOUNTING POLICY

Share capital

Issued share capital is stated in the statement of changes in equity at the amount of the proceeds received, less directly attributable issue costs.

Treasury shares

Shares in the Company held by Group subsidiaries and unvested restricted shares held for employee participants in the Group's share plans are classified as treasury shares. The cost price of these shares, together with related transaction costs, is deducted from equity. Dividends received on treasury shares are eliminated on consolidation except to the extent that they are paid to participants in the share plans.

When treasury shares held for participants in the share plans vest in such participants, the shares will no longer be classified as treasury shares and their cost will no longer be deducted from equity.

	Note	2025 R'million	2024 R'million
Split of balance			
Share capital	11.1	2 017	2 017
Treasury shares	11.2	(363)	(364)
		1 654	1 653
11.1 SHARE CAPITAL			
Authorised			
717 600 000 (2024: 717 600 000) ordinary shares of no par value		–	–
Issued			
446 252 332 (2024: 446 252 332) ordinary shares of no par value		2 017	2 017
RECONCILIATION OF SHARES		Million	Million
Shares in issue at the beginning and end of the year		446,3	446,3
The unissued shares have been placed under the control of the directors until the forthcoming annual general meeting. All shares are fully paid up, and no shares were issued during the year.			
11.2 TREASURY SHARES		2025 R'million	2024 R'million
Treasury shares held			
2 229 779 (2024: 2 019 047) ordinary shares of no par value		363	364
RECONCILIATION OF BALANCE			
At the beginning of the year		364	348
Shares purchased		68	56
Deferred incentive bonus shares exercised		(69)	(40)
		363	364
RECONCILIATION OF SHARES		Million	Million
Number of shares at the beginning of the year		2,0	2,0
Shares purchased		0,4	0,3
Deferred incentive bonus shares exercised		(0,2)	(0,3)
		2,2	2,0

Notes to the Group annual financial statements continued

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12. SHARE-BASED COMPENSATION RESERVE

ACCOUNTING POLICY

The Group has equity-settled and cash-settled share-based compensation plans.

Deferred incentive bonuses and phantom shares are granted to management and key employees. The South African Management Deferred Incentive Bonus Scheme is a compound financial instrument with both an equity and a cash-settled portion. There is one cash-settled scheme, Aspen International Phantom Share Scheme, under which the entity receives services from employees in exchange for cash based on changes in the Aspen share price.

When instruments are exercised, the proceeds received, net of any directly attributable transaction costs, are credited to share capital.

Equity-settled schemes

The equity-settled scheme allows certain employees the rights to acquire ordinary shares in Aspen Pharmacare Holdings Limited. Such equity-settled share-based payments are measured at fair value at the date of the grant. The fair value determined at grant date of the equity-settled share-based payment is charged as employee costs, with a corresponding increase in equity, on a straight-line basis over the period that the employee becomes unconditionally entitled to the shares, based on management's estimate of the shares that will vest and adjusted for the effect of non-market vesting conditions. The equity portion of the deferred incentive bonus is not subsequently revalued.

Cash-settled schemes

For cash-settled share awards, the services received from employees are measured at fair value and recognised in the statement of comprehensive income as an expense over the vesting period with recognition of a corresponding liability in trade and other payables. The fair value of the liability is remeasured at each reporting date and at the date of settlement, with changes in fair value recognised in the statement of comprehensive income.

Compound financial instrument share scheme

The Group has entered into a share-based payment agreement whereby the employee has the right to choose either settlement in cash or settlement in equity. The entity has thus granted a compound financial instrument, which includes a debt component and an equity component.

On the measurement date, management first measured the fair value of the debt component. Thereafter, the fair value of the equity instrument was measured, taking into consideration the fact that the employee forfeits the right to receive cash in order to obtain the shares.

The services received from the employees in respect of each component (debt and equity) shall be accounted for separately at each reporting date. The debt component will be accounted for as a cash-settled share-based payment arrangement. The debt component shall therefore be measured at fair value at each reporting date, with changes in fair value recognised in the statement of comprehensive income over the period that the employee provides services to the Group.

12. SHARE-BASED COMPENSATION RESERVE CONTINUED

SUMMARY OF SCHEMES

The Group currently operates the following share-based payment schemes:

The Aspen Management Deferred Incentive Scheme (formally referred to as The South African Management Deferred Incentive Bonus Scheme ("SAMDIBS"))

	MEDIUM-TERM INCENTIVE SCHEME	LONG-TERM INCENTIVE SCHEME
Nature and strategic intent of the scheme	The scheme is designed to acknowledge performance and reward individuals for achievement of both the relevant Aspen business which employs the individual and the individual's performance for the trading period immediately preceding the date that the award is made. The medium-term incentives ("MTI") seek to reward sustained performance against predetermined Group and business unit KPIs on a deferred and conditional bonus basis based on short-term incentives ("STI") achievements and further serves as a retention mechanism for employees in the medium term.	The scheme is designed to align shareholder and executive interest over the medium to long term. The long-term incentives ("LTI") support the achievement of longer-term sustainable value creation based on a selection of suitable long-term KPIs (both financial and non-financial) and carries a sizeable weighting in each executive's performance measurement. The LTI seeks to reward sustained performance against predetermined Group KPIs, incentivise stretch performance, align executive performance through unvested shareholding as well as serve as a retention incentive. The LTI is both conditional and forfeitable based on performance. The Aspen Management Long-Term Incentive Scheme has separate senior executive deferred (conditional and forfeitable) retention components aimed at the retention of a limited number of key senior executives.
Determination of value of awards	The medium-term incentive bonus is calculated on the same performance measures as the STIs. The total performance measure is determined by calculating the weighted average of the percentage performance outcome assigned to each KPI, which is then converted to an MTI score based on an agreed MTI scoring table.	Performance levels are defined at two levels: on target and stretch (two stretch levels). The award is conditional on sustained outperformance over three years against the predetermined Group KPIs. This performance is measured at year one and year three, with the award adjusted upwards or downwards based on the actual performance achieved over the three-year period. Each KPI is separately measured and the award for each KPI is independent of the performance achieved in the other two KPIs. In term of the deferred retention scheme, the value of the awards granted to employees in terms of this component of the scheme is on an <i>ad hoc</i> basis and at the discretion of the Group Chief Executive in consultation with the Remuneration & Nomination Committee.
Vesting	MTI shares settle after three-year vesting period. Should the employee retire within the three-year period, the vesting of the awards will be accelerated to the date of retirement. Employees who resign or who are dismissed for any reason other than retirement, retrenchment or medical incapacity will forfeit unvested awards.	LTI shares settle after three-year vesting period, with 25% released for trade in year four and 25% in year five. Should the employee retire within the three-year period, the vesting of the awards will be accelerated to the date of retirement. Employees who resign or who are dismissed for any reason other than retirement, retrenchment or medical incapacity will forfeit unvested awards. Additional deferred retention shares awards settle over periods of three, five and seven years (the legacy scheme also included 10-year vesting period, but this is no longer applied).

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12. SHARE-BASED COMPENSATION RESERVE CONTINUED

SUMMARY OF SCHEMES CONTINUED

The Aspen International Incentive Share Scheme (formally referred to as The International Phantom Share Scheme ("IPSS"))

	MEDIUM-TERM INCENTIVE SCHEME	LONG-TERM INCENTIVE SCHEME
Nature and strategic intent of the scheme	To incentivise the management of Aspen's non-South African businesses in the long term, a phantom share scheme exists for key senior managers and executives. The scheme has been designed to incentivise managers for the long term, align their goals with those of the Aspen Group and to match their reward to movements in the Aspen share price. Due to regulatory restrictions in respect of transfer and ownership of Aspen shares to offshore employees, the scheme is operated on a phantom basis, which is designed to give an employee the same economic benefit.	The International Phantom Share Scheme has separate senior executive deferred (conditional and forfeitable) retention components which is aimed at retaining a limited number of key offshore senior executives.
Determination of value of awards	Except for the difference in settlement methods, the terms and conditions of the International Share Scheme are similar to the Management Deferred Incentive Scheme for South African participants in all material respects being designed to acknowledge and reward individual performance and the performance of the employee's business unit.	Except for the difference in settlement methods, the terms and conditions of the International Share Scheme are similar to the Management Deferred Incentive Scheme for South African participants in all material respects being designed to acknowledge and reward individual performance and the performance of the employee's business unit. In terms of the deferred retention scheme, the value of the awards granted to employees in terms of this component of the scheme is on an <i>ad hoc</i> basis and at the discretion of the Group Chief Executive in consultation with the Remuneration & Nomination Committee.
Vesting	MTI shares settle after a three-year vesting period. The phantom shares entitle eligible employees to receive a cash amount, which is linked to the Aspen share price.	LTI shares settle after a three-year vesting period, with 25% released for trade in year four and 25% in year five. Additional deferred retention share awards settle over periods of three, five and seven years (the legacy scheme also included 10-year vesting period but is no longer applied). The phantom shares entitle eligible employees to receive a cash amount which is linked to the Aspen share price.

Aspen South African Phantom Share Scheme

	MEDIUM TO LONG-TERM COMPONENT OF THE SCHEME
Nature and strategic intent of the scheme	In 2020, a South African Phantom Share Scheme was introduced with the intention of, under exceptional circumstances, compensating employees for medium or long-term incentives, which were held at previous employers but forfeited when the employee accepted a position at Aspen. This was an important mechanism required to attract the right calibre of skills and experience in a key competitive talent market.
Determination of value of awards	Operating as phantom shares, the value of the award is linked to the employment terms agreed upon and is linked to the movement in the Aspen share price. The value of the awards is awarded upon the start date of the employee.
Vesting	Settlement can be by means of a cash payment or a purchase of shares following an agreed vesting period. Employees who resign or who are dismissed for any reason other than retirement, retrenchment or medical incapacity forfeit unvested awards.

12. SHARE-BASED COMPENSATION RESERVE CONTINUED

RECONCILIATION OF SCHEMES

Aspen South African Management Deferred Incentive Bonus Scheme

2025

Award price (R)	Expiry date	Shares outstanding on 30 June 2024 '000 ¹	Awarded during the year '000 ²	Total dividends reinvested '000 ³	Released during the year '000	Lapsed/cancelled during the year '000 ⁴	Shares outstanding on 30 June 2025 '000 ¹	Fair value at award date (R)	Share price at award date (R)
194,44	Oct 2024	231	–	–	(231)	–	–	162,09	270,49
142,78	Aug 2025	98	–	2	–	–	100	139,04	140,02
142,78	Oct 2025	417	–	7	–	(19)	405	139,04	140,02
326,70	May 2026	190	–	–	–	–	190	365,00	317,50
106,74	May 2026	141	–	3	–	–	144	105,11	106,74
186,78	Oct 2026	269	–	5	–	(15)	259	183,62	186,04
195,31	Sep 2027	–	268	–	–	(11)	257	233,31	195,00
142,78	Aug 2027	131	–	2	–	–	133	139,04	140,02
142,78	Aug 2029	179	–	3	–	–	182	139,04	140,02
187,58	Dec 2026	–	24	–	–	–	24	233,31	203,50
187,58	Dec 2028	–	32	1	–	–	33	233,31	203,50
187,58	Dec 2030	–	44	1	–	–	45	233,31	203,50
		1 656	368	24	(231)	(45)	1 772		

2024

Award price (R)	Expiry date	Shares outstanding on 30 June 2023 '000	Awarded during the year '000 ²	Total dividends reinvested '000 ³	Released during the year '000	Lapsed/cancelled during the year '000 ⁴	Shares outstanding on 30 June 2024 '000 ¹	Fair value at award date (R)	Share price at award date (R)
108,98	Oct 2023	347	–	8	(355)	–	–	143,51	119,46
106,74	May 2024	138	–	3	(141)	–	–	105,11	106,74
194,44	Oct 2024	245	–	5	(8)	(11)	231	162,09	270,49
142,78	Aug 2025	96	–	2	–	–	98	139,04	140,02
142,78	Oct 2025	442	–	9	(11)	(23)	417	139,04	140,02
326,70	May 2026	214	–	–	–	(24)	190	365,00	317,50
106,74	May 2026	138	–	3	–	–	141	105,11	106,74
186,78	Oct 2026	–	288	–	(1)	(18)	269	183,62	186,04
142,78	Aug 2027	128	–	3	–	–	131	139,04	140,02
142,78	Aug 2029	176	–	3	–	–	179	139,04	140,02
		1 924	288	36	(516)	(76)	1 656		

The fair value was determined by reference to the share price on the award date.

¹ The total number of shares were not vested at 30 June 2025 and 30 June 2024.

² During the year the Group bought 0,4 million shares (2024: 0,3 million shares) that will be held in the respective Aspen Group employee company until vesting date. These shares are accounted for as treasury shares in the Group Annual Financial Statements.

³ Share equivalent of dividend value accrued to employees due to dividend that was declared during the year.

⁴ Lapsed or cancelled shares are reallocated to future grants.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

12. SHARE-BASED COMPENSATION RESERVE CONTINUED

RECONCILIATION OF SCHEMES CONTINUED

Aspen International Phantom Share Scheme 2025

Award price (R)	Expiry date	Shares outstanding on 30 June 2024 '000 ¹	Awarded during the year '000	Total dividends reinvested '000 ²	Exercised during the year '000	Lapsed/cancelled during the year '000	Shares outstanding on 30 June 2025 '000 ¹
192,63	Oct 2024	118	–	3	(121)	–	–
143,00	Oct 2025	245	–	–	–	(20)	225
187,10	Oct 2026	221	–	–	–	(23)	198
195,31	Sep 2027	–	246	–	–	(16)	230
326,70	May 2026	48	–	–	–	–	48
106,74	May 2026	71	–	2	–	–	73
142,78	Aug 2028	35	–	1	–	–	36
187,58	Dec 2026	–	12	–	–	–	12
187,58	Dec 2028	–	16	–	–	–	16
187,58	Dec 2030	–	22	–	–	–	22
		738	296	6	(121)	(59)	860

2024

Award price (R)	Expiry date	Shares outstanding on 30 June 2023 '000	Awarded during the year '000	Total dividends reinvested '000 ²	Exercised during the year '000	Lapsed/cancelled during the year '000	Shares outstanding on 30 June 2024 '000 ¹
138,29	Oct 2023	237	–	–	(221)	(16)	–
106,74	May 2024	70	–	1	(71)	–	–
192,63	Oct 2024	171	–	–	(18)	(35)	118
143,00	Oct 2025	316	–	–	(21)	(50)	245
326,70	May 2026	48	–	–	–	–	48
106,74	May 2026	70	–	1	–	–	71
187,10	Oct 2026	–	256	–	(8)	(27)	221
142,78	Aug 2028	34	–	1	–	–	35
		946	256	3	(339)	(128)	738

¹ The total number of shares were not vested at 30 June 2025 or 30 June 2024.

² Share equivalent of dividend value accrued to employees due to dividend that was declared during the year.

The fair value was determined by reference to the share price on the grant date. The closing share price on measurement date was R119,49 (2024: R233,31).

The liability included in trade and other payables on the statement of financial position relating to the Aspen International Phantom Share Scheme is R103 million (2024: R112 million).

13. BORROWINGS

ACCOUNTING POLICY

Recognition and measurement

Borrowings are recognised initially at fair value, net of transaction costs incurred. Borrowings are subsequently stated at amortised cost using the effective interest rate method. Any difference between the proceeds (net of transaction costs) and the redemption value is recognised in the statement of comprehensive income over the period of the borrowings. Costs incurred during the period of the borrowings (including costs relating to the extension of the maturity date of such borrowings) are recognised in the statement of comprehensive income when incurred.

The Group presents current and non-current borrowings separately on the face of the statement of financial position. A liability is classified as current unless the Group has an unconditional right to defer settlement of the liability for at least 12 months after year-end.

General and specific borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use or sale. Qualifying assets are assets that necessarily take a substantial period of time to get ready for their intended use or sale. All other borrowing costs are expensed in the statement of comprehensive income in the period in which they are incurred.

13. BORROWINGS CONTINUED

ACCOUNTING POLICY CONTINUED

Recognition and measurement continued

The Group enters into debt arrangements in the ordinary course of business. In certain instances, the Group may enter into debt arrangements where the proceeds from a new debt instrument may be used to settle obligations under an existing debt instrument. In each case, the Group assesses whether such an arrangement is a modification of the existing arrangement or whether the threshold for derecognising the existing arrangement has been met, in which case the existing arrangement is derecognised and a new liability is recognised for the new arrangement.

In determining whether the threshold for derecognising the existing arrangement has been met, the Group considers whether:

- the Group has been legally released from its obligations under the existing arrangement;
- the identity or composition of the Group of lenders and other relevant parties is identical to the existing arrangement;
- the existing contractual agreement is only amended, or whether it is substantially replaced; and/ or
- the new arrangement is in contemplation of the existing arrangement, indicating a continuation of the existing arrangement, or whether it indicates a new arrangement altogether.

The use of proceeds under the new debt arrangement to settle obligations under the existing debt arrangement does not preclude the meeting of the derecognition threshold.

When the derecognition threshold is met (i.e. the obligations under the existing liability are discharged, cancelled or expire), such a transaction is treated as an extinguishment and the existing financial liability is derecognised. A new liability is recognised for the new debt arrangement. The difference between the carrying amount of the existing financial liability and the consideration paid in extinguishing it is recognised in profit or loss.

Financial liabilities at amortised cost

Borrowings are classified as "liabilities at amortised cost" in terms of *IFRS 9 – Financial Instruments*. Financial liabilities are recognised on the transaction date when the Group becomes a party to the contract and thus has a contractual obligation and are derecognised when these contractual obligations are discharged, cancelled or expire.

Financial liabilities are derecognised when they are extinguished (i.e. when the obligation specified in the contract has been discharged, cancelled or has expired).

The exchange between the Group and its original lenders of debt instruments with substantially different terms, as well as substantial modifications of the terms of existing financial liabilities, are accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. The terms are substantially different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is at least 10% different from the discounted present value of the remaining cash flows of the original financial liability.

In addition, other qualitative factors, such as the currency that the instrument is denominated in, changes in the type of interest rate, new conversion features attached to the instrument and changes in covenants, are also taken into consideration. If an exchange of debt instruments or modification of terms is accounted for as an extinguishment, any costs or fees incurred are recognised as part of the gain or loss on the extinguishment, unless such costs or fees incurred are incremental and directly related to the issue of the new debt instrument, in which case any such costs or fees adjust the carrying amount of the liability and are amortised over the remaining term of the new financial liability. If the exchange or modification is not accounted for as an extinguishment, any costs or fees incurred adjust the carrying amount of the liability and are amortised over the remaining term of the modified liability.

Lease liabilities

The lease liability is initially measured at the present value of the following that are not paid at commencement date: fixed payments, variable lease payments that are based on an index or rate, are expected to be payable by the lessee under residual value guarantees, the exercise price of a purchase option if the lessee is reasonably certain to exercise that option and payments of penalties for terminating the lease, if the lease term reflects the lessee exercising that option. The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be readily determined, the Group's incremental borrowing rate is used, being the rate that the lessee would have to pay to borrow the funds necessary to obtain an asset of similar value in a similar economic environment with similar terms and conditions. Generally, the Group uses its incremental borrowing rate as the discount rate. The Group uses judgement in determining its incremental borrowing rate. The incremental borrowing rate is calculated by obtaining interest rates from various external financing sources and making certain adjustments specific to the lease, e.g. term, country and currency.

The lease liability is subsequently increased by the interest cost on the lease liability and decreased by lease payments made. Interest costs are charged to the statement of comprehensive income over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period. In addition, the carrying amount of lease liabilities is remeasured if there is modification, a change in the lease term, when there is a change in future lease payments arising from a change in index or rate, a change in the estimate of the amount payable under a residual value guarantee, or as appropriate, changes in the assessment of whether a purchase or extension option is reasonably certain to be exercised or a termination option is reasonably certain not to be exercised.

Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants other than the security interests in the leased assets that are held by the lessor. Leased assets may not be used as security for borrowing purposes.

Notes to the Group annual financial statements continued

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13. BORROWINGS CONTINUED

CURRENCY ANALYSIS AND MATURITY PROFILE OF TOTAL BORROWINGS

	Less than 1 year R'million	Between 1 – 2 years R'million	2025 Between 2 – 5 years R'million	Greater than 5 years R'million	Total R'million
Lease liabilities					
Various currencies	256	245	–	–	501
	256	245	–	–	501
Unsecured loans					
1) Euro syndicated term and revolving loans	2 505	3 549	16 863	3 132	26 049
Euro – capital raising fees	(65)	(52)	(85)	(23)	(225)
2) Australian Dollar syndicated term and revolving loans	–	–	2 330	–	2 330
Australian Dollar – capital raising fees	(2)	–	–	–	(2)
3) Rand syndicated term and revolving loans	–	–	5 550	–	5 550
4) Rand – other	1 920	–	–	–	1 920
Rand – capital raising fees	(2)	(1)	–	–	(3)
	4 356	3 496	24 658	3 109	35 619
Total borrowings	4 612	3 741	24 658	3 109	36 120

	Less than 1 year R'million	Between 1 – 2 years R'million	2024 Between 2 – 5 years R'million	Greater than 5 years R'million	Total R'million
Lease liabilities					
Various currencies	274	274	48	–	596
	274	274	48	–	596
Bank overdrafts¹					
Rand	5 117	–	–	–	5 117
	5 117	–	–	–	5 117
Unsecured loans					
1) Euro syndicated term and revolving loans	2 336	2 336	14 460	–	19 132
Euro – capital raising fees	(42)	(42)	(54)	–	(138)
2) Australian Dollar syndicated term and revolving loans	–	2 424	–	–	2 424
Australian Dollar – capital raising fees	(5)	(2)	–	–	(7)
3) Rand syndicated term and revolving loans	–	–	5 700	–	5 700
4) Rand – other	2 731	–	–	–	2 731
Rand – capital raising fees	(2)	(2)	(1)	–	(5)
5) Euro – other	905	–	–	–	905
	5 923	4 714	20 105	–	30 742
Total borrowings	11 314	4 988	20 153	–	36 455

¹ In the current year, the South African business replaced its notional cash pool with a physical cash pool thereby eliminating the gross cash and overdraft positions.

13. BORROWINGS CONTINUED

CURRENCY ANALYSIS AND MATURITY PROFILE OF TOTAL BORROWINGS CONTINUED

1) Euro syndicated term and revolving loans

Repayment profile at June 2025

The loan comprises	Amount EUR'million	Date obtained	Term	Interest terms ¹
Facility B loan ²	230	November 2022	Six years repayable November 2028	EURIBOR + margin of 1,90%
Facility C loan ²	98	November 2022	Six years repayable November 2028	EURIBOR + margin of 1,65%
DFI I loan	420	September 2021	Seven years payable in 10 equal semi-annual instalments commencing on 15 March 2024 and concluding on 15 September 2028	0% fixed rate + margin of 1,65%
DFI II loan	500	September 2024	Seven years payable in 10 equal semi-annual instalments commencing on 15 February 2027 and concluding on 15 August 2031	EURIBOR + margin of 1,65%

¹ Margin quoted for the Facility C loan includes utilisation fees of 0,10%. Such utilisation fees can range from 0,10% to 0,40% depending on the proportion of utilisation of the Facility C loan. Utilisation fees are not applicable for the Facility B and the Development Finance Institutions ("DFI") loans. To the extent that the Group's ratio of net borrowings to earnings before interest, tax, depreciation and amortisation (the "Leverage Ratio") increases or decreases, so the margin applicable to these loans will increase or decrease. The margin presented in this table is based on a Leverage Ratio of between 2,50 and 3,00 for Facility B and C loans and a Leverage Ratio of between 2,00 and 2,50 for DFI loans. This represents the margins applicable as of 30 June 2025. To the extent that EURIBOR is negative, EURIBOR is set at nil.

² The original maturity date for the Facility B loan and Facility C loan was 30 November 2026. In December 2024, the Group approached the lenders to request an extension of the maturity date of these loans by 24 months to 30 November 2028. The extension was concluded by 31 March 2025.

Repayment profile at June 2024

The loan comprises	Amount EUR'million	Date obtained	Term	Interest terms ³
Facility B loan	230	November 2022	Four years repayable November 2026	EURIBOR + margin of 1,80%
Facility C loan (refinanced)	213	November 2022	Four years repayable November 2026	EURIBOR + margin of 1,65%
DFI loan	540	September 2021	Seven years payable in 10 equal semi-annual instalments commencing on 15 March 2024 and concluding on 15 September 2028	0% fixed rate + margin of 1,60%

³ Margin quoted for the Facility C loan includes utilisation fees of 0,20%. Such utilisation fees can range from 0,10% to 0,40% depending on the proportion of utilisation of the Facility C loan. Utilisation fees are not applicable for the Facility B and the Development Finance Institutions ("DFI") loan. To the extent that the Group's ratio of net borrowings to earnings before interest, tax, depreciation and amortisation (the "Leverage Ratio") increases or decreases, so the margin applicable to these loans will increase or decrease. The margin presented in this table is based on a Leverage Ratio of between 2,00 and 2,50. This represents the margins applicable as of 30 June 2024. To the extent that EURIBOR is negative, EURIBOR is set at nil.

2) Australian Dollar syndicated term and revolving loan

Repayment profile at June 2025

The loan comprises	Amount AUD'million	Date obtained	Term	Interest terms ⁴
Facility F loan ⁵	107	November 2022	Five years repayable November 2027	BBSY + margin of 1,90%
Facility G loan ⁵	93	November 2022	Five years repayable November 2027	BBSY + margin of 1,90%

⁴ To the extent that the Group's ratio of net borrowings to earnings before interest, tax and depreciation and amortisation (the "Leverage Ratio") increases or decreases, so the margin applicable to these loans will increase or decrease. The margin presented in this table is based on a Leverage Ratio of between 2,50 and 3,00. This represents the margins applicable as of 30 June 2025.

⁵ The original maturity date for the Facility F loan and Facility G loan was 30 November 2025. In December 2024, the Group approached the lenders to request an extension of the maturity date of these loans by 24 months to 30 November 2027. The extension was concluded by 31 March 2025.

Repayment profile at June 2024

The loan comprises	Amount AUD'million	Date obtained	Term	Interest terms ⁶
Facility F loan	107	November 2022	Three years repayable November 2025	BBSY + margin of 1,80%
Facility G loan	93	November 2022	Three years repayable November 2025	BBSY + margin of 1,80%

⁶ To the extent that the Group's Leverage Ratio increases or decreases, so the margin applicable to these loans will increase or decrease. The margin presented in this table is based on a Leverage Ratio of between 2,00 and 2,50. This represents the margins applicable as of 30 June 2024.

Notes to the Group annual financial statements continued

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13. BORROWINGS CONTINUED

CURRENCY ANALYSIS AND MATURITY PROFILE OF TOTAL BORROWINGS CONTINUED

3) Rand syndicated term and revolving loans

Repayment profile at June 2025

The loan comprises	Amount R'million	Date obtained	Term	Interest terms ¹
Facility D loan ²	2 165	November 2022	Six years repayable November 2028	JIBAR + margin of 1,55%
Facility E loan ²	3 385	November 2022	Six years repayable November 2028	JIBAR + margin of 1,55%

¹ To the extent that the Group's ratio of net borrowings to earnings before interest, tax and depreciation and amortisation (the "Leverage Ratio") increases or decreases, so the margin applicable to these loans will increase or decrease. The margin presented in this table is based on a Leverage Ratio of between 2,50 and 3,00. This represents the margins applicable as of 30 June 2025.

² The original maturity date for the Facility D loan and Facility E loan was 30 November 2026. In December 2024, the Group approached the lenders to request an extension of the maturity date of these loans by 24 months to 30 November 2028. The extension was concluded by 31 March 2025.

Repayment profile at June 2024

The loan comprises	Amount R'million	Date obtained	Term	Interest terms ³
Facility D loan	2 165	November 2022	Four years repayable November 2026	JIBAR + margin of 1,45%
Facility E loan	3 535	November 2022	Four years repayable November 2026	JIBAR + margin of 1,45%

³ To the extent that the Group's Leverage Ratio increases or decreases, so the margin applicable to these loans will increase or decrease. The margin presented in this table is based on a Leverage Ratio of between 2,00 and 2,50. This represents the margins applicable as of 30 June 2024.

4) Rand – other

Repayment profile at June 2025

The loan comprises	Amount R'million	Term	Interest terms
Various short-term loans	570	Less than three months	JIBAR + margin ranging between 1,54% and 1,56%
Various short-term loans	1 350	Ranging between three and six months	JIBAR + margin ranging between 0,85% and 1,59%

Repayment profile at June 2024

The loan comprises	Amount R'million	Term	Interest terms
Various short-term loans	200	On demand	Ranging between 8,50% and 9,73%
Various short-term loans	1 105	Less than three months	Ranging between 9,55% and 9,94%
Various short-term loans	150	Less than three months	JIBAR + margin of 0,73%
Various short-term loans	1 276	Ranging between three and 12 months	JIBAR + margin ranging between 0,32% and 1,41%

5) Euro – other

Repayment profile at June 2024

The loan comprises	Amount EUR'million	Term	Interest terms
Various short-term loans	47	Less than three months	EURIBOR + margin ranging between 1,05% and 1,30%

13. BORROWINGS CONTINUED

INTEREST RATE PROFILE OF TOTAL BORROWINGS

	2025				2024	
	Total R'million	Interest rate %	Average effective interest rate %	Total R'million	Interest rate %	Average effective interest rate %
Bank overdrafts – floating rate (linked to South African prime overdraft rate)	–	–	–	5 117	Rates ranging between prime and prime less 3,0	8,8
Unsecured loans – floating rate	27 352			20 825		
Linked to BBSY	2 330	+ margin of 1,90	5,5	2 424	+ margin of 1,80	6,1
Linked to JIBAR	7 470	+ margin ranging between 0,85 and 1,64	8,7	7 126	+ margin ranging between 0,27 and 1,45	9,6
Linked to overnight call rate	–	–	–	1 305	Overnight call rates ranging between 8,50 and 9,85	9,5
Linked to EURIBOR	17 281	+ margin ranging between 1,10 and 1,90	3,7	9 524	+ margin ranging between 1,05 and 1,80	5,3
Lease liabilities	501	Various	–	596	Various	–
Capital raising fees	(230)	–	–	(150)	–	–
Unsecured loans – fixed rate DFI I loan fixed at 0% base rate	8 768	+ margin of 1,65	1,7	10 513	+margin of 1,60	1,6
Total borrowings	36 120			36 455		

The table below demonstrates the cumulative change in margin applicable to the Group's syndicated term and revolving loans for changes in its Leverage Ratio.

	2025	
	All other syndicated facilities	DFI loans
>3,75	+0,50%	+0,25%
>3,50 but <3,75	+0,35%	+0,25%
>3,00 but <3,50	+0,20%	+0,15%
>2,50 but <3,00	+0,00%	+0,05%
>2,00 but <2,50	-0,10%	0,00%
>1,50 but <2,00	-0,20%	-0,05%
>1,00 but <1,50	-0,20%	-0,05%
<1,00	-0,25%	-0,05%

To the extent that EURIBOR is negative, EURIBOR is set at nil. Utilisation fees of 0,10% are included in the margin quoted for the Facility C loan. Such utilisation fees can range from 0,10% to 0,40% depending on the proportion of utilisation of the Facility C loan. To the extent that the Group's ratio of net borrowings to earnings before interest, tax and depreciation and amortisation (the "Leverage Ratio") increases or decreases, so the margin applicable to the DFI loans and Facility B, C, D, E, F and G loans will increase or decrease. The margin presented in this table is based on a Leverage Ratio of between 2,00 and 2,50 for the DFI loans and 2,50 and 3,00 for Facilities B, C, D, E, F and G loans. This represents the margins applicable as of 30 June 2025. The above table demonstrates the cumulative change in margin applicable to the DFI loans and Facility B, C, D, E, F and G loans for changes in the Leverage Ratio. Such margin changes become effective on a prospective basis at the start of each loan's interest period immediately following submission of the Group's semi-annual covenant compliance certificate for the most recent rolling 12 months.

Definitions

JIBAR – Johannesburg Interbank Average Rate

BBSY – Bank Bill Swap Yield

EURIBOR – Euro Interbank Offered Rate

Notes to the Group annual financial statements continued

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13. BORROWINGS CONTINUED OTHER DISCLOSURES

	2025 R'million	2024 R'million
Reconciliation of balance		
Balance at the beginning of the year	36 455	29 282
Cash movements per the statement of cash flows	(2 130)	7 914
Proceeds from borrowings	9 880	13 988
Repayment of borrowings ¹	(6 688)	(7 571)
Repayment of lease liabilities	(205)	(201)
(Decrease)/increase of bank overdrafts	(5 117)	1 698
Non-cash movements	1 795	(741)
Capital raising fees released	66	52
Lease liabilities capitalised	288	378
Lease modifications	(155)	(8)
Acquisition of Sandoz China	–	40
Currency translation movements	1 596	(1 203)
	36 120	36 455

¹ Repayment of borrowings includes capital raising fees capitalised.

	2025 R'million	2024 R'million
Split of balance		
Non-current liabilities	31 508	25 141
Current liabilities	4 612	11 314
	36 120	36 455
Currency analysis of lease liabilities		
Euro	216	209
Chinese Yuan Renminbi	117	184
Australian Dollar	57	83
Russian Ruble	23	11
South African Rand	20	31
Mexican Peso	12	23
Brazilian Real	11	19
Philippine Peso	8	10
US Dollar	6	16
Other	31	10
	501	596

The Group had the following total undrawn borrowing facilities of R15,9 billion at year-end:

- South African Rand denominated facilities of R2 605 million (2024: R1 820 million);
- Euro denominated facilities of EUR582 million (2024: EUR443 million); and
- Australian Dollar denominated facilities of AUD100 million (2024: AUD100 million).

Unutilised facility amounts are, as of 30 June 2025 and 30 June 2024, available for immediate use by the Company. There were no defaults or unresolved breaches to the contractual terms of borrowings during the year. Refer to note 30.6 for covenants relating to these loan facilities.

All debt facilities, including overdrafts, across the Group are unsecured.

14. OTHER NON-CURRENT AND CURRENT LIABILITIES

ACCOUNTING POLICY

Recognition and measurement

Other non-current and current financial liabilities

Other non-current financial liabilities are recognised initially at fair value and expected future payments are discounted to present value using an appropriate market-related discount rate. The liabilities are subsequently measured at amortised cost using the effective interest rate method. The amount expected to be settled within 12 months from year-end date is shown as current and the amount expected to be settled 12 months after year-end date is shown as non-current on the statement of financial position.

The difference between the total capital repayments and the present value of the liabilities will be released to financing costs in the statement of comprehensive income over the terms of the liabilities.

Other non-current financial liabilities are classified as “liabilities at amortised cost” in terms of *IFRS 9 – Financial Instruments*. Financial liabilities are recognised on the transaction date, when the Group becomes a party to the contract and thus has a contractual obligation, and are derecognised when these contractual obligations are discharged, cancelled or expired.

Environmental liabilities

Environmental liabilities are recognised when the Group has a legal or a constructive obligation, as a result of a past event, and it is probable that there may be an outflow of resources embodying economic benefits to settle the obligation, and the obligation can be measured reliably.

SUMMARY OF NON-CURRENT BALANCE	Note	2025 R'million	2024 R'million
Other non-current financial liabilities	14.1	414	2 031
Environmental liabilities		10	10
		424	2 041

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

14. OTHER NON-CURRENT AND CURRENT LIABILITIES CONTINUED

ACCOUNTING POLICY CONTINUED

14.1 OTHER NON-CURRENT AND CURRENT FINANCIAL LIABILITIES

	2025 R'million	2024 R'million
RECONCILIATION OF BALANCE		
Balance at the beginning of the year	3 748	4 523
Repayments – included in investing activities on the statement of cash flows	(229)	(158)
Disposal of Japanese business	(104)	(117)
Acquisition of Sandoz China – outstanding consideration ¹	(105)	–
Other	(20)	(41)
Repayment of MSD loan – included in financing activities on the statement of cash flows	(1 480)	(1 012)
Additions	–	1 257
Acquisition of a portfolio of products in Latin America	–	709
Acquisition of Sandoz China	–	450
Disposal of European anaesthetics brands	–	54
Other	–	44
Notional interest	79	154
Release to the statement of profit or loss – acquisition of a portfolio of products in Latin America	–	(709)
Release to the statement of profit or loss – acquisition of Sandoz China (working capital)	(135)	–
Release to the statement of profit or loss – disposal of European anaesthetics brands	(33)	–
Reversal of transaction costs related to disposal of Japanese business no longer payable	–	(81)
Currency translation movements	162	(226)
	2 112	3 748
Split of balance		
Non-current	414	2 031
Current	1 698	1 717
	2 112	3 748
Summary of balance (non-current and current)²		
MSD loan	1 487	2 775
Disposal of European anaesthetics brands	20	53
Disposal of Japanese business	330	397
Acquisition of Sandoz China	208	429
Other	67	94
	2 112	3 748

¹ An amount of R23 million has been offset against the R128 million and is shown net on the statement of cash flow. Refer to note E in the statement of cash flows for further detail.

² All balances are stated at closing rates.

MSD loan

As part of a historical business combination, Aspen acquired inventories to the value of R3 billion, a portion of which was funded by way of a 10-year interest free loan from MSD. The discount rate used in valuing this loan was 8%. This loan was obtained in October 2013 and was repayable at the end of the 10-year period, being 30 September 2023.

During September 2023, Aspen Oss reached an agreement with MSD to extend the loan repayment terms with three instalment payments over the subsequent two years, with a final repayment due on 30 September 2025. The original loan incurred notional interest up to 30 September 2023. The extended loan attracts interest from 1 October 2023 at a fixed market-related rate. During the current year, R1,5 billion (2024: R1,0 billion) was repaid.

In addition to inventories given as security for this loan (refer to note 7), the Group guarantees the amounts outstanding in terms of the loan. This guarantee will terminate upon the final repayment on 30 September 2025.

14. OTHER NON-CURRENT AND CURRENT LIABILITIES CONTINUED

14.1 OTHER NON-CURRENT AND CURRENT FINANCIAL LIABILITIES CONTINUED

Disposal of Japanese business

As part of the disposal of the Japanese business in the 2020 financial year, Aspen Global Incorporated entered into a manufacturing and supply agreement with Sandoz for a period of five years with a further two-year extension option. Aspen Global Incorporated has underwritten supply prices to Sandoz based upon achieving future expected cost savings. The unfavourable difference between the actual estimated future supply costs and the underwritten supply prices ("supply price rebate") has been calculated and amounts to a net present value obligation of EUR15 million (2024: EUR20 million), which is sufficient to cover the remaining duration of the agreement to the end of February 2027. In the current year, EUR5 million (2024: EUR6 million) was paid. The discount rate used was 2,2%.

In the prior year, an amount of EUR4 million was released as an excess provision no longer required. This amount was released to transaction costs in terms of the Group's accounting policy and definitions and has been excluded from normalised headline earnings.

The repayment profile for the supply price rebate is set out below:	2025 EUR'million	2024 EUR'million
Within 1 year	6	3
Within 2 – 5 years	9	17
	15	20

Disposal of European anaesthetics brands

During the prior year, Aspen disposed of the commercialisation rights and related intellectual property for four anaesthetic products currently sold by Aspen in the European Economic Area to Sandoz.

In addition to the disposal of commercialisation rights and related intellectual property, Sandoz acquired Aspen's stock on hand of finished products. In view of the conditions attached to the acquisition of this inventory, Aspen raised a provision of EUR3 million to cover inventory that will not be transferred to Sandoz and therefore will have to be written off. In the current year, EUR2 million was released to the statement of comprehensive income. The remaining balance is expected to be released in the following financial year.

Acquisition of Sandoz China

In the prior year, Aspen concluded an agreement with Sandoz to acquire the shares of Sandoz China, the commercialisation rights and related intellectual property for a portfolio of established products currently commercialised by the Company and a pipeline of products to be launched by the Company in the short to medium term. As part of the transaction, the liabilities in the table below were raised.

Aspen accounted for this acquisition as a business combination in terms of *IFRS 3 – Business Combinations*. The detailed exercise to identify and value the separable assets and liabilities of Sandoz China was finalised during the current financial year and therefore certain of the balances accounted for during the initial accounting period were updated in the current year (refer to note E in the statement of cash flows for additional disclosure).

	2025 R'million	2024 R'million
Split of balance		
Outstanding consideration	–	100
Contingent consideration	175	173
Working capital provision	33	156
	208	429

Outstanding consideration

Total consideration payable was EUR82 million, of which EUR67 million was paid in the prior year and EUR9 million was raised as a contingent liability. The outstanding EUR6 million was paid in the current financial year after certain adjustments have been made for the finalisation of the acquisition.

Contingent consideration

The contingent consideration is based on future pipeline sales, with a maximum amount payable of EUR19 million. As part of finalising the accounting for the acquisition, the amount has been reviewed during the current year and revised to EUR9 million. Aspen estimates that this will be paid over a period of 10 years and the discount rate used in valuing the contingent liability was 11,9%.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

14. OTHER NON-CURRENT AND CURRENT LIABILITIES CONTINUED

14.1 OTHER NON-CURRENT AND CURRENT FINANCIAL LIABILITIES CONTINUED

The repayment profile is set out below:

	2025 EUR'million	2024 EUR'million
Less than 1 year	1	1
Between 1 – 2 years	1	1
Between 2 – 5 years	2	4
More than 5 years	5	5
	9	11

Working capital provision

Other stock-related provisions amounting to EUR9 million were raised as part of the acquisition (initial accounting). In finalising the acquisition accounting, this amount was revised to EUR8 million. In the current year, EUR7 million was released to the statement of comprehensive income. The remaining balance is expected to be released in the following financial year.

15. UNFAVOURABLE AND ONEROUS CONTRACTS

ACCOUNTING POLICY

Recognition and measurement

An unfavourable and onerous contract is recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable costs of meeting its obligations under the contract. This includes where the Group has entered into binding legal agreements for the supply of products to the vendors or acquirors of businesses at below market value and/or cost to manufacture. The estimated costs required to settle the obligation are discounted to present value using appropriate market-related discount rates.

An unfavourable contract is principally based on the difference between the market price and the contract selling price. An onerous contract is principally based on the difference between contract selling price and carrying value.

CONTRACT DETAILS

Acquisition of a portfolio of products in Latin America

As part of the acquisition of a portfolio of products in Latin America in the prior year, the Company entered into a supply contract with Viatris that was expected to generate losses until a pre-determined volume threshold was met. These anticipated losses were recognised as an onerous contract in terms of *IAS 37 – Provisions, Contingent Liabilities and Contingent Assets*. The threshold was met during the previous financial year when the supply contract was converted to a toll arrangement.

Existing contracts acquired with Sandoz China

At the date Aspen acquired Sandoz China that company had a number of products that were sold at a loss under the Chinese Government's VBP tender scheme. The application of the principles of *IFRS 3 – Business Combinations* gave rise to Aspen recognising an onerous contract representing the estimated losses until the end of the tenders.

Disposal of European anaesthetics brands

As part of the disposal of the European anaesthetics brands, the Company entered into a supply contract with Sandoz that is expected to generate losses during its initial term of five years. These anticipated losses were recognised as an onerous contract in terms of *IAS 37 – Provisions, Contingent Liabilities and Contingent Assets*.

For the above onerous contracts, the subsequent accounting is considered in the context of *IFRS 15 – Revenue from Contracts with Customers* as it represents the difference between the cost of satisfying the respective obligations and selling price of the products (i.e. linked to an element of revenue). Accounting for the unfavourable contract as an element of revenue has been determined on a per unit basis as the relevant products are transferred.

15. UNFAVOURABLE AND ONEROUS CONTRACTS CONTINUED

RECONCILIATION OF BALANCE

	2025 R'million	2024 R'million
Balance at the beginning of the year	248	104
Existing contracts acquired with Sandoz China	–	69
Acquisition of a portfolio of products in Latin America	–	415
Disposal of European anaesthetics brands	–	189
Release to the statement of comprehensive income	(76)	(517)
Currency translation movements	15	(12)
	187	248
Split of balance		
Non-current	94	137
Current	93	111
	187	248
Summary of balance (non-current and current)		
Acquisition of Sandoz China	36	66
Disposal of European anaesthetics brands	151	182
	187	248

Existing contracts acquired with Sandoz China

Sandoz China has a number of products that are currently sold at a loss under the Chinese Government's VBP tender scheme. A provision of EUR4 million was raised representing the estimated losses until December 2025 when the tenders will end. During the current financial year, EUR2 million was released to the statement of comprehensive income. The discount rate used was 6,9%.

Disposal of European anaesthetics brands

As part of the disposal of the European Anaesthetics brands in the prior year, the Company entered into a supply contract with Sandoz for an initial term of five years, during which period the supply prices are fixed. A EUR9 million liability was recognised, reflecting the difference between the actual estimated supply costs and the fixed supply prices during the initial period. In the current year, EUR2 million was released to the statement of comprehensive income. The discount rate used was 7,6%.

16. RETIREMENT AND OTHER EMPLOYEE BENEFIT OBLIGATIONS

ACCOUNTING POLICY

Pension benefits

The Group operates or contributes to defined contribution plans and defined benefit plans for its employees in certain countries in which it operates.

Defined contribution plans

A defined contribution plan is a provident fund under which the Group pays fixed contributions into a separate entity (a fund) and will have no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employees relating to employee service in the current and prior financial years. For defined contribution plans, the Group pays contributions to publicly or privately held pension insurance plans on a mandatory, contractual or voluntary basis. Once the contributions have been paid, the Group has no further payment obligations. The payments made to provident funds are expensed as incurred and are included in staff costs. Refer to notes 21 and 22 of the Group Annual Financial Statements.

Defined benefit plans

A defined benefit plan is a pension plan that is not a defined contribution plan. It defines the amount of pension benefits that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation.

The Group's net obligation in respect of defined benefit pension plans is actuarially calculated separately for each plan by deducting the fair value of plan assets from the present value of the gross obligation for retirement benefit obligations. The gross obligation is determined by estimating the future benefit attributable to employees in return for services rendered to date.

This future benefit is discounted to determine its present value, using discount rates based on government bonds that have maturity dates approximating the terms of the Group's obligations which are denominated in the currency in which the benefits are expected to be paid. Independent actuaries perform the calculation annually using the projected unit credit method.

Past service costs are recognised immediately in the statement of comprehensive income.

Actuarial gains and losses arising from experience adjustments and changes to actuarial assumptions are recognised in other comprehensive income as remeasurements in the period in which they arise.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

16. RETIREMENT AND OTHER EMPLOYEE BENEFIT OBLIGATIONS CONTINUED

ACCOUNTING POLICY CONTINUED

Other non-current employee benefits

Some Group companies provide other non-current benefits to their employees. The entitlement to these benefits is usually conditional on the employee remaining in service up to a given age or the completion of a minimum service period. The expected costs of these benefits are accrued over the period of employment using the same accounting methodology as used for defined benefit pension plans. Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to other comprehensive income in the period in which they arise. These obligations are valued annually by independent qualified actuaries.

Defined benefit plans – post-retirement medical aid obligations

In terms of the Group's policy, post-retirement medical aid benefits are not provided for any employees, with the exception of certain South African employees who joined the Group before 28 February 2000. The Group has honoured its contractual commitment in respect of post-retirement medical aid obligations to these employees and pensioners employed before the change in policy.

The present value of the expected future post-retirement medical aid obligation is quantified to the extent that service has been rendered, and is reflected on the statement of financial position as a liability. Valuations of these obligations are carried out by independent actuaries on an annual basis using the projected unit credit method. Post-retirement medical aid obligations are accounted for using the same accounting methodologies as described for the defined benefit plans.

The Group operates or contributes to defined contribution plans, defined benefit plans and other long-term plans in certain countries in which it operates.

Defined contribution plans

Contributions by the Group, and in some cases the employees, are made to funds set up in South Africa, Australia, Malaysia, Taiwan, Ireland, the Netherlands, Brazil, Tanzania, Kenya and Uganda while no contributions are made to plans established in other geographic areas.

Total contributions paid to the various funds by the Group amounted to R395 million for the current financial year (2024: R374 million). The Group has no further payment obligations once the contributions have been paid. The payments made are expensed as incurred in the statement of comprehensive income and are included in staff costs.

Defined benefit plans

Contributions by the Group, and in some cases by the employees, are made to funds set up in South Africa, Germany, the Philippines, Mexico, France, Tanzania and Kenya while no contributions are made for plans established in other geographic areas.

Provisions for pension and medical aid obligations are established for benefits payable in the form of retirement, disability, surviving dependent pensions and medical benefits. The benefits offered vary according to the legal, fiscal and economic conditions of each country.

Long-term employee benefits

Contributions by the Group are made to funds set up in Germany and France while no contributions are made to plans established in other geographic areas.

	Last actuarial valuation done	Full/interim valuation	Valuation method adopted	Principal actuarial assumptions		
				Discount rate	Medical inflation rate	Salary increase rate
France	June 2025	Full	Projected unit credit	3,7% (2024: 3,8%)	N/A	3,0% (2024: 3,0%)
Germany	June 2025	Full	Projected unit credit	3,8% (2024: 3,6%)	N/A	3,0% (2024: 3,0%)
Kenya	June 2025	Full	Projected unit credit	13,9% (2024: 17,3%)	N/A	12,0% (2024: 9,0%)
Mexico	June 2025	Full	Projected unit credit	9,8% (2024: 10,2%)	N/A	6,0% (2024: 6,0%)
The Philippines	June 2025	Full	Projected unit credit	6,4% (2024: 6,7%)	N/A	6,0% (2024: 4,5%)
South Africa	June 2025	Full	Projected unit credit	10,8% (2024: 12,4%)	6,6% (2024: 8,4%)	N/A
Tanzania	June 2025	Full	Projected unit credit	9,9% (2024: 10,6%)	N/A	3,2% (2024: 7,0%)

These plans have been assessed by independent qualified actuaries and have been found to be in a sound financial position. The weighted average assumptions used in performing actuarial valuations were determined in consultation with independent actuaries. Assumptions regarding future mortality experience are based on advice, published statistics and experience in each territory.

16. RETIREMENT AND OTHER EMPLOYEE BENEFIT OBLIGATIONS CONTINUED

	2025 R'million	2024 R'million
Amounts recognised in the statement of financial position		
Present value of retirement and other employee benefit obligations ¹	738	701
Deferred tax	(90)	(35)
	648	666
¹ Included in this amount is an obligation of R118 million (2024: R123 million) for which the Group has a reimbursive right. Refer to note 7 for more detail.		
Retirement and other employee benefit obligations comprise		
Unfunded present value of retirement and other employee benefit obligations	928	874
Fair value of plan assets	(190)	(173)
	738	701
The movement in the liability recognised in the statement of financial position is as follows:		
Balance at the beginning of the year	874	870
Current service costs	16	78
Benefits paid	(33)	(43)
Contributions paid to the plan by employer	–	(11)
Net interest expense	33	33
Remeasurements recognised in other comprehensive income – actuarial gains from changes in financial assumptions	(15)	(8)
– Actuarial (gains)/losses from changes in demographic assumptions	(1)	1
– Actuarial gains from changes in financial assumptions	(14)	(9)
Currency translation movements	53	(45)
	928	874
The movement in the fair value of plan assets recognised in the statement of financial position is as follows:		
Balance at the beginning of the year	173	180
Benefits paid	(3)	–
Net interest income	9	1
Currency translation movements	11	(8)
	190	173
Fair value of plan assets		
The assets of the pension funds are invested as follows:		
European government bonds and other	190	173
	190	173
Maturity profile of retirement benefit and other employee benefit obligations		
Less than 1 year	29	23
Between 1 – 5 years	250	244
More than 5 years	649	607
	928	874

Sensitivity analysis

The effect of a 1% change in the assumed discount rate, medical inflation rate and salary increase rate would not have a significant effect on the amounts reported for retirement and other employee benefit obligations.

Key risks associated with retirement and other employee benefit obligations include:

- Inflation risk: the risk that future inflation is higher than expected;
- Medical inflation risk: the risk that future contributions to the medical aid scheme increase faster than assumed;
- Longevity: the risk that continuation members live longer than expected and hence the subsidy is payable for longer than expected;
- Investment risk: the risk that the return earned by the assets is lower than expected and hence the assets are insufficient; and
- Salary risk: the risk that future salaries are higher than expected.

Notes to the Group annual financial statements continued

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17. TRADE AND OTHER PAYABLES

ACCOUNTING POLICY

Recognition and measurement

Trade and other payables are recognised when the Group has a legal or a constructive obligation as a result of a past event, and it is probable that there may be an outflow of resources embodying economic benefits to settle the obligation and the obligation can be measured reliably.

These amounts represent liabilities for goods and services provided to the Group prior to the end of the financial year, which are unpaid. The amounts are unsecured and are usually paid within 60 days of recognition. Trade and other payables are presented as current liabilities unless payment is not due within 12 months after the reporting period. They are recognised initially at their fair value and subsequently measured at amortised cost using the effective interest rate method.

Financial liabilities

Financial instruments related to trade and other payables are classified as "at amortised cost" in terms of *IFRS 9 – Financial Instruments*. Financial liabilities are recognised on the transaction date, when the Group becomes a party to the contract and thus has a contractual obligation, and are derecognised when these contractual obligations are discharged, cancelled or expired.

SUMMARY OF BALANCE	2025 R'million	2024 R'million
Trade payables	4 084	4 372
Accrued expenses	3 464	3 293
Indirect taxes	547	325
Leave pay	763	697
Bonuses	648	587
Other employee-related accruals	553	412
Other	616	661
	10 675	10 347
Split of balance		
Financial liabilities	7 503	7 676
Non-financial liabilities	3 172	2 671
	10 675	10 347
OTHER DISCLOSURES		
Currency analysis of trade and other payables (financial instruments only)		
Euro	2 667	1 952
South African Rand	1 452	1 325
US Dollar	1 219	1 281
Chinese Yuan Renminbi	871	1 393
Australian Dollar	650	760
Canadian Dollar	88	130
Mexican Peso	82	134
Swiss Franc	69	48
Swedish Krona	66	57
Brazilian Real	51	51
Colombian Peso	38	28
Russian Ruble	37	41
Kenyan Shilling	36	16
Philippine Peso	36	46
Chilean Peso	24	38
Taiwan New Dollar	23	33
Indian Rupee	22	33
Tanzanian Shilling	21	7
British Pound Sterling	11	32
Other currencies	40	271
	7 503	7 676

All trade and other payables are predominantly non-interest bearing.

No individual vendor represents more than 10% of the Group's trade payables.

18. OTHER CURRENT LIABILITIES

ACCOUNTING POLICY

Recognition and measurement

Deferred revenue

The Group recognises, as deferred revenue, contributions by third parties to the cost of specific capital expenditure projects. Deferred revenue is recognised at the fair value of the consideration received in advance. Upon completion of a relevant capital expenditure project, the related deferred revenue is released to the statement of comprehensive income over the remaining term of the supply contract with the contributing third party. The amount expected to be realised within 12 months from year-end date is shown as current, and the amount expected to be realised 12 months after year-end date is shown as non-current on the statement of financial position.

Financial liabilities at amortised cost

This category of financial liabilities comprises other financial liabilities. These financial liabilities are initially recognised at fair value plus transaction costs, and are subsequently measured at amortised cost using the effective interest rate method.

Derivative financial instruments

The Group uses derivative financial instruments, such as forward exchange contracts and interest rate swaps, to hedge its foreign currency risks and interest rate risks. Such derivative financial instruments are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently remeasured at fair value through profit or loss.

Derivatives are carried as financial assets when their fair value is positive and as financial liabilities when the fair value is negative.

Split of balance	Note	2025 R'million	2024 R'million
Deferred revenue	18.1	–	8
Derivative financial instruments	18.2	33	14
Other current financial liabilities ¹	14.1	1 698	1 717
		1 731	1 739

¹ The 2024 figures relating to this line item have been restated as permitted by IFRS 3 – Business Combinations. Refer to note E in the statement of cash flows for additional disclosure.

18.1 DEFERRED REVENUE

RECONCILIATION OF BALANCE	2025 R'million	2024 R'million
Balance at the beginning of the year	8	13
Recognised in the statement of comprehensive income ¹	(8)	(4)
Currency translation movements	–	(1)
	–	8

¹ This amount is included in other operating income on the statement of comprehensive income.

Split of balance	2025 R'million	2024 R'million
Current	–	8
	–	8

The full balance related to capital expenditure projects at Aspen Oss B.V.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

18. OTHER CURRENT LIABILITIES CONTINUED

18.2 NET DERIVATIVE FINANCIAL INSTRUMENTS RECONCILIATION OF BALANCE¹

	2025 R'million	2024 R'million
Balance at the beginning of the year	8	(6)
Cash paid under derivative contract	(125)	–
Fair value losses recognised in statement of comprehensive income	313	15
Interest income – forward points	(178)	–
Currency translation movements	–	(1)
	18	8
Split of balance		
Derivative financial instrument liabilities	33	14
Derivative financial instrument assets	(15)	(6)
	18	8
Summary of balance		
Forward exchange contracts	18	8
	18	8

¹ Disclosure in respect of the derivative position has been consolidated in the current year. Comparatives have been updated accordingly for enhanced disclosure.

Forward exchange contracts are classified as “level 2” assets and liabilities in the fair value measurement hierarchy. None of the financial assets or liabilities were reclassified out of “level 2” in the current year. The models incorporate various inputs, including the credit quality of counterparties, foreign exchange spot and forward rates, interest rate curves and forward rate curves of the underlying index.

The fair value of all forward exchange contracts at year-end was calculated by comparing the forward exchange contracted rates to the equivalent of year-end market foreign exchange rates. The present value of these fair values was then discounted using the appropriate currency-specific discount rate to determine the fair value.

19. REVENUE

ACCOUNTING POLICY

Recognition and measurement

Revenue, net of trade discounts, distribution fees paid to independent wholesalers and excluding value added tax, comprises the total invoice value of goods, co-marketing fees and royalties derived from the supply of speciality, branded and generic pharmaceutical products to provide treatment for a broad spectrum of acute and chronic conditions.

Revenue is recognised based on the completion of performance obligations and an assessment of when control is transferred to the customer.

The following indicators are used by the Group in determining when control has passed to the customer:

- the Group has a right to payment for the product or service;
- the customer has legal title to the product;
- the Group has transferred physical possession of the product to the customer;
- the customer has the significant risk and rewards of ownership of the product; and
- the customer has accepted the product.

Revenue is measured based on the consideration specified in a contract with a customer and in compliance with legislated pricing in the various regulated markets.

The Group evaluates the following control indicators, among others, when determining whether it is acting as a principal or agent in the transactions with customers and recording revenue on a net basis:

- the Group is primarily responsible for fulfilling the promise to provide the specified goods or services;
- the Group has inventory risk before the specified goods or services have been transferred to a customer or after transfer of control to the customer; and
- the Group has discretion in establishing the price for the specified goods or services, excluding pricing set according to regulations.

19. REVENUE CONTINUED

ACCOUNTING POLICY CONTINUED

Recognition and measurement continued

In the determination of revenue, all intra-group transactions are excluded.

No significant element of financing is deemed present, other than on onerous contracts, as the sales are made with credit terms less than one year. The onerous contracts are discounted to present value using appropriate market-related discount rates.

The main streams of revenue and the base of recognition are as follows:

Sale of goods

Revenue is recognised at a point in time when control of the pharmaceutical products supplied has transferred, being when the products are delivered to the customer. Delivery occurs when the products have been dispatched to the specific location, the risks of obsolescence and loss have been transferred and the customer accepted the products in accordance with the sales contract. Revenue is recorded at the price specified in the contract, in compliance with regulated pricing in regulated markets, net of discounts and value added tax. Revenue and receivables are recorded when control of the products is transferred, as this is the point in time that the consideration is unconditional as only the passage of time is required before payment is due.

Co-marketing fees

Co-marketing fees is a revenue that the Group receives in exchange for providing a service to arrange specified sales of speciality, branded and generic pharmaceuticals to a customer as an agent. Revenue is based on an upfront agreed upon fee driven by sales volumes. The sales volumes are products delivered at a point in time to customers.

Revenue and receivables are recorded on co-marketing fees when performance obligations according to the contract for arranging sales to customers have been met and the products have been delivered to the customer. Delivery occurs when the products have been dispatched to the specific location, the risks of obsolescence and loss have been transferred, and the customer has accepted the goods in accordance with the co-marketing agreement.

Toll manufacturing

The Group engages in toll manufacturing agreements, offering services to process customer-supplied materials into specified finished goods while the customer retains ownership. Revenue is recognised at a point in time, as services are rendered – in other words, as the performance obligation to deliver finished goods is fulfilled. For contracts with multiple obligations, the transaction price is distributed among them according to their relative standalone selling prices.

Take or pay

Aspen has arrangements whereby it is in a position to stand ready to produce and/or sell certain products. In these contracts, the customer commits to purchasing a certain minimum quantity of goods or services from Aspen at set times and prices, and must pay a contractual minimum fee to Aspen, even if the customer decides not to order the goods or services. Revenue recognition is based on the customer's take up of the goods or services to fulfil the contract. Revenue is recognised (at a point in time) as deliveries occur. Should the minimum quantity not be ordered by the customer within the contractual time bands, revenue is recognised to the extent that the contractual minimum fee is applicable and invoiced.

Unfavourable and onerous contracts

The accounting for the unfavourable and onerous contracts as an element of revenue has been determined on a case-by-case basis as set out in note 15.

SUMMARY OF BALANCE

	2025 R'million	2024 R'million
Sale of goods	43 258	44 087
Co-marketing fees	71	102
Unfavourable and onerous contracts release	34	517
	43 363	44 706

Revenue has been further disaggregated by customer and manufacturing geography, refer to the Group Revenue Segmental Analysis report on page 20 for further details.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

20. OPERATING PROFIT

	2025 R'million	2024 R'million
Operating profit has been arrived at after charging/(crediting):		
Loss on sale of tangible and intangible assets	22	34
Loss on the sale of property, plant and equipment and right-of-use assets	27	7
(Profit)/loss on the sale of intangible assets	(5)	27
Auditors' remuneration	81	92
– Audit fees	80	88
– Other services	1	4
Net impairment charges	6 498	2 592
Impairment of intangible assets (included in other operating expenses)	5 299	2 415
Impairment charge of inventories (included in cost of sales)	1 420	914
Impairment of property, plant and equipment (included in other operating expenses)	597	84
Reversal of impairment losses on property, plant and equipment (included in other operating income)	(1)	–
Reversal of impairment losses on intangible assets (included in other operating income)	(1 152)	(977)
Impairment of goodwill (included in other operating expenses)	–	145
Impairment of right-of-use assets (included in other operating expenses)	63	–
Movement in the allowance of expected credit losses of trade receivables (included in selling and distribution expenses)	272	11
Repairs and maintenance expenditure on property, plant and equipment	824	774
Short-term and low-value leases	74	54
Land and buildings	54	29
Plant and equipment	15	16
Office equipment, computer equipment and furniture	5	9
Restructuring costs	848	227
Transaction costs	412	356
Product litigation costs	2	–
Insurance compensation on assets	(25)	–

21. EXPENSES AND OTHER OPERATING INCOME BY NATURE

	Cost of sales R'million	Selling and distribution expenses R'million	Administrative expenses R'million	Net other operating expenses R'million	Total R'million
2025					
Cost of material and production-related variances	12 568	–	–	–	12 568
Personnel costs and other staff-related costs	6 039	2 835	2 000	–	10 874
Depreciation and amortisation	1 179	45	230	635	2 089
Advertising and marketing expenses	–	1 321	–	–	1 321
Transport and warehousing costs	439	981	–	–	1 420
Net impairment charges	1 420	272	–	4 806 ¹	6 498
Legal and consulting fees	410	148	305	–	863
Property costs	744	4	40	–	788
Repairs and maintenance expenditure on property, plant and equipment	781	20	23	–	824
Transaction costs	–	–	–	412 ²	412
Restructuring costs	–	–	–	848 ³	848
Regulatory expenses	–	283	–	–	283
Product litigation costs	–	–	–	2	2
Share-based payment expense	–	–	109	–	109
IT expenses	342	19	504	–	865
Insurance expenses	162	26	228	–	416
Insurance compensation on assets	–	–	–	(25)	(25)
Insurance compensation on business interruption	(34)	–	–	–	(34)
Other	184	1 085	514	22	1 805
	24 234	7 039	3 953	6 700	41 926
	Cost of sales R'million	Selling and distribution expenses R'million	Administrative expenses R'million	Net other operating expenses R'million	Total R'million
2024					
Cost of material and production-related variances	14 170	–	–	–	14 170
Personnel costs and other staff-related costs	5 827	2 776	1 880	–	10 483
Depreciation and amortisation	1 138	44	208	583	1 973
Advertising and marketing expenses	–	1 179	–	–	1 179
Transport and warehousing costs	515	1 030	–	–	1 545
Net impairment charges	914	11	–	1 667	2 592
Legal and consulting fees	472	184	258	–	914
Property costs	744	3	35	–	782
Repairs and maintenance expenditure on property, plant and equipment	736	14	24	–	774
Transaction costs	–	–	–	356	356
Restructuring costs	–	–	–	227	227
Regulatory expenses	–	341	–	–	341
Share-based payment expense	–	–	117	–	117
IT expenses	331	21	521	–	873
Insurance expenses	167	22	214	–	403
Other	238	856	400	(515)	979
	25 252	6 481	3 657	2 318	37 708

¹ Net impairment charges comprise the Commercial Pharmaceuticals segment of R3,4 billion (2024: R1,6 billion), and Manufacturing segment of R1,4 billion (2024: R88 million).

² Transaction costs comprise the Commercial Pharmaceuticals segment of R338 million (2024: R355 million), and Manufacturing segment of R24 million (2024: R1 million).

³ Restructuring costs comprise the Commercial Pharmaceuticals segment of R660 million (2024: R189 million), and Manufacturing segment of R188 million (2024: R38 million).

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

22. DIRECTORS AND EMPLOYEES

ACCOUNTING POLICY

Directors' and prescribed officers' remuneration

The directors' and prescribed officers' remuneration represent the remuneration paid to, or receivable by, directors and prescribed officers in their capacity as director, prescribed officer or any other capacity. All amounts in respect of the financial year reported on are presented, including bonuses not accrued for in the Group Annual Financial Statements. This disclosure is provided in terms of the JSE Listings Requirements. The Group's Remuneration Committee, through its mandate from the Board of Directors, has resolved that the individuals, listed below as the Group's prescribed officers, are deemed to be prescribed officers as defined by the Companies Act of South Africa. Further details on transactions with key personnel can be found in note 31.

	2025 R'thousands	2024 R'thousands
DIRECTORS' REMUNERATION		
Non-executive directors – fees		
Kuseni Dlamini	1 575	1 493
Ben Kruger	1 341	1 269
Linda de Beer	1 236	1 144
Neo Dongwana	803	183
Themba Mkhwanazi	592	432
Chris Mortimer ¹	508	551
Yvonne Muthien	1 063	1 081
David Redfern	476	427
Total (A)	7 594	6 580
Executive directors		
Sean Capazorio	17 291	16 659
Remuneration	7 916	7 298
Retirement and medical aid benefits	1 220	1 296
Performance bonus	3 129	2 552
Share-based payment expense	5 026	5 513
Reginald Haman ²	16 054	6 272
Remuneration	7 214	2 235
Retirement and medical aid benefits	1 212	305
Performance bonus	2 882	2 243
Share-based payment expense	4 746	1 489
Stephen Saad	20 629	27 303
Remuneration	10 213	9 621
Retirement and medical aid benefits	1 849	1 732
Performance bonus	3 357	11 007
Share-based payment expense	5 210	4 943
Total (B)	53 974	50 234
Prescribed officers		
Lorraine Hill	15 649	17 183
Remuneration	9 226	8 472
Retirement and medical aid benefits	1 031	1 162
Performance bonus	892	2 139
Share-based payment expense	4 500	5 410
Gus Attridge	11 193	11 140
Remuneration	5 529	5 226
Retirement and medical aid benefits	849	779
Performance bonus	1 767	1 782
Share-based payment expense	3 048	3 353
Zizipho Mmango	10 919	12 812
Remuneration	5 567	5 636
Retirement and medical aid benefits	771	834
Performance bonus	–	1 933
Share-based payment expense	4 581	4 409
Reginald Haman ²	–	7 513
Remuneration	–	3 901
Retirement and medical aid benefits	–	635
Share-based payment expense	–	2 977
Total (C)	37 761	48 648
Total remuneration paid by the Company (A+B+C)	99 329	105 462

¹ For further details pertaining to legal fees for Chris Mortimer, refer to note 31.

² Reginald Haman was appointed as an executive director effective March 2024. His remuneration was split accordingly between executive director and prescribed officer.

22. DIRECTORS AND EMPLOYEES CONTINUED

Staff costs

	2025 R'million	2024 R'million
Wages and salaries	9 721	9 393
Defined contribution plan expenses	395	374
Defined benefit plan expenses	17	16
Share-based payment expense – deferred incentive bonus	79	70
Share-based payment expense – phantom share scheme	30	47
	10 242	9 900
Amount included in cost of sales	5 795	5 628
Wages and salaries	5 534	5 381
Benefits	261	247
Amount included in selling and distribution expenses	2 587	2 499
Wages and salaries	2 343	2 181
Benefits	244	318
Amount included in administrative expenses	1 860	1 773
Wages and salaries	1 662	1 568
Benefits	198	205
Staff headcount		
Total number of employees at year-end	9 557	9 350
Full-time employees	9 128	8 867
Part-time employees	429	483

23. INVESTMENT INCOME

ACCOUNTING POLICY

Recognition and measurement

Investment income comprises interest received on bank balances, prepaid taxes and short-term deposits and is recognised as it accrues in the statement of comprehensive income, using the effective interest rate method.

	2025 R'million	2024 R'million
Interest on bank balances and short-term deposits ¹	358	1 051
Other	–	8
	358	1 059

¹ In July 2024, the South African business replaced its notional cash pool with a physical cash pool. This reduced the gross cash and overdraft positions in South Africa by c.R4 billion resulting in a decrease in interest income and an equal decrease in interest expense.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

24. FINANCING COSTS

ACCOUNTING POLICY

Recognition and measurement

Financing costs comprise interest paid on borrowings, unwinding of notional interest on discounted liabilities, changes in the fair value of financial assets and liabilities at fair value through profit or loss, foreign exchange gains or losses and any gains or losses on hedging instruments that are recognised in the statement of comprehensive income. All borrowing costs are recognised in the statement of comprehensive income using the effective interest rate method, unless the borrowing costs are directly attributable to the acquisition, construction or production of qualifying assets, in which case the directly attributable borrowing costs are capitalised.

	2025 R'million	2024 R'million
Interest paid	1 643	2 166
Bank overdrafts and borrowings ¹	1 608	2 137
Leases	35	29
Capital raising fees released	66	52
Notional interest on financial instruments	6	61
Net foreign exchange (gains)/losses on other financial instruments	(110)	49
Fair value losses on derivative financial instruments	313	15
	1 918	2 343

¹ In July 2024, the South African business replaced its notional cash pool with a physical cash pool. This reduced the gross cash and overdraft positions in South Africa by c. R4 billion, resulting in a decrease in interest income and an equal decrease in interest expense.

The financing costs above exclude financing costs of R228 million which have been capitalised during 2025 to capital work-in-progress (2024: R124 million). Refer to note 2 for detail.

25. INCOME TAX

ACCOUNTING POLICY

The tax expense comprises current tax, deferred tax, capital and wealth taxes, and withholding taxes. The tax expense does not include taxes associated with amounts reflected in other comprehensive income and equity. The tax associated with those amounts is reflected directly in other comprehensive income or equity.

Current tax

The current tax charge is the tax that is expected to be payable on the profits generated during the year and any adjustments to the tax payable in respect of prior years. The current tax charge also includes provisions where it is likely that a tax authority may take a different position to the filing positions taken by the Group.

Deferred tax

The deferred tax charge is the tax that is expected to be payable in future or relief that is expected to materialise in future, applying the liability method. The deferred tax charge includes adjustments to the opening deferred tax balances to recognise tax filing adjustments and to adjust the statutory tax rate that is utilised for determining the opening deferred tax balance.

Capital and wealth taxes

Capital and wealth tax is payable at varying rates by companies in the Aspen Group. These taxes generally arise in Latin America and Asia.

25. INCOME TAX CONTINUED

ACCOUNTING POLICY CONTINUED

Withholding taxes

Withholding tax is payable at varying rates on interest, management fees, licences and dividends which are declared by one Group company to another Group company.

IFRIC 23 – Uncertainty over Income Tax Treatment

Aspen applies *IFRIC 23 – Uncertainty over Income Tax Treatment*, which clarifies the accounting treatment for uncertainties in income taxes as part of the application of *IAS 12 – Income Taxes*. The interpretation specifically addresses whether an entity considers each uncertain tax treatment separately or together with one or more other uncertain tax treatments.

In applying *IFRIC 23 – Uncertainty over Income Tax Treatment* the Aspen Group has assessed the risk profile of all uncertain tax matters based on the following criteria:

- the outcome of similar historical or current audits within the Group;
- consensus opinions from expert advisors regarding areas and levels of tax risk;
- the outcome of tax audits that have been launched against other multinational groups, to the extent the fact pattern is similar to that of the Aspen Group; and
- changes in tax law impacting existing or future tax matters.

Based on this assessment, the potential cash tax outflow for each uncertain tax matter is quantified using the applicable statutory tax rate and applying a risk probability factor (exercising judgement on the most likely outcome). The impact on current and deferred tax is also taken into consideration. The probabilistic risk values are consolidated to determine the Group's total estimated uncertain tax provision.

SUMMARY OF BALANCE

	2025 R'million	2024 R'million
Current tax		
Current year	1 480	1 712
Prior year	61	157
Deferred tax		
Current year	(522)	(569)
Prior year	(103)	(35)
Capital and wealth taxes	11	3
Withholding taxes	33	42
	960	1 310

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

25. INCOME TAX CONTINUED

ACCOUNTING POLICY CONTINUED

Group's effective tax

In the current year, the reconciliation of the effective tax has been changed from percentage to absolute values. This allows for a meaningful explanation of the main reconciling items as the Group incurred a loss before taxation in the current year.

The comparatives have been represented from percentage to absolute value for enhance readability.

The effective tax has been calculated as follows:

	2025 R'million	2024 R'million
Group's effective tax		
South African tax	(33)	1 543
Differences in foreign tax:		
Mauritius ¹	366	(351)
Other ²	128	88
Aggregate statutory base tax	461	1 280
Underlying tax credits	(32)	(85)
Other non-taxable income	(34)	(71)
Disallowed interest	10	3
Withholding and other taxes	46	45
Non-deductible transaction costs and restructure	46	2
Prior year adjustments	(42)	123
Impairments on intangible assets	353	88
Provision for uncertain tax positions ³	4	(124)
Other disallowed expenses	228	137
Current year unrecognised tax losses ⁴	111	7
Prior year recognised tax losses ⁴	(191)	(95)
Income tax	960	1 310
Disallowed impairments	200	57
Non-taxable capital losses	2	24
Disallowed restructuring, transaction costs and finance costs	158	34
Normalised effective tax	1 320	1 425
All-in effective rate of tax (%)⁵	–	22,9
Normalised effective rate of tax (%)	22,0	17,7

¹ The statutory rate of tax in Mauritius is 3% as well as a 2% Corporate Climate Responsibility Levy ("CCR Levy") which was effective in the current year. This rate is, however, subject to various credits that are available, which do fluctuate from year to year. The Aspen Group's Mauritius-based operations (namely Aspen Global Incorporated) contributes to the majority of this rate.

² The statutory tax rates in the remaining countries range from 0% to 35%. The movement from one year to the next arises from a change in the contribution of each Group entity's profits to the overall profits.

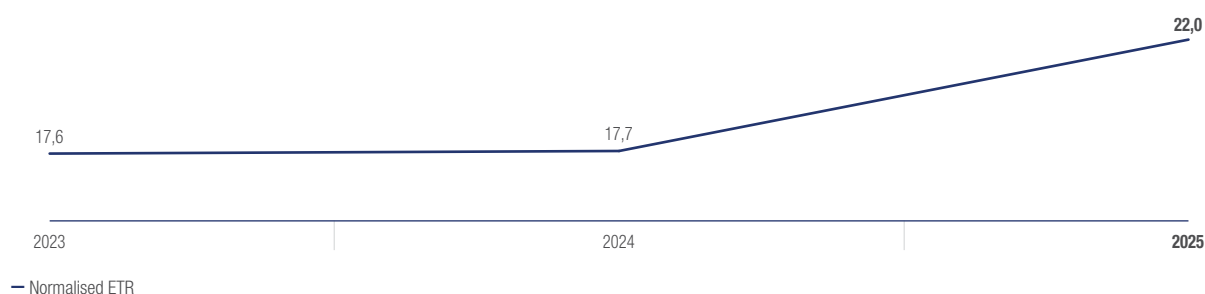
³ A portion of the IFRIC 23 provision was released during the prior year, as a consequence of de-recognising amounts that had previously been included in the provision, which are no longer considered potential tax exposures.

⁴ As reflected in the deferred tax note, although certain businesses generated potential tax losses during the prior year, deferred tax assets were not raised in relation to those potential tax losses and have been utilised or raised in the current year.

⁵ The all-in effective rate of tax for the current year is not applicable as the Group is making a loss before tax.

The Group's effective tax rate has been as follows over the current and preceding two years:

Normalised effective tax rate (%)



26. NORMALISED EBITDA

ACCOUNTING POLICY

Normalised EBITDA is operating profit adjusted for specific non-trading items, being transaction costs and other acquisition and disposal-related gains or losses (including any gains or losses arising from the remeasurement of the fair value of liabilities for future contingent and/or milestone payments relating to intangible asset acquisitions accounted for under the cost accumulation method), restructuring costs, settlement of product-related litigation costs, net monetary adjustments and currency devaluations relating to hyperinflationary economies and significant once-off tax provision charges or credits arising from the resolution of prior year tax matters, depreciation and amortisation.

RECONCILIATION OF NORMALISED EBITDA

	2025 R'million	2024 R'million
Operating profit	1 437	6 998
Headline earnings adjustments		
– Net impairment of tangible and intangible assets	4 806	1 667
– Insurance compensation on assets ¹	(25)	–
– Loss on sale of tangible and intangible assets	22	34
Normalised adjustments		
– Restructuring costs	848	227
– Transaction costs	412	356
– Product litigation costs	2	–
EBITDA adjustments		
– Depreciation	1 454	1 390
– Amortisation	635	583
Normalised EBITDA	9 591	11 255

¹ Relates to insurance compensation on damaged property, plant and equipment following the fire at Fine Chemicals Corporation (Pty) Limited's formulation site.

27. EARNINGS PER SHARE

ACCOUNTING POLICY

Basic earnings per share

Basic earnings per share is calculated by dividing the profit attributable to equity holders of the parent by the weighted average number of ordinary shares in issue during the year, excluding ordinary shares purchased by a subsidiary of Aspen and held as treasury shares.

The weighted average number of shares in issue is calculated as the number of shares in issue at the beginning of the year, increased by shares issued during the year, weighted on a time basis for the period during which they have participated in the profit of the Group. Shares which are held by a subsidiary company as treasury shares have been adjusted on a time basis in determining the weighted average number of shares in issue.

Diluted earnings per share

The diluted earnings per share is calculated by adjusting the weighted average number of ordinary shares outstanding to assume conversion of all dilutive potential ordinary shares. The Group did not have dilutive potential ordinary shares.

Headline earnings per share

The calculation of headline earnings per share is based on the profit attributable to equity holders of the parent, after excluding all items of a non-trading nature, divided by the weighted average number of ordinary shares in issue during the year. The presentation of headline earnings is not an IFRS requirement, but is required by the JSE Listings Requirements and Circular 1 of 2023.

Normalised headline earnings per share

Normalised headline earnings are headline earnings adjusted for specific non-trading items, being transaction costs and other acquisition and disposal-related gains or losses (including any gains or losses arising from the remeasurement of the fair value of liabilities for future contingent and/or milestone payments relating to intangible asset acquisitions accounted for under the cost accumulation method), restructuring costs, settlement of product-related litigation costs, net monetary adjustments and currency devaluations relating to hyperinflationary economies and significant once-off tax provision charges or credits arising from the resolution of prior year tax matters.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

27. EARNINGS PER SHARE CONTINUED RECONCILIATION OF EARNINGS

	2025 R'million	2024 R'million
(Loss)/profit attributable to equity holders of the parent	(1 083)	4 404
Impairment of property, plant and equipment	438	81
– Gross amount	597	84
– Tax effect	(159)	(3)
Reversal of impairment losses on property, plant and equipment (gross amount)	(1)	–
Impairment of right-of-use assets	55	–
– Gross amount	63	–
– Tax effect	(8)	–
Impairment of intangible assets	5 264	2 362
– Gross amount	5 299	2 415
– Tax effect	(35)	(53)
Reversal of impairment of intangible assets (gross amount)	(1 152)	(977)
(Profit)/loss on the sale of intangible assets	(8)	5
– Gross amount	(5)	27
– Tax effect	(3)	(22)
Loss on the sale of property, plant and equipment and right-of-use assets	22	6
– Gross amount	27	7
– Tax effect	(5)	(1)
Impairment of goodwill (gross amount)	–	145
Insurance compensation on assets	(18)	–
– Gross amount	(25)	–
– Tax effect	7	–
Headline earnings	3 517	6 026
Restructuring costs	712	217
– Gross amount	848	227
– Tax effect	(136)	(10)
Transaction costs ¹	457	385
– Gross amount	478	408
– Tax effect	(21)	(23)
Product litigation costs (gross amount)	2	–
Normalised headline earnings	4 688	6 628

¹ Included in transaction costs is capital raising fees (net of tax) of R51 million (2024: R40 million).

	2025 million	2024 million
Weighted average number of shares in issue		
Number of shares in issue at the beginning of the year (net of treasury shares)	444,2	444,2
Effect of treasury shares	(0,2)	–
Weighted number of shares in issue at the end of the year	444,0	444,2
Weighted average number of shares for diluted earnings per share	444,0	444,2

PERFORMANCE PER SHARE

	2025 cents	2024 cents
Basic (loss)/earnings per share (basic and diluted)	(243,9)	991,4
Headline earnings per share (basic and diluted)	792,1	1 356,6
Normalised headline earnings per share (basic and diluted)	1 055,8	1 492,1

28. CASH DIVIDEND

ACCOUNTING POLICY

Dividends are only accounted for in the Annual Financial Statements in the year that it is paid and approved by the Board of Directors.

The dividend paid of R1,6 billion (2024: R1,5 billion) relates to the dividend of 359 cents (2024: 342 cents) per share declared on 3 September 2024 and paid on 23 September 2024 (2024: declared on 30 August 2023 and paid on 26 September 2023).

Subsequent to year-end, the Board declared on 3 September 2025 a gross dividend of R0,9 billion (211 cents per ordinary share). This will be paid from income reserves and was recorded in the share register of the Company at the close of business on 3 October 2025. In compliance with *IAS 10 – Events After the Reporting Period*, the dividend will be accounted for in the Annual Financial Statements for the year ending 30 June 2026.

29. CURRENCY TRANSLATION GAINS/(LOSSES)

Currency translation gains/(losses) on the translation of the offshore businesses are as a result of the difference between the weighted average exchange rate used for trading results and the opening and closing exchange rates applied in the statement of financial position. For the period, the weaker closing Rand translation rate against the Euro is the primary driver of the increased Group's net asset value.

	2025	2024
Average rates		
Euro	19,759	20,233
Australian Dollar	11,757	12,263
US Dollar	18,164	18,707
Chinese Yuan Renminbi	2,518	2,593
Mexican Peso	0,924	1,089
Brazilian Real	3,184	3,732
British Pound Sterling	23,504	23,556
Canadian Dollar	13,017	13,809
Russian Ruble	0,201	0,203
Closing rates		
Euro	20,875	19,468
Australian Dollar	11,652	12,122
US Dollar	17,712	18,185
Chinese Yuan Renminbi	2,471	2,502
Mexican Peso	0,940	0,997
Brazilian Real	3,246	3,271
British Pound Sterling	24,323	22,996
Canadian Dollar	13,011	13,292
Russian Ruble	0,226	0,212

30. FINANCIAL RISK MANAGEMENT

30.1 INTRODUCTION

The Group does not trade in financial instruments; however, in the ordinary course of business operations, the Group is exposed to a variety of financial risks arising from the use of financial instruments. These risks include:

- market risk (comprising interest rate risk and foreign currency risk);
- liquidity risk;
- credit risk; and
- capital risk.

The Audit & Risk Committee is responsible for the establishment and oversight of the Group's risk management framework. This framework is formally documented, and stipulates the responsibilities and processes for monitoring and managing the risks to which the Group is exposed.

The Group Treasury Committee monitors treasury relevant risks (i.e. liquidity, foreign exchange, interest rate, covenants, counterparty, etc.) affecting the Group, on a periodic basis, and provides guidance to local management in managing these risks. Local management is empowered, within the relevant approvals frameworks, to make decisions regarding how to manage these risks, as well as taking ownership for the implementation of any related action. The Group Treasury Committee reports to the Audit & Risk Committee.

Concentration risk is the risk that the Group is exposed to financial loss, which if incurred, would be significant due to the aggregate (concentration) exposure the Group has to a particular asset, counterparty, customer or service provider. The management of concentration risk is critical across many of the significant risk categories. Information on the key concentration risks have been set out in the respective notes.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

30. FINANCIAL RISK MANAGEMENT CONTINUED

30.1 INTRODUCTION CONTINUED

Risk management and measurement relating to each of these risks is discussed under the headings below. The Group's objective in using derivative financial instruments for hedging purposes is to reduce the uncertainty over future cash flows arising from foreign currency and interest rate exposures.

30.2 FINANCIAL INSTRUMENTS BY CATEGORY

The carrying amount of financial instruments by category is as follows:

	At fair value through profit or loss R'million	At amortised cost R'million	Total R'million
June 2025			
Financial assets			
Other non-current and current receivables	–	65	65
Trade and other receivables	–	11 068	11 068
Cash and cash equivalents	–	6 409	6 409
Total financial assets	–	17 542	17 542
Financial liabilities			
Unsecured loans	–	35 619	35 619
Lease liabilities	–	501	501
Other non-current and current financial liabilities	–	2 112	2 112
Trade and other payables	–	7 503	7 503
Forward exchange contracts (net settled)	18	–	18
Total financial liabilities	18	45 735	45 753
June 2024			
Financial assets			
Other non-current and current receivables	–	60	60
Trade and other receivables	–	10 676	10 676
Cash and cash equivalents	–	12 337	12 337
Total financial assets		23 073	23 073
Financial liabilities			
Unsecured loans	–	30 742	30 742
Lease liabilities	–	596	596
Bank overdrafts	–	5 117	5 117
Other non-current and current financial liabilities	–	3 840	3 840
Trade and other payables	–	7 676	7 676
Forward exchange contracts (net settled)	8	–	8
Total financial liabilities	8	47 971	47 979

30. FINANCIAL RISK MANAGEMENT CONTINUED

30.3 MARKET RISK MANAGEMENT

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate due to changes in market prices. The market risks that the Group is primarily exposed to include foreign currency risk and interest rate risk. Market risk is managed by identifying and quantifying risks on the basis of current and future expectations and ensuring that all trading occurs within defined parameters. This involves the review and implementation of methodologies to reduce risk exposure. The reporting on the state of the risk and risk practices to executive management is part of this process. The processes set up to measure, monitor and mitigate these market risks are described below. There has been no substantive change to the Group's exposure to market risk or the manner in which it manages and measures the risk since the previous year.

30.3.1 Foreign currency risk

The Group's transactions are predominantly entered into in the respective functional currency of the individual operations. However, the Group's operations utilise various foreign currencies (currencies other than the operation's functional currencies) in respect of revenue, purchases, capital expenditure, acquisitions, divestments, other financial assets and liabilities, as well as borrowings. Consequently, the Group is exposed to exchange rate fluctuations that have an impact on future cash flows and/or foreign exchange gains or losses recognised in the statement of comprehensive income. Through the selective use of forward exchange contracts, these exposures are managed within risk appetites set by the Audit & Risk Committee.

Hedge accounting was not applied to any forward exchange contracts which the Group had in place during the years ended 30 June 2025 and 30 June 2024.

The tables below reflect the fair values of outstanding forward exchange contracts at year-end.

	Foreign amount million	Forward cover value R'million	Marked to market value R'million	Cumulative (asset)/ liability R'million
June 2025				
Net FEC position				
US Dollar: Euro	15	313	311	(2)
Chinese Yuan Renminbi: Euro	39	814	806	(8)
Mexican Peso: Euro	160	3 318	3 340	22
ZAR: US Dollar	22	382	387	5
British Pound Sterling: Euro	8	195	196	1
		5 022	5 040	18
June 2024				
Net FEC position				
Australian Dollar: Euro	27	332	331	1
Chinese Yuan Renminbi: Euro	10	195	195	–
Mexican Peso: Euro	168	3 262	3 256	6
US Dollar: Euro	48	877	876	1
		4 666	4 658	8

Definitions

Marked to market value

Foreign notional amount translated at the market forward rate at 30 June.

Forward cover value

Foreign notional amount translated at the contracted rate.

At 30 June, all forward exchange contracts (including those contracts for which the underlying transactions were recorded but payments not reflected at year-end) have a maturity date of less than one year.

Sensitivity analysis

The Group has used a sensitivity analysis technique that measures the estimated change to the statement of comprehensive income of an instantaneous 10% strengthening or weakening of the relevant operations' functional currencies against all other currencies, from the rate applicable at 30 June, for each class of financial instrument with all other variables remaining constant. This analysis is for illustrative purposes only, as in practice, market rates rarely change in isolation.

The Group is mainly exposed to fluctuations in foreign exchange rates in respect of the Rand, US Dollar, Euro, Brazilian Real, Mexican Peso, Chinese Yuan Renminbi, New Zealand Dollar, Australian Dollar and Russian Ruble. The analysis considers the impact of changes in foreign exchange rates on the statement of comprehensive income, excluding currency translation movements resulting from the translation of Group entities that have a functional currency different from the presentation currency into the Group's presentation currency (and recognised in the foreign currency translation reserve), which amounted to an increase to other comprehensive income of R2 696 million at 30 June 2025 (2024: decrease of R4 274 million).

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

30. FINANCIAL RISK MANAGEMENT CONTINUED

30.3 MARKET RISK MANAGEMENT CONTINUED

30.3.1 Foreign currency risk continued

The analysis has been performed on the basis of the change occurring at the start of the reporting period and assumes that all other variables, in particular interest rates, remain constant, and was performed on the same basis for 2025.

A change in the foreign exchange rates to which the Group is exposed at the reporting date would have increased/(decreased) profit before tax by the amounts shown below.

	Change in exchange rate %	Weakening in functional currency	
		2025 R'million	2024 R'million
Denominated: Functional currency			
Rand: US Dollar	10	(8)	(27)
Rand: Euro	10	(12)	(5)
US Dollar: Euro	10	36	(18)
Euro: Chinese Yuan Renminbi	10	31	(41)
Euro: Mexican Peso	10	22	325
Rand: Chinese Yuan Renminbi	10	43	32
Other exposures	10	117	126
		229	392

A 10% strengthening in the relevant operations' functional currencies against the above currencies at 30 June would have an equal and opposite effect on profit before tax, on the basis that all other variables remain constant.

The following significant exchange rates against the Rand applied at 30 June:

	Spot rate		Average rate	
	2025	2024	2025	2024
Euro	20,875	19,468	19,759	20,233
Australian Dollar	11,652	12,122	11,757	12,263
US Dollar	17,712	18,185	18,164	18,707
Chinese Yuan Renminbi	2,471	2,502	2,518	2,593
Mexican Peso	0,940	0,997	0,924	1,089
Brazilian Real	3,246	3,271	3,184	3,732
British Pound Sterling	24,323	22,996	23,504	23,556
Russian Ruble	0,226	0,212	0,201	0,203
Canadian Dollar	13,011	13,292	13,017	13,809

30.3.2 Interest rate risk

Exposure to interest rate risk on financial assets and liabilities is monitored on a continuous and proactive basis. The debt of the Group is structured on a combination of floating and fixed interest rates. The benefits of fixing or capping interest rates on the Group's various financing activities are considered on a case-by-case and project-by-project basis, taking the specific and overall risk profile into consideration.

At the reporting date, the interest rate profile of the Group's interest-bearing financial instruments was as follows:

	Carrying amount	
	2025 R'million	2024 R'million
Variable rate instruments		
Other financial receivables	65	60
Cash and cash equivalents	2 737	9 188
Borrowings	(27 582)	(26 093)
Other financial liabilities	(2 112)	(3 840)
	(26 892)	(20 685)
Fixed rate instruments		
Borrowings	(8 768)	(10 513)
	(8 768)	(10 513)

30. FINANCIAL RISK MANAGEMENT CONTINUED

30.3 MARKET RISK MANAGEMENT CONTINUED

30.3.2 Interest rate risk continued

Sensitivity analysis

An increase of 100 basis points in each of the individual interest rate categories for the year ended 30 June would have decreased profit before tax by the following:

	2025 R'million	2024 R'million
Three-month EURIBOR	150	72
Three-month JIBAR and South African prime overdraft rate	79	78
Three-month BBSY	20	21
	250	171

A decrease of 100 basis points in each of the individual interest rate categories for the year ended 30 June would have increased profit before tax by the following:

	2025 R'million	2024 R'million
Three-month EURIBOR	150	72
Three-month JIBAR and South African prime overdraft rate	79	78
Three-month BBSY	20	21
	250	171

Impact of Interbank Offered Rates ("IBOR") reform

EURIBOR

EURIBOR was reformed in 2019. There are currently no plans in place for the discontinuation of EURIBOR and it continues to be published by the European Money Market Institute.

JIBAR

ZARONIA is replacing JIBAR as South Africa's new benchmark interest rate, where JIBAR will cease to be published by the South African Reserve Bank by the end of 2026. The transition to the ZARONIA is not expected to have a material impact on the Group's future finance charges.

BBSY

There are currently no plans in place for the discontinuation of BBSY (being BBSW + 0,05%) and it continues to be published by the Australian Securities Exchange.

Management continues to monitor how changes to interest rate benchmarks may impact the Group in the future. Management is of the view that anticipated changes to interest rate benchmarks will not have a significant impact on the Group's derivative financial instruments, its debt instruments, or its interest rate risk management strategy.

30.4 LIQUIDITY RISK

Liquidity risk is the risk that an entity in the Group will not be able to meet its payment obligations as they become due.

Within the Group, there are three Debt Issuing Groups ("DIGs"), one for South African Rand, one for Euro and one for Australian Dollar. Each of the DIGs comprise entities that collectively participate in cash pooling arrangements with the other members of that DIG. Within each DIG is at least one entity which maintains a portfolio of debt funding instruments, which include revolving credit facilities ("RCFs"). Each of the DIGs use surplus cash within the DIG to repay that DIG's RCFs. Amounts repaid against the RCFs are available to be subsequently re-borrowed until the relevant maturity date of the RCFs.

Certain Group entities ("Non-DIG Entities") are not members of a DIG and maintain their own cash balances and/or bilateral debt facilities to meet their liquidity requirements. To the extent that a Non-DIG Entity identifies a liquidity shortage/funding requirement, additional funding is requested and sourced from one of the DIGs.

The Group manages liquidity risk by monitoring each DIG's forecast cash inflows and outflows (which include any additional funding requirements relating to Non-DIG Entities) for the following 12 months ensuring that an appropriate buffer of cash or undrawn debt facilities is forecast to be maintained over that period.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

30. FINANCIAL RISK MANAGEMENT CONTINUED

30.4 LIQUIDITY RISK CONTINUED

The following are the undiscounted contractual maturities of financial assets and liabilities:

		Undiscounted cash flows				
2025	Note ¹	On demand R'million	Less than 1 year R'million	Between 1 – 2 years R'million	Between 2 – 5 years R'million	More than 5 years R'million
Financial assets						
Other non-current and current financial receivables	7	–	15	2	49	–
Trade and other receivables (financial instruments only)	9.1	–	11 068	–	–	–
Cash and cash equivalents	10	3 721	2 688	–	–	–
Total financial assets		3 721	13 771	2	49	–
Financial liabilities						
Unsecured loans	13	–	(5 749)	(4 810)	(26 455)	(3 179)
Lease liabilities	13	–	(256)	(245)	–	–
Trade and other payables (financial instruments only)	17	–	(7 503)	–	–	–
Other non-current and current financial liabilities	14.1	–	(1 676)	(225)	(112)	(221)
Forward exchange contracts (net settled) ²	18.2	–	(18)	–	–	–
Total financial liabilities		–	(15 202)	(5 280)	(26 567)	(3 400)
Net exposure ³		3 721	(1 431)	(5 278)	(26 519)	(3 400)

¹ Details of the respective financial assets and liabilities classes can be found in the referencing notes. However, the values in this note are the expected undiscounted cash flow whereas the reference notes include the effect of discounting.

² For the purpose of the above table, foreign currency cash inflows /outflows were translated into Rand using the relevant forward rates.

³ The Group has R11,7 billion of undrawn and available borrowing facilities, which it can access on demand. Of this amount, R0,9 billion would be repayable in 30 November 2027 and R10,8 billion would be repayable in 30 November 2028. Any amounts borrowed thereunder would be repayable on the dates as indicated.

30. FINANCIAL RISK MANAGEMENT CONTINUED

30.4 LIQUIDITY RISK CONTINUED

		Undiscounted cash flows				
2024	Note ¹	On demand R'million	Less than 1 year R'million	Between 1 – 2 years R'million	Between 2 – 5 years R'million	More than 5 years R'million
Financial assets						
Other non-current and current financial receivables	7	–	18	39	–	–
Trade and other receivables (financial instruments only)	9.1	–	10 676	–	–	–
Cash and cash equivalents	10	11 766	571	–	–	–
Total financial assets		11 766	11 265	39	–	–
Financial liabilities						
Unsecured loans	13	–	(7 288)	(5 901)	(20 639)	–
Bank overdrafts	13	(5 117)	–	–	–	–
Lease liabilities	13	–	(274)	(274)	(48)	–
Trade and other payables (financial instruments only)	17	–	(7 676)	–	–	–
Other non-current and current financial liabilities	14.1	–	(1 932)	(1 650)	(328)	(220)
Forward exchange contracts (net settled) ²	18.2	–	(8)	–	–	–
Total financial liabilities		(5 117)	(17 178)	(7 825)	(21 015)	(220)
Net exposure ³		6 649	(5 913)	(7 786)	(21 015)	(220)

¹ Details of the respective financial assets and liabilities classes can be found in the referencing notes. However, the values in this note are the expected undiscounted cash flow whereas the reference notes include the effect of discounting.

² For the purpose of the above table, foreign currency cash inflows/outflows were translated into Rand using the relevant forward rates.

³ The Group has R8,7 billion of undrawn and available borrowing facilities, which it can access on demand. Of this amount, R1,0 billion would be repayable in 30 November 2025 and R7,7 billion would be repayable in 30 November 2026. Any amounts borrowed thereunder would be repayable on the dates as indicated.

30.5 CREDIT RISK

Credit risk, or the risk of financial loss due to counterparties to financial instruments not meeting their contractual obligations, is managed by the application of credit approvals, limits and monitoring procedures. Counterparty credit limits are in place and are reviewed and approved by the respective subsidiary Boards.

Credit risk primarily arises from trade and other receivables, other non-current and current receivables, derivative financial instruments and cash and cash equivalents. The Group's maximum exposure to credit risk is represented by the carrying amount of these financial assets, with the exception of trade receivables covered by credit guarantee insurance. Refer to the respective notes for more detail on how the Group manages credit risks for these financial assets.

Notes to the Group annual financial statements continued

for the year ended 30 June 2025

30. FINANCIAL RISK MANAGEMENT CONTINUED

30.6 CAPITAL RISK

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide sustainable returns for shareholders, balance the interests of all providers of capital and to maintain an optimal capital structure to reduce the cost of capital.

The capital structure of the Group consists of borrowings, other financial liabilities and equity attributable to shareholders of the parent, comprising share capital, treasury shares, non-distributable reserves and retained income.

The Board's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence, and to sustain future development of the business. The Board reviews this capital structure on at least a semi-annual basis. As part of the review, the Board considers the Group's solvency, liquidity, headroom on applicable financial covenants, mismatches between the foreign currency composition of its earnings and its borrowings, and other relevant factors which may pose a risk to the Group's ability to continue as a going concern. Based on recommendations by the Board, the Group may seek to adjust the composition of its capital structure depending on circumstances existing at the time of each review.

There were no changes to the Group's approach to capital management from the prior year.

In terms of the Group's funding arrangements with its lenders, the Group was subject to the following financial covenants, each measured at a Group level and by reference to the calculation methodologies stipulated therein:

Covenant name	Leverage Ratio	Interest Cover Ratio	Historic Liquidity Ratio
Covenant description	Debt (net of cash and cash equivalents) may not exceed this multiple of earnings before interest, tax, depreciation, non-recurring items and amortisation ("EBITDA")	EBITDA must be above this multiple of net finance charges	If the Leverage Ratio exceeds 3,00, then the Sources of Liquidity must be above this multiple of the Uses of Liquidity
Covenant level	< 3,50	> 3,50	> 1,20
Actual metric at each relevant measurement date	30 June 2025: 3,21 31 December 2024: 2,56 30 June 2024: 2,28 31 December 2023: 2,39	30 June 2025: 5,81 31 December 2024: 7,57 30 June 2024: 8,04 31 December 2023: 8,53	30 June 2025: 1,78 31 December 2024: N/A 30 June 2024: N/A 31 December 2023: N/A

As at and for the years ended 30 June 2024 and 30 June 2025, all the above covenants were complied with.

31. RELATED PARTY TRANSACTIONS

Transactions with shareholders

The Group did not enter into any transactions with direct beneficial shareholders during the current year, except as described in the Directors' Report and note 22.

Intra-group transactions and balances

During the year, various companies in the Group entered into service, lending, financial guarantee and transactions relating to the buying and selling of goods with one another, on an arm's length basis. These intra-group transactions have been eliminated on consolidation. Refer to note 20 of the Company annual financial statements for a list of material operating subsidiaries and structured entities. None of the balances are secured.

Transactions and balances with directors

All directors have given general declarations of interest in terms of section 75 of the Companies Act. These declarations indicate that various members of the Board hold various other directorships in South African entities with whom transactions are conducted by the Group in terms of a customer/supplier relationship. These transactions have been concluded on terms and conditions that are no more favourable than those entered into with third parties in arm's length transactions, and are all unsecured.

Chris Mortimer, a non-executive director of Aspen, is a full-time practising attorney and managing partner at Chris Mortimer & Associates which provides legal services to the Group. During the year, total legal fees to Chris Mortimer & Associates expensed in the statement of comprehensive income was R10,2 million (2024: R16,4 million). There were no balances outstanding at 30 June 2025 (2024: Rnil).

Directors' and prescribed officers' remuneration is disclosed in note 22.

31. RELATED PARTY TRANSACTIONS CONTINUED

Transactions with key management personnel

Key management personnel consists of directors of key Group companies.

The key management personnel compensation consists of:

	2025 R'million	2024 R'million
Short-term employee benefits	218	245
Post-employment benefits	15	15
Share-based payment expense	57	67
Total key management remuneration paid	290	327
Number of employees included above	32	31

Other than disclosed above, and in the Directors' Report, no significant related party transactions were entered into during the year under review.

32. CONTINGENT LIABILITIES

Other contingent liabilities

The Group has a number of individually insignificant contingent liabilities amounting to R279 million (2024: R254 million).

33. SUBSEQUENT EVENTS

Dividends

Subsequent to year-end, the Board has declared a gross dividend to shareholders of R0,9 billion (211 cents per ordinary share), which will be paid from income reserves and was recorded in the share register of the Company at the close of business on 3 October 2025. In compliance with *IAS 10 – Events After the Reporting Period*, the dividend will be accounted for in the Annual Financial Statements for the year ending 30 June 2026.

Residual accounting policies

for the year ended 30 June 2025

GENERAL INFORMATION

Aspen Pharmacare Holdings Limited is the holding company of the Group and is domiciled and incorporated in the Republic of South Africa.

The principal accounting policies applied in the preparation of these Annual Financial Statements are set out in each of the respective notes. Any accounting policies that are general in nature, and/or are applicable to more than one specific note, have been disclosed below.

Except as otherwise disclosed, these policies are consistent in all material respects with those applied in previous years.

BASIS OF PREPARATION OF FINANCIAL RESULTS

The Annual Financial Statements have been prepared in accordance with International Financial Reporting Standards ("IFRS Accounting Standards") as issued by the International Accounting Standards Board ("IASB") and comply with the SAICA Financial Reporting Guides as issued by the Accounting Practices Committee, financial pronouncements as issued by the Financial Reporting Standards Council ("FRSC"), the JSE Listings Requirements and the requirements of the South African Companies Act No. 71 of 2008. The Annual Financial Statements have been prepared on the historical cost basis, except for certain financial instruments that have been measured at fair value. The methods used to measure fair value and the adjustments made to account for these subsidiaries are discussed further in the accounting policies and in the respective notes.

The Annual Financial Statements are prepared on the going concern basis. These accounting policies are applied throughout the Group.

The preparation of Annual Financial Statements, in conformity with IFRS Accounting Standards, requires the use of estimates and assumptions that affect the reported amounts of assets and liabilities, disclosure of contingent assets and liabilities at the date of the Annual Financial Statements and the reported amounts of revenues and expenses during the reporting period. Although these estimates are based on management's best knowledge of current events and actions, actual results may ultimately differ from those estimates. The preparation of Annual Financial Statements in conformity with IFRS Accounting Standards also requires management to exercise its judgement in the process of applying the Group's accounting policies. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the Annual Financial Statements, are disclosed in each of the respective notes.

GROUP ACCOUNTING

The Annual Financial Statements reflect the financial results of the Group. All financial results are consolidated with similar items on a line-by-line basis. A listing of the Group's material operating subsidiaries and structured entities are set out in note 20 of the Company Annual Financial Statements.

Subsidiaries

The financial results of subsidiaries (including structured entities, at this stage limited to the share trusts) are fully consolidated from the date on which control is transferred to the Group and are no longer consolidated from the date that control ceases.

Investments in subsidiaries are accounted for at cost less any accumulated impairment losses in the Company Annual Financial Statements. None of the investments in subsidiaries are listed.

When the end date of the reporting period of the parent is different to that of the subsidiary, the subsidiary prepares, for consolidation purposes, additional Annual Financial Statements as of the same date as the Annual Financial Statements of the parent.

Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

Inter-company transactions and balances

Inter-company transactions, balances and unrealised gains and losses on transactions between Group companies are eliminated on consolidation.

BUSINESS COMBINATIONS AND GOODWILL

The acquisition method of accounting is used when a business is acquired. A business may comprise an entity, group of entities or an unincorporated operation, including its operating assets and associated liabilities.

The cost of an acquisition is measured as the fair value of the assets given up, equity instruments issued, or liabilities incurred or assumed at the date of exchange. Costs attributable to the acquisition are charged to the statement of comprehensive income. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date, irrespective of the extent of any non-controlling interests. Goodwill is initially measured as the excess of the aggregate of the consideration transferred, the acquisition date fair value of previously held equity interests and the fair value of non-controlling interest over the net identifiable assets acquired and liabilities assumed. If the cost of the acquisition is less than the fair value of the net assets of the subsidiary acquired, the difference is recognised directly in the statement of comprehensive income. Non-controlling interests at acquisition date are determined as the non-controlling shareholders' proportionate share of the fair value of the net assets of the subsidiary acquired.

Deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill. Deferred tax is not accounted for if it arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss.

The profit or loss realised on disposal or termination of an entity is calculated after taking into account the carrying amount of any related goodwill.

BUSINESS COMBINATIONS AND GOODWILL CONTINUED

At the date of the acquisition, acquired deferred tax assets may not be fully recognised under IFRS Accounting Standards. Adjustments to the initial recognition of acquired deferred tax assets under IFRS Accounting Standards, subsequent to the acquisition date, are recognised in the statement of comprehensive income, unless the adjustment qualifies as a measurement period adjustment, in which case it is recognised as an adjustment to goodwill.

Contingent consideration in a business combination is included in the cost of a business combination at fair value on the date of acquisition. The classification of the arrangement into debt or equity will dictate the subsequent accounting. If the arrangement is classified as debt, the amount will have to be remeasured at each reporting period to fair value with changes being recognised in the statement of comprehensive income. If the arrangement is classified as equity, then remeasurement is not allowed. Existing contingent consideration arrangements are, however, grandfathered under the standard that was in existence at the time of acquisition, being *IFRS 3 – Business Combinations*.

When the accounting for a business combination can only be determined provisionally at the date of reporting, provisional values are used. These provisional values are adjusted once the initial accounting has been completed, which must be within 12 months from the date of acquisition, by retrospectively adjusting the fair values of the net assets acquired and goodwill.

Significant judgement is applied by management when considering whether a transaction should be classified as a business combination or as an asset acquisition.

The Group determines that it has acquired a business when the acquired set of activities and assets include an input and a substantive process that together significantly contribute to the ability to create outputs. The acquired process is considered substantive if it is critical to the ability to continue producing outputs, and the inputs acquired include an organised workforce with the necessary skills, knowledge, or experience to perform that process or it significantly contributes to the ability to continue producing outputs and is considered unique or scarce or cannot be replaced without significant cost, effort or delay in the ability to continue producing outputs.

Management would consider all the facts and circumstances of the transactions to determine if all the inputs and processes are acquired to create outputs that result in economic inflows or profits to the Group. If management can demonstrate that outflows are created that result in inflows to the Group, the transaction is accounted for as a business combination rather than an asset acquisition.

FOREIGN CURRENCY TRANSLATION

Functional and presentation currency

Items included in the Annual Financial Statements of each entity in the Group are measured using the functional currency of the primary economic environment in which that entity operates. The Annual Financial Statements are presented in Rand, which is the functional and presentation currency of Aspen Pharmacare Holdings Limited.

Foreign operations

The results and financial position of all entities that have a functional currency different from the presentation currency of their parent entity are translated into the presentation currency. The basis for the translation is as follows:

- income and expenditure of foreign operations are translated into the Group's presentation currency at the average exchange rate for the year, unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenditure transactions are translated at the rates on the dates of the transactions;
- assets and liabilities, including fair value adjustments and goodwill arising on acquisition, are translated at the closing rate at year-end; and
- exchange differences arising on translation are recognised as currency translation movements in other comprehensive income and deferred in equity in the foreign currency translation reserve.

On consolidation, currency translation movements arising from translation of results and financial position of entities that have a functional currency different from that of the presentation currency of the parent is recognised in other comprehensive income.

On disposal of part or all of the foreign operation, the proportionate share of the related cumulative gains and losses previously recognised in other comprehensive income and accumulated in the foreign currency translation reserve in equity, is reclassified from equity to the statement of comprehensive income (as a reclassification adjustment) when the gain or loss on disposal is recognised.

FINANCIAL INSTRUMENTS

Accounting for derivative financial instruments and hedging activities

The Group designates certain derivatives as one of the following on the date the derivative contract is entered into:

- a hedge of the exposure to changes in fair value of a recognised asset or liability or a firm commitment (fair value hedge);
- a hedge of the exposure to variability in cash flows that is attributable to a particular risk associated with a recognised asset or liability or a highly probable forecast transaction (cash flow hedge); or
- net investment hedge.

Certain derivative transactions, while providing effective economic hedges under the Group's risk management policies, do not qualify for hedge accounting. Changes in the fair value of any derivative instruments that do not qualify for hedge accounting are recognised immediately in the statement of comprehensive income within financing costs.

Residual accounting policies continued

for the year ended 30 June 2025

FINANCIAL INSTRUMENTS CONTINUED

Fair value estimation

The fair value of publicly traded derivatives is based on quoted market prices at year-end. The fair value of forward exchange contracts is determined using forward exchange market rates at year-end.

Financial instruments that are measured at fair value in the statement of financial position are classified into the following levels of the fair value measurement hierarchy:

- quoted prices (unadjusted) in active markets for identical assets or liabilities (level 1);
- inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly, as prices, or indirectly, derived from prices (level 2); and
- inputs for the assets or liabilities that are not based on observable market data, unobservable inputs (level 3).

Quoted market prices or dealer quotes for the specific or similar instruments are used for non-current debt. The fair values of non-current financial assets for disclosure purposes are estimated by discounting the future contractual cash flows at the interest rates available to the Group at year-end. Other techniques, such as option pricing models and estimated discounted value of future cash flows, are used to determine the fair value of the remaining financial instruments.

In assessing the fair value of non-traded derivatives and other financial instruments, the Group makes assumptions that are based on market conditions existing at each year-end.

The carrying amounts of the following financial assets and financial liabilities approximate their fair values:

- trade and other financial receivables;
- cash and cash equivalents;
- other non-current and current receivables;
- amounts due to Group companies;
- amounts due by Group companies;
- trade and other financial payables;
- other non-current financial liabilities;
- other current financial liabilities;
- current borrowings; and
- non-current borrowings.

Information on the fair value of financial instruments is included in the respective notes.

Current versus non-current classification

The Group presents assets and liabilities in the statement of financial position based on current or non-current classification.

An asset is current when it is expected to be realised or intended to be sold or consumed in the normal operating cycle, held primarily for the purpose of trading, expected to be realised within 12 months after the reporting period is cash and cash equivalent, unless it is restricted from being exchanged or used to settle a liability for at least 12 months after the reporting period.

All other assets are classified as non-current.

A liability is current when it is expected to be settled in the normal operating cycle, it is held primarily for the purpose of trading, it is due to be settled within 12 months after the reporting period or there is no unconditional right to defer the settlement of the liability for at least 12 months after the reporting period. The terms of the liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

The Group classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

COMPARATIVE FIGURES

Comparative figures are reclassified or restated as necessary to afford a proper and more meaningful comparison of results as set out in the affected notes to the Annual Financial Statements.

Classifications and presentation

The Annual Financial Statements are presented in Rand and all values are rounded to the nearest million (R'million), except when otherwise indicated.

Certain amounts have been combined and/or classified in the Annual Financial Statements due to either their similarity in nature or not being individually material to disclose separately.

ACCOUNTING POLICIES SPECIFIC TO THE COMPANY

All the accounting policies disclosed in the Group Annual Financial Statements are applicable to the Company Annual Financial Statements. The following additional accounting policies are applicable to the Company Annual Financial Statements:

Revenue

The revenue accounting policy for the Company is consistent with that of the Group, with the exception of dividends received from subsidiaries, insurance revenue and royalties, which is included in revenue. The Company earns royalties from subsidiaries based on sales for use of intangible assets owned by the Company.

The revenue streams of the Company include royalties, insurance revenue, administrative fees received from subsidiaries, and dividends received from subsidiaries and joint ventures. The insurance revenue for the period is the amount of expected premium receipts allocated to the period. The Company allocates the expected premium receipts to each period of insurance contract services on the basis of the passage of time.

For the periods presented, all revenue has been recognised on the basis of the passage of time. Due to dividend income not being considered as revenue from contracts with customers, the revenue streams accounted for in accordance with *IFRS 15 – Revenue from Contracts with Customers* relates to royalties and administrative fees received from subsidiaries.

Amounts due by Group companies

Amounts due by Group companies are classified as “amortised cost” in terms of *IFRS 9 – Financial Instruments: Recognition and Measurement*. Amounts receivable are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. These are included in current assets as they all have maturities less than 12 months from year-end. The Group determines the classification of its financial asset at initial recognition when the Group becomes party to the contractual provisions of the instrument.

If there is no history of write-offs, no expected credit loss provision will be raised in accordance with *IFRS 9 – Financial Instruments*.

Amounts due to Group companies

Amounts due to Group companies are classified as “liabilities at amortised cost” in terms of *IFRS 9 – Financial Instruments: Recognition and Measurement*. Financial liabilities are recognised on the transaction date when the Group becomes a party to the contract and thus has a contractual obligation and are derecognised when these contractual obligations are discharged, cancelled or expired.

Insurance cell captive

The Company, also known as the cell owner, subscribed for a special class of shares in an offshore insurance company, the investment, for Group reporting purposes, is eliminated on consolidation. In relation to the Company Financial Statements, the investment is classified as a financial asset held at fair value in terms of *IFRS 9 – Financial Instruments*.

CONSTANT EXCHANGE RATE REPORT

The presentation currency of the Group is Rand.

In addition to that, the Group has presented selected line items from the consolidated statement of comprehensive income and certain trading profit metrics on a constant exchange rate basis in a supplementary unaudited annexure. Refer to page 121.

Residual accounting policies continued

for the year ended 30 June 2025

NEW STANDARDS, AMENDMENTS AND INTERPRETATIONS

The following standards, amendments and interpretations were effective for the first time in the year ended 30 June 2025:

STANDARDS, AMENDMENTS AND INTERPRETATIONS	DESCRIPTION	EFFECTIVE DATE	EFFECT ON THE GROUP
Non-current Liabilities with Covenants (Amendments to IAS 1)	The amendment clarifies how conditions with which an entity must comply within 12 months after the reporting period affect the classification of a liability. The amendments clarify: - what is meant by a right to defer settlement; - that a right to defer settlement must exist at the end of the reporting period; - that classification is unaffected by the likelihood that an entity will exercise its deferral right; and - that only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification.	Financial years beginning on or after 1 January 2024.	The Group applied this amendment from financial year ended 30 June 2025. No material impact to the Group. Refer to notes 13 and 30.6.
Classification of Liabilities as Current or Non-current (Amendments to IAS 1)	The amendments aim to promote consistency in applying the requirements by helping companies determine whether, in the statement of financial position, debt and other liabilities with an uncertain settlement date should be classified as current (due or potentially due to be settled within one year) or non-current.	Financial years beginning on or after 1 January 2024.	The Group applied this amendment from financial year ended 30 June 2025. No material impact to the Group.
Lease Liability in a Sale and Leaseback (Amendments to IFRS 16)	The amendment to <i>IFRS 16 – Leases</i> specifies the requirements that a seller-lessee uses in measuring the lease liability arising in a sale and leaseback transaction, to ensure the seller-lessee does not recognise any amount of the gain or loss that relates to the right of use it retains.	Financial years beginning on or after 1 January 2024.	Not applicable to the Group.
Disclosures: Supplier Finance Arrangements (Amendments to IAS 7 and IFRS 7)	The amendments specify disclosure requirements to enhance the current requirements, which are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.	Financial years beginning on or after 1 January 2024.	The Group applied this amendment from financial year ended 30 June 2025. No material impact to the Group.
IFRS 19 – Subsidiaries without Public Accountability: Disclosures	The IASB issued <i>IFRS 19 – Subsidiaries without Public Accountability: Disclosures</i> , which allows eligible entities to elect to apply reduced disclosure requirements while still applying the recognition, measurement and presentation requirements in other IFRS Accounting Standards. Unless otherwise specified, eligible entities that elect to apply IFRS 19 will not need to apply the disclosure requirements in other IFRS Accounting Standards.	Financial years beginning on or after 1 January 2027.	There are certain entities for which there is no public accountability and meets the scope requirements of <i>IFRS 19 – Subsidiaries without Public Accountability: Disclosures</i> . These eligible material subsidiaries have elected to early adopt this standard for which there has been reduced disclosures within the respective financial statements.

NEW STANDARDS, AMENDMENTS AND INTERPRETATIONS CONTINUED

The following standards, amendments and interpretations were not yet effective for the year ended 30 June 2025:

STANDARDS, AMENDMENTS AND INTERPRETATIONS	DESCRIPTION	EFFECTIVE DATE	EFFECT ON THE GROUP
Lack of exchangeability (Amendments to IAS 21)	The amendment to <i>IAS 21 – The Effects of Changes in Foreign Exchange Rates</i> specifies how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking.	Financial years beginning on or after 1 January 2025.	The Group will apply this amendment from financial year ending 30 June 2026. No material impact expected to the Group.
Classification and Measurement of Financial Instruments (Amendments to IFRS 9 and IFRS 7)	The amendments address matters identified during the post-implementation review of the classification and measurement requirements of <i>IFRS 9 – Financial Instruments</i> which: - clarifies that a financial liability is derecognised on the “settlement date”. It also introduces an accounting policy option to derecognise financial liabilities that are settled through an electronic payment system before settlement date if certain conditions are met; - clarified how to assess the contractual cash flow characteristics of financial assets that include environmental, social and governance (“ESG”)-linked features and other similar contingent features; - clarifies the treatment of non-recourse assets and contractually linked instruments; and - requires additional disclosures in <i>IFRS 7 – Financial Instruments: Disclosures</i> for financial assets and liabilities with contractual terms that reference a contingent event (including those that are ESG-linked), and equity instruments classified at fair value through other comprehensive income.	Financial years beginning on or after 1 January 2026.	The Group will apply this amendment from financial year ending 30 June 2027. The impact is still being assessed by the Group.
Contracts Referencing Nature-dependent Electricity (Amendments to IFRS 9 and IFRS 7)	The amendments aim at enabling entities to include information in their financial statements that in the IASB’s view more faithfully represents contracts referencing nature-dependent electricity. The amendments only apply to contracts that reference nature-dependent electricity. These are contracts that expose an entity to variability in an underlying amount of electricity because the source of electricity generation depends on uncontrollable natural conditions, typically associated with renewable electricity sources such as sun and wind.	Financial years beginning on or after 1 January 2026.	The Group will apply this amendment from financial year ending 30 June 2027. The impact is still being assessed by the Group.
IFRS 18 – Presentation and Disclosure in Financial Statements	The IASB issued <i>IFRS 18 – Presentation and Disclosure in Financial Statements</i> which replaces <i>IAS 1 – Presentation of Financial Statements</i> . IFRS 18 introduces new categories and sub-totals in the statement of profit or loss. It also requires disclosure of management-defined performance measures (as defined) and includes new requirements for the location, aggregation and disaggregation of financial information.	Financial years beginning on or after 1 January 2027.	The Group will apply this amendment from financial year ending 30 June 2028. The impact is still being assessed by the Group.

Company statement of financial position

at 30 June 2025

	Note	2025 R'million	2024 R'million
ASSETS			
Non-current assets			
Investments in subsidiaries	1	29 171	26 044
Intangible assets	2	1 017	907
Property, plant and equipment	3	155	162
Right-of-use assets	4	3	6
Deferred tax assets	5	59	69
Total non-current assets		30 405	27 188
Current assets			
Amounts due by Group companies	1	2 614	839
Cash and cash equivalents	6	1	1 446
Receivables and other current assets	7	272	240
Current tax assets		62	–
Total current assets		2 949	2 525
Total assets		33 354	29 713
SHAREHOLDERS' EQUITY			
Share capital (net of treasury shares)	8	2 926	2 923
Non-distributable reserves		147	147
Share-based compensation reserve	9	315	287
Retained income		29 595	25 981
Total shareholders' equity		32 983	29 338
LIABILITIES			
Current liabilities			
Amounts due to Group companies	1	58	46
Trade and other payables	10	313	259
Current tax liabilities		–	70
Total current liabilities		371	375
Total equity and liabilities		33 354	29 713

Company statement of comprehensive income

for the year ended 30 June 2025

	Note	2025 R'million	2024 R'million
Revenue	11	5 992	4 986
Administrative expenses		(796)	(764)
Other operating income		1	1
Other operating expenses		(159)	(81)
Operating profit	12	5 038	4 142
Investment income	14	223	83
Net financing income	15	4	4
Profit before tax		5 265	4 229
Tax	16	(50)	(136)
Profit for the year¹		5 215	4 093

¹ Profit for the year equals total comprehensive income.

Company statement of changes in equity

for the year ended 30 June 2025

	Share capital (net of treasury shares) R'million	Non- distributable reserves (Hedging reserve) R'million	Share-based compensation reserve R'million	Retained income R'million	Total R'million
BALANCE AT 30 JUNE 2023	2 963	147	221	23 413	26 744
Total comprehensive income	–	–	–	4 093	4 093
Profit for the year	–	–	–	4 093	4 093
Treasury shares purchased	(42)	–	–	–	(42)
Deferred incentive bonus shares exercised	26	–	(26)	–	–
Dividends paid ¹	–	–	–	(1 525)	(1 525)
Share-based payment expenses	–	–	68	–	68
Transfer between reserves	(24)	–	24	–	–
BALANCE AT 30 JUNE 2024	2 923	147	287	25 981	29 338
Total comprehensive income	–	–	–	5 215	5 215
Profit for the year	–	–	–	5 215	5 215
Treasury shares purchased	(58)	–	–	–	(58)
Deferred incentive bonus shares exercised	61	–	(61)	–	–
Dividends paid ¹	–	–	–	(1 601)	(1 601)
Share-based payment expenses	–	–	89	–	89
BALANCE AT 30 JUNE 2025	2 926	147	315	29 595	32 982

¹ The dividend paid of R1,6 billion (2024: R1,5 billion) relates to the dividend of 359 cents (2024: 342 cents) per share declared on 3 September 2024 and paid on 23 September 2024 (2024: declared on 30 August 2023 and paid on 26 September 2023).

Company statement of cash flows

for the year ended 30 June 2025

	Note	2025 R'million	2024 R'million
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash generated from operations ¹	A	5 225	4 000
Net financing costs received	B	4	4
Investment income received		223	83
Tax paid	C	(160)	(52)
Cash generated from operating activities		5 292	4 035
CASH FLOWS FROM INVESTING ACTIVITIES			
Capital expenditure – property, plant and equipment		(3)	(7)
Capital expenditure – intangible assets		(275)	(194)
Capital injection in subsidiaries		(3 110)	(1 594)
Advances of amounts due by Group companies		(1 700)	(111)
Cash used in investing activities		(5 088)	(1 906)
CASH FLOWS FROM FINANCING ACTIVITIES			
Repayment of lease liability		(2)	(2)
Purchase of treasury shares		(58)	(42)
Dividends paid		(1 601)	(1 525)
Proceeds/(repayments) from amounts due to Group companies		12	(31)
Cash used in financing activities		(1 649)	(1 600)
CASH AND CASH EQUIVALENTS			
Movement in cash and cash equivalents		(1 445)	529
Cash and cash equivalents at the beginning of the year		1 446	917
Cash and cash equivalents at the end of the year		1	1 446

¹ Includes dividends received of R5,3 billion (2024: R4,1 billion).

Notes to the Company statement of cash flows

for the year ended 30 June 2025

	2025 R'million	2024 R'million
A. CASH GENERATED FROM OPERATIONS		
Operating profit	5 038	4 142
Amortisation of intangible assets	80	47
Depreciation of property, plant and equipment and right-of-use assets	13	10
Impairment – intangible assets	10	12
Share-based payment expenses	72	56
Other non-cash items	(4)	(6)
Cash operating profit	5 209	4 261
Working capital movements	16	(261)
Increase in receivables and prepayments	(31)	(84)
Increase/(decrease) in trade and other payables	47	(177)
	5 225	4 000
B. NET FINANCING COSTS RECEIVED		
Interest expense	(4)	(4)
Net foreign exchange gains	8	8
	4	4
C. TAX PAID		
Amounts (payable)/receivable at the beginning of the year	(70)	8
Tax charged to the statement of comprehensive income (excluding deferred and withholding taxes)	(28)	(130)
Amounts (receivable)/payable at the end of the year	(62)	70
	(160)	(52)

Notes to the Company annual financial statements

for the year ended 30 June 2025

	2025 R'million	2024 R'million
1. INVESTMENTS IN SUBSIDIARIES		
SUMMARY OF BALANCE		
Reflected as non-current assets		
Investments at cost less accumulated impairment losses	29 171	26 044
Reflected as current assets		
Amounts due by Group companies ¹	2 614	839
Reflected as current liabilities		
Amounts due to Group companies ¹	(58)	(46)
	31 727	26 837

¹ The intra-group balances all bear interest at varying rates, depending on whether or not the amounts are treated as a shareholder loan, and are financing that has been provided or arises from the ad hoc recovery of expenditure/provision of services. Interest is not levied on current payables and receivables unless the credit days are exceeded, in which case interest is levied on the amounts that remain overdue. In July, the Group's South African business replaced its notional cash pool with a physical cash pool of which Aspen Treasury SA (Pty) Limited holds the master accounts. The Company was a participant in the previous cash pool and is a participant in the new one. Amounts owing in terms of the new cash pool are repayable on demand. The amounts due by Group companies balance include amounts owed to the Company by Aspen Treasury SA (Pty) Limited of R2,1 billion which, for the year ended 30 June 2025, accrued interest at JIBAR + 1,35% per annum.

For further details of interests in material operating subsidiaries, refer to note 20.

	2025 R'million	2024 R'million
RECONCILIATION OF INVESTMENTS IN SUBSIDIARIES		
Balance at the beginning of the year	26 044	24 433
Capital injection in subsidiaries per statement of cash flows	3 110	1 594
Alphamed Formulations Pvt Limited	–	79
Aspen SA Operations (Pty) Limited	3 000	700
Aspen Treasury SA (Pty) Limited	75	–
Aspen Technology Enabled Services FZ LLC	35	–
Aspen Biochem B.V.	–	719
Aspen Treasury Ireland Limited	–	96
Share-based payment expenses capitalised	17	17
	29 171	26 044

Investments in subsidiaries were considered for impairments, and no impairments were raised in the current or prior year.

AMOUNTS DUE BY GROUP COMPANIES

Credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

	2025 R'million	2024 R'million
RECONCILIATION OF BALANCE		
Balance at the beginning of the year	839	314
Transfer of intangible assets to other Group companies	75	414
Cash movements	1 700	111
	2 614	839
Ageing of financial assets		
Fully performing	2 614	839

Impairment losses are recorded in the allowance account for losses until the Company is satisfied that no recovery of the amount owing is possible, at which point the amount is considered irrecoverable and is written off against the financial asset. No impairment losses were raised in the current or the prior year.

Notes to the Company annual financial statements continued

for the year ended 30 June 2025

2. INTANGIBLE ASSETS RECONCILIATION OF BALANCE

	Intellectual property R'million	Product participation and other contractual rights R'million	Computer software R'million	Total R'million
2025				
Carrying amount				
Cost	1 126	43	1 250	2 419
Accumulated amortisation	(730)	(43)	(341)	(1 114)
Accumulated impairment losses	(65)	–	(223)	(288)
	331	–	686	1 017
Movement in intangible assets				
Carrying amount at the beginning of the year	335	–	572	907
Additions	7	–	268	275
Amortisation ¹	(1)	–	(79)	(80)
Impairment losses	(10)	–	–	(10)
Inter-group transfers	–	–	(75)	(75)
	331	–	686	1 017
2024				
Carrying amount				
Cost	1 120	43	1 056	2 219
Accumulated amortisation	(730)	(43)	(261)	(1 034)
Accumulated impairment losses	(55)	–	(223)	(278)
	335	–	572	907
Movement in intangible assets				
Carrying amount at the beginning of the year	340	–	846	1 186
Additions	1	–	193	194
Amortisation ¹	(1)	–	(46)	(47)
Impairment losses	(5)	–	(7)	(12)
Inter-group transfers	–	–	(414)	(414)
	335	–	572	907

¹ Amortisation is included in other operating expenses on the statement of comprehensive income.

2. INTANGIBLE ASSETS CONTINUED

INDEFINITE USEFUL LIFE INTANGIBLE ASSETS

	2025 R'million	2024 R'million
Split of balance		
GSK OTC brands ¹	228	228
Other ²	94	102
	322	330

¹ In the prior year, GSK OTC brands were impaired by R4 million.

² In the current year, other brands were impaired by R8 million. This relates to the full impairment of Eyegene which was discontinued due to the closure of the eyedrop facility.

The key assumptions on this impairment of the GSK OTC brands were as follows:

- period covered by the forecasts and budgets was five years;
- average growth in revenue per annum was 7%;
- average gross profit percentage per annum is 62%;
- growth rate to extrapolate cash flows beyond period covered by the mentioned forecasts and budgets was 3,0%; and
- average annual pre-tax discount rate applied to cash flows was 17,8%.

Based on the above calculations, no impairments were recognised for the indefinite useful life intangible assets other than reported in the note. The Directors and management have performed a sensitivity analysis in order to consider and assess the impact of possible changes in key assumptions on the recognised impairments. The assumptions that are considered to be the main drivers in the calculation of the value of the intangible assets, and where changes are reasonably possible, are: price levels, the growth rate of the assets beyond the five-year forecast period, and the discount rate used. Sensitivities were run, considering a 1% reduction in revenue due to lower prices, a 1% point reduction in growth rates beyond the five-year project period and a 1% increase in the pre-tax discount rate. These sensitivities did not result in any material additional impairments, and the Directors and management consider that changes in excess of those used are not probable, and that the remaining headroom between the value determined in the impairment tests and the carrying amounts of the indefinite useful life intangible assets is sufficient to support the above disclosure.

COMMITMENTS

Capital commitments include all projects for which specific Board approval has been obtained up to the reporting date. Capital expenditure will be financed from funds generated out of normal business operations and existing borrowing facilities. Projects that are still under investigation and for which specific Board approvals have not yet been obtained are excluded from the following:

	2025 R'million	2024 R'million
Authorised and contracted for	334	304
Authorised but not yet contracted for	126	181
	460	485

OTHER DISCLOSURE

No intangible assets were pledged or committed as security for borrowings.

Notes to the Company annual financial statements continued

for the year ended 30 June 2025

3. PROPERTY, PLANT AND EQUIPMENT RECONCILIATION OF BALANCE

	Buildings R'million	Other tangible assets ¹ R'million	Total R'million
2025			
Carrying amount			
Cost	160	101	261
Accumulated depreciation	(31)	(76)	(107)
	129	26	155
Movement in property, plant and equipment			
Carrying amount at the beginning of the year	130	32	162
Additions	2	1	3
Depreciation ²	(3)	(7)	(10)
	129	26	155
2024			
Carrying amount			
Cost	158	108	266
Accumulated depreciation	(28)	(76)	(104)
	130	32	162
Movement in property, plant and equipment			
Carrying amount at the beginning of the year	131	32	163
Additions	2	5	7
Depreciation ²	(3)	(5)	(8)
	130	32	162

¹ Other tangible assets comprise computer equipment, office equipment and furniture.

² Depreciation charge is included in administrative expenses on the statement of comprehensive income.

COMMITMENTS

Capital commitments

Capital commitments include all projects for which specific Board approval has been obtained up to the reporting date. Capital expenditure will be financed from funds generated out of normal business operations and existing borrowing facilities. Projects still under investigation for which specific Board approvals have not yet been obtained are excluded from the following:

	2025 R'million	2024 R'million
Authorised and contracted for	3	5
Authorised but not yet contracted for	11	21
	14	26

OTHER DISCLOSURE

No property, plant and equipment was pledged or committed as security for any borrowings.

4. **RIGHT-OF-USE ASSETS**
RECONCILIATION OF BALANCE

	Computer hardware R'million
2025	
Carrying amount	
Cost	8
Accumulated depreciation	(5)
	3
Movement in right-of-use assets	
Carrying amount at the beginning of the year	6
Depreciation	(3)
	3
2024	
Carrying amount	
Cost	9
Accumulated depreciation	(3)
	6
Movement in right-of-use assets	
Carrying amount at the beginning of the year	2
Additions	6
Depreciation	(2)
	6

OTHER DISCLOSURE

The amounts recognised in the statement of comprehensive income pertain to interest expense and depreciation. The depreciation charge is included in administrative expenses on the statement of comprehensive income.

	2025 R'million	2024 R'million
5. DEFERRED TAX ASSETS		
Reconciliation of balance		
Balance at the beginning of the year	69	67
Statement of comprehensive income (charge)/credit – included in tax	(14)	1
Statement of comprehensive income credit – prior year adjustment	4	1
	59	69
Deferred tax balance comprises		
Property, plant and equipment	(3)	(1)
Intangible assets	16	35
Provisions	45	38
Other	1	(3)
	59	69

Notes to the Company annual financial statements continued

for the year ended 30 June 2025

	2025 R'million	2024 R'million
6. CASH AND CASH EQUIVALENTS		
Summary of balance		
Bank balances	1	1 446

Other disclosure

The average effective interest rate on cash and cash equivalents is nil (2024: 8,8%).

The total amount of cash and cash equivalents is exposed to credit risk, and is held with highly reputable banks. The Company does not expect any treasury counterparties to fail to meet their obligations, given their high credit ratings.

All cash and cash equivalents are denominated in Rand.

The maturity profile of bank balances is less than one month.

	2025 R'million	2024 R'million
7. RECEIVABLES AND OTHER CURRENT ASSETS		
Summary of balance		
Prepayments	37	45
Interest accrued	–	10
Insurance contract assets ¹	179	140
SAP licensing prepayment	49	45
Other	7	–
	272	240
Split of balance		
Financial assets	235	185
Non-financial assets	37	55
	272	240

¹ During the prior year, the Company entered into a first-party cell captive arrangement with an offshore insurance company based in Mauritius providing self-insurance to affiliates of the Group. The investment is classified as a financial asset held at fair value in terms of IFRS 9 – Financial Instruments. For the purpose of these financial statements, the first-party cell captive results in a transfer of significant insurance risk between the Company and its subsidiaries, thus IFRS 17 – Insurance Contracts is applicable to the cell captive. However, its related operations and balances are not material to the Group, thus no further disclosures per IFRS 17 – Insurance Contracts have been provided.

Other disclosure

The Company holds no collateral over any receivables and other current assets.

Receivables and other current assets are non-interest bearing.

All receivables and other current assets classified as financial instruments are fully performing and are denominated in Rand.

The credit quality of receivables and other current assets is considered to be satisfactory.

	2025 R'million	2024 R'million
8. SHARE CAPITAL (NET OF TREASURY SHARES)		
Summary of balance		
Authorised		
717 600 000 (2024: 717 600 000) ordinary shares with no par value	–	–
Issued		
446 252 332 (2024: 446 252 332) ordinary shares with no par value	2 926	2 923
Reconciliation of balance		
Shares in issue at the beginning and end of the year	446,3	446,3

The unissued shares have been placed under the control of the directors until the forthcoming annual general meeting.

All shares are fully paid up, and no shares were issued during the year.

The Company had 1,6 million treasury shares (2024: 1,4 million treasury shares) at year-end.

9. SHARE-BASED COMPENSATION RESERVE

Summary of schemes

The Company currently operates the following share-based payment scheme

The Aspen Management Deferred Incentive Scheme (formally referred to as The South African Management Deferred Incentive Bonus Scheme ("SAMDIBS"))

	MEDIUM-TERM INCENTIVE SCHEME	LONG-TERM INCENTIVE SCHEME
Nature and strategic intent of the scheme	The scheme is designed to acknowledge performance and reward individuals for achievement of both the relevant Aspen business which employs the individual and the individual's performance for the trading period immediately preceding the date that the award is made. The medium-term incentives ("MTI") seek to reward sustained performance against predetermined Group and business unit KPIs on a deferred and conditional bonus basis based on short-term incentives ("STI") achievements, and further serves as a retention mechanism for employees in the medium term.	The scheme is designed to align shareholder and executive interest over the medium to long term. The long-term incentives ("LTI") support the achievement of longer-term sustainable value creation based on a selection of suitable long-term KPIs (both financial and non-financial) and carries a sizeable weighting in each executive's performance measurement. The LTI seeks to reward sustained performance against predetermined Group KPIs, incentivise stretch performance, align executive performance through unvested shareholding as well as serve as a retention incentive. The LTI is both conditional and forfeitable based on performance. The Aspen Management Long-Term Incentive Scheme has separate senior executive deferred (conditional and forfeitable) retention components, which is aimed at the retention of a limited number of key senior executives.
Determination of value of awards	The medium-term incentive bonus is calculated on the same performance measures as the STIs. The total performance measure is determined by calculating the weighted average of the percentage performance outcome assigned to each KPI which is then converted to an MTI score based on an agreed MTI scoring table.	Performance levels defined at two levels: on target and stretch (two stretch levels). The award is conditional on sustained three-year outperformance against the predetermined Group KPIs. This is measured at year one and year three, with the award adjusted upwards or downwards for actual performance achieved over the three-year period. Each KPI is separately measured and the award for each KPI is independent of the performance achieved in the other two KPIs. In terms of the deferred retention scheme, the value of the awards granted to employees in terms of this component of the scheme is on an <i>ad hoc</i> basis and at the discretion of the Group Chief Executive in consultation with the Remuneration & Nomination Committee.
Vesting	MTI shares settle after a three-year vesting period. Should the employee retire within the three-year period, the vesting of the awards will be accelerated to the date of retirement. Employees who resign or who are dismissed for any reason other than retirement, retrenchment or medical incapacity forfeit unvested awards.	LTI shares settle after a three-year vesting period, with 25% released for trade in year four and 25% in year five. Should the employee retire within the three-year period, the vesting of the awards will be accelerated to the date of retirement. Employees who resign or who are dismissed for any reason other than retirement, retrenchment or medical incapacity forfeit unvested awards. Additional deferred retention share awards settle over periods of three, five and seven years (the legacy scheme also included 10-year vesting but is no longer applied).

Notes to the Company annual financial statements continued

for the year ended 30 June 2025

9. SHARE-BASED COMPENSATION RESERVE CONTINUED

2025

Aspen Management Deferred Incentive Scheme

Award price (R)	Expiry date	Shares outstanding on 30 June 2024 '000 ¹	Awarded during the year '000 ²	Inter-group transfer '000	Total dividends reinvested '000	Released during the year '000	Lapsed/ cancelled during the year '000 ³	Shares outstanding on 30 June 2025 '000 ¹	Fair value at award date (R)	Share price at award date (R)
194,44	Oct 2024	178	–	–	3	(181)	–	–	162,09	270,49
142,78	Aug 2025	73	–	–	1	–	–	74	139,04	140,02
142,78	Oct 2025	355	–	–	6	–	(14)	347	139,04	140,02
326,70	May 2026	191	–	–	–	–	–	191	365,00	317,50
106,74	May 2026	140	–	–	3	–	–	143	105,11	106,74
186,78	Oct 2026	230	–	–	4	–	(10)	224	183,62	186,04
187,58	Dec 2026	–	24	–	–	–	–	24	233,31	203,50
142,78	Aug 2027	98	–	–	2	–	–	100	139,04	140,02
195,31	Sep 2027	–	233	–	–	–	–	233	233,31	195,00
187,58	Dec 2028	–	32	–	1	–	–	33	233,31	203,50
142,78	Aug 2029	135	–	–	2	–	–	137	139,04	140,02
187,58	Dec 2030	–	44	–	1	–	–	45	233,31	203,50
		1 400	333	–	23	(181)	(24)	1 551		

2024

Aspen Management Deferred Incentive Scheme

Award price (R)	Expiry date	Shares outstanding on 30 June 2023 '000	Awarded during the year '000 ²	Inter-group transfer '000	Total dividends reinvested '000	Released during the year '000	Lapsed/ cancelled during the year '000 ³	Shares outstanding on 30 June 2024 '000 ¹	Fair value at award date (R)	Share price at award date (R)
108,98	Oct 2023	272	–	–	–	(266)	(6)	–	143,51	119,46
106,74	May 2024	103	–	–	2	(105)	–	–	105,11	106,74
194,44	Oct 2024	171	–	10	3	–	(6)	178	162,09	270,49
142,78	Aug 2025	72	–	–	1	–	–	73	139,04	140,02
142,78	Oct 2025	343	–	18	7	–	(13)	355	139,04	140,02
326,70	May 2026	143	–	48	–	–	–	191	365,00	317,50
106,74	May 2026	103	–	35	2	–	–	140	105,11	106,74
186,78	Oct 2026	–	232	–	–	(1)	(1)	230	183,62	186,04
142,78	Aug 2027	96	–	–	2	–	–	98	139,04	140,02
142,78	Aug 2029	132	–	–	3	–	–	135	139,04	140,02
		1 435	232	111	20	(371)	(26)	1 400		

The fair value was determined by reference to the share price on the award date.

¹ The total number of shares were not vested at 30 June 2025 and 30 June 2024.

² During the year, the Company bought 0,3 million shares (2024: 0,2 million shares) that will be held until vesting date. These shares are accounted for as treasury shares in the Group Annual Financial Statements.

³ Lapsed or cancelled shares are reallocated to future grants.

	2025 R'million	2024 R'million
10. TRADE AND OTHER PAYABLES		
Summary of balance		
Accrued expenses	64	92
Insurance accrual	10	9
Trade payables	104	43
Leave pay	20	23
Bonuses	77	74
Other	38	18
	313	259
Split of balance		
Financial liabilities	172	140
Non-financial liabilities	141	119
	313	259
Other disclosure		
Currency analysis of trade and other payables (financial instruments only)		
Euro	23	2
South African Rand	100	96
US Dollar	49	42
	172	140

All trade and other payables (financial instruments only) are predominantly non-interest bearing.

	2025 R'million	2024 R'million
11. REVENUE		
Summary of balance		
Royalties	226	211
Administrative fees received from subsidiaries	401	574
Dividends received from subsidiaries	5 300	4 134
Insurance revenue	65	67
	5 992	4 986

	2025 R'million	2024 R'million
12. OPERATING PROFIT		
Operating profit has been arrived at after charging		
Impairment – intangible assets (included in other operating expenses)	10	12
Auditor's remuneration	15	17
Repairs and maintenance expenditure on property, plant and equipment	5	6

	2025 R'million	2024 R'million
13. DIRECTORS AND EMPLOYEES		
Staff costs		
Salaries	369	344
Defined contribution plans	33	33
Share-based payment expense – deferred incentive bonus	72	56
Cash portion	8	5
Equity portion	64	51
Other employee contributions	8	4
	482	437

Directors and employee costs are included in administrative expenses in the statement of comprehensive income. Further details of the directors and employees of the Group are available in the Group's Annual Financial Statements, refer to note 22.

Notes to the Company annual financial statements continued

for the year ended 30 June 2025

	2025 R'million	2024 R'million
14. INVESTMENT INCOME		
Summary of balance		
Interest received on bank balances ¹	4	73
Interest received from Group companies	219	–
Interest received – Receiver of Revenue	–	10
	223	83
¹ In July 2024, the South African business replaced its notional cash pool with a physical cash pool thereby eliminating the gross cash and overdraft positions. Interest on bank balances decreased as a result.		
15. NET FINANCING INCOME		
Summary of balance		
Interest paid on borrowings	(4)	(4)
Net foreign exchange gains	8	8
	4	4
16. TAX		
Summary of balance		
Current tax	28	130
Current year	55	85
Prior year	(27)	45
Deferred tax	10	(2)
Current year	14	(1)
Prior year	(4)	(1)
Withholding tax	12	8
	50	136
Reconciliation of effective tax rate	%	%
South African current tax rate	27,0	27,0
Non-deductible expenses relating to intangible assets	0,1	–
Dividends and similar income not subject to tax	(27,1)	(26,7)
Additional income arising from tax law interpretation	0,3	1,5
Non-deductible expenses	0,4	0,4
Non-deductible expenses relating to holding company apportionment	0,8	0,6
Non-deductible costs relating to acquisitions and disposals	0,1	–
Non-recoverable withholding taxes	0,2	0,2
Prior year adjustment	(0,6)	1,1
Foreign tax rebate	(0,3)	(0,9)
Effective tax rate	0,9	3,2

17. RELATED PARTY TRANSACTIONS

Transactions with shareholders

The Company did not enter into any transactions with direct beneficial shareholders during the current year, except as described in the Directors' Report and note 11 of the Group's Annual Financial Statements.

Intra-group transactions and balances

During the year, the Company entered into arm's length transactions with other companies in the Group.

Refer to note 20 for a list of the material operating subsidiaries and structured entities.

None of the balances are secured.

	2025 R'million	2024 R'million
The following intra-group transactions took place between Aspen Holdings and Group companies during the current year		
Royalties received	226	211
Pharmacare Limited	226	211
Administrative fees received from subsidiaries	401	574
Aspen Global Incorporated	72	96
Aspen Healthcare FZ LLC	12	18
Aspen Notre Dame de Bondeville SAS	22	35
Aspen Oss B.V.	21	35
Aspen Pharma Ireland Limited	16	43
Pharmacare Limited	34	52
Aspen Pharmacare Australia Pty Limited	16	20
Aspen Technology Enabled Services FZ LLC	24	–
Aspen Pharma Trading Limited	5	6
Aspen SA Operations (Pty) Limited	51	97
Aspen Bad Oldesloe GmbH	10	18
Aspen Pharma – Indústria Farmacêutica Limitada	15	18
Aspen Labs S.A. de C.V.	10	23
Aspen China Company Limited	6	–
Beta Healthcare International Limited	9	–
Fine Chemicals Corporation (Pty) Limited	13	14
Alphamed Formulations Pvt Limited	6	7
Shelys Pharmaceuticals Limited	6	7
Other subsidiaries	53	85
Insurance revenue	65	67
Aspen Global Incorporated	10	10
Aspen Pharmacare Australia Pty Limited	5	5
Aspen Oss B.V.	8	7
Aspen SA Operations (Pty) Limited	10	14
Pharmacare Limited	6	6
Aspen Notre Dame de Bondeville SAS	8	9
Other subsidiaries	18	16
Dividends received	5 300	4 134
Aspen Global Incorporated	5 023	2 529
Pharmacare Limited	–	400
BioChem Oss B.V.	244	–
Aspen Oss B.V.	–	1 108
Beta Healthcare International Limited	23	–
Aspen Finance (Pty) Limited	–	97
Other	10	–
Interest received	219	–
Aspen Treasury SA (Pty) Limited	219	–

Notes to the Company annual financial statements continued

for the year ended 30 June 2025

17. RELATED PARTY TRANSACTIONS CONTINUED	2025	2024
Intra-group transactions and balances continued	R'million	R'million
The following intra-group balances were outstanding between Aspen Holdings and Group companies at year-end		
Amounts reflected as current assets	2 614	839
Aspen Global Incorporated	67	22
The Aspen Share Incentive Scheme Trust	14	14
Shelys Pharmaceuticals International Limited	8	8
Pharmacare Limited	67	79
Aspen Notre Dame de Bondeville SAS	–	9
Aspen SA Operations (Pty) Limited	16	508
Fine Chemicals Corporation (Pty) Limited	5	4
Aspen Oss B.V.	7	12
Aspen Labs S.A. de C.V.	–	6
Kama Industries Limited	12	–
Aspen Treasury SA (Pty) Limited	2 145	–
Aspen Technology Enabled Services FZ LLC	24	–
Beta Healthcare International Ltd	58	46
Cell Captive Guardrisk Insurance Company Mauritius	27	15
Aspen Pharma - Indústria Farmacêutica Limitada	73	–
Limited Liability Company Aspen Health	11	11
Alphamed Formulations Pvt Limited	24	17
Aspen Colombiana S.A.S.	8	6
Aspen Healthcare FZ LLC	5	6
Other subsidiaries	43	76
Amounts reflected as current liabilities	58	46
Aspen Global Incorporated	1	10
Pharmacare Limited	–	24
Aspen Finance (Pty) Limited	–	2
Aspen Treasury SA (Pty) Limited	10	–
Aspen Notre Dame de Bondeville SAS	19	–
Aspen Bad Oldesloe GmbH	4	–
Aspen Treasury Ireland Limited	16	–
Aspen Labs S.A. de C.V.	3	–
Other subsidiaries	6	10

Transactions and balances with directors

All directors have given general declarations of interest in terms of section 75 of the Companies Act of 2008. These declarations indicate that various members of the Board hold other directorships in South African entities with which transactions are conducted by the Company in terms of customer or supplier relationships. These transactions have been concluded on terms and conditions that are no more favourable than those entered into with third parties in arm's length transactions and are all unsecured.

Chris Mortimer, a non-executive director of Aspen, is a full-time practising attorney and managing partner at Chris Mortimer & Associates, which provides legal services to the Company. During the year, total legal fees expensed in the statement of comprehensive income were R1,9 million (2024: R2,9 million) and no balance was outstanding at year-end (2024: nil).

Transactions with key management personnel

Key management personnel consist of directors (including executive directors).

Key management personnel compensation consists of:

	2025	2024
	R'million	R'million
Short-term employee benefits	91	91
Post-employment benefits	10	9
Share-based payment expense	49	43
Total key management remuneration paid	150	143
Number of employees included above	18	17

Other than disclosed above, and in the Directors' Report, no significant related party transactions were entered into during the year under review.

18. FINANCIAL RISK MANAGEMENT

18.1 INTRODUCTION

The Company does not trade in financial instruments; however, in the ordinary course of business operations, the Company is exposed to a variety of financial risks arising from the use of financial instruments. These risks include:

- market risk (comprising interest rate risk and foreign currency risk);
- liquidity risk;
- credit risk; and
- capital risk.

The Audit & Risk Committee is responsible for the establishment and oversight of a risk management framework which is applicable to the Company. This framework is formally documented, and stipulates the responsibilities and processes for monitoring and managing the risks to which the Company is exposed.

The Company measures and monitors treasury relevant risks (i.e. liquidity, foreign exchange, interest rate, covenants, counterparty, etc.), and reports on these risks to the Group Treasury Committee on a periodic basis. The Group Treasury Committee provides the Company guidance with respect to managing these risks. However, the Company's management is empowered, within the relevant approvals framework, to make decisions regarding how to manage these risks, as well as taking ownership for the implementation of any related action. The Group Treasury Committee reports to the Audit & Risk Committee.

Concentration risk is the risk that the Company is exposed to financial loss, which if incurred, would be significant due to the aggregate (concentration) exposure the Company has to a particular asset, counterparty, customer or service provider. The management of concentration risk is critical across many of the significant risk categories. Information on the key concentration risks has been set out in the respective notes.

Risk management and measurement relating to each of these risks is discussed under the headings below.

18.2 FINANCIAL INSTRUMENTS BY CATEGORY

The carrying amount of financial instruments by category is as follows:

	At amortised cost R'million	Total R'million
2025		
Financial assets		
Receivables and other current assets ¹	56	56
Cash and cash equivalents	1	1
Amounts due by Group companies	2 614	2 614
Total financial assets	2 671	2 671
Financial liabilities		
Trade and other payables	172	172
Amounts due to Group companies	58	58
Total financial liabilities	230	230
2024		
Financial assets		
Receivables and other current assets ¹	45	45
Cash and cash equivalents	1 446	1 446
Amounts due by Group companies	839	839
Total financial assets	2 330	2 330
Financial liabilities		
Trade and other payables	140	140
Amounts due to Group companies	46	46
Total financial liabilities	186	186

¹ Receivables and other current assets include insurance contract assets of R179 million (2024: R140 million) relating to the Cell Captive which is carried at fair value.

Notes to the Company annual financial statements continued

for the year ended 30 June 2025

18. FINANCIAL RISK MANAGEMENT CONTINUED

18.3 MARKET RISK MANAGEMENT

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate due to changes in market prices. The market risks that the Company is primarily exposed to include foreign currency risk and interest rate risk. Market risk is managed by identifying and quantifying risks on the basis of current and future expectations and ensuring that all trading occurs within defined parameters. This involves the review and implementation of methodologies to reduce risk exposure. The reporting on the state of the risk and risk practices to executive management is part of this process. The processes set up to measure, monitor and mitigate these market risks are described below. There has been no significant change to the Company's exposure to market risk or the manner in which it manages and measures the risk since the previous period.

18.4 FOREIGN CURRENCY RISK

The Company's transactions are predominantly entered into in Rand. However, the Company's operations utilise various foreign currencies (currencies other than the operations functional currencies) in respect of expenses incurred. Consequently, the Company is exposed to exchange rate fluctuations that have an impact on cash flows. These operations are exposed to foreign currency risk in connection with contracted payments in currencies other than Rand.

Foreign currency risks are managed through the Company's financing policies and selective use of forward exchange contracts.

At 30 June 2025 and 30 June 2024, the Company had no outstanding forward exchange contracts.

Sensitivity analysis

The Company used a sensitivity analysis technique that measured the estimated change to the statement of comprehensive income of an instantaneous 10% strengthening or weakening in the Rand against all other currencies, from the rate applicable at 30 June, for each class of financial instrument, with all other variables remaining constant. This analysis is for illustrative purposes only, as in practice, market rates rarely change in isolation.

The Company is mainly exposed to fluctuations in foreign exchange rates in respect of the Euro (2024: Euro and the US Dollar). The analysis considered the impact of changes in foreign exchange rates on the statement of comprehensive income.

The analysis was performed on the basis of the change occurring at the start of the reporting period, and assumed that all other variables, in particular interest rates, remain constant, and was performed on the same basis for 2024.

A 10% weakening in the Rand against the foreign exchange rates to which the Company is exposed at the reporting date would have decreased profit before tax by R9 million (2024: R2 million).

A 10% strengthening in the Rand against the foreign exchange rates would have the equal and opposite effect on profit before tax, on the basis that all other variables remain constant.

18.5 INTEREST RATE RISK

The Company's interest rate risk arises from interest on cash and cash equivalents and other non-current receivables. Exposure to interest rate risk is monitored on a continuous and proactive basis.

	Carrying amount	
	2025 R'million	2024 R'million
Variable rate instruments		
Receivables and other current assets	–	10
Cash and cash equivalents	1	1 446
Variable rate exposure	1	1 456

Sensitivity analysis

The Company is exposed mainly to fluctuations in JIBAR. Changes in market interest rates affect the interest income and expense of floating rate financial instruments.

An increase of 1% in interest rates for the year ended 30 June 2025 would have increased profit before tax by Rnil million (2024: R8 million). A decrease of 1% would have an equal and opposite effect on profit before tax.

18. FINANCIAL RISK MANAGEMENT CONTINUED

18.6 LIQUIDITY RISK

Liquidity risk is the risk that an entity will not be able to meet its payment obligations as they become due. The Company finances its operations through a mixture of retained earnings and short-term bank funding (in the form of overdraft facilities attached to its bank accounts). In July, the Group's South African business replaced its notional cash pool with a physical cash pool of which Aspen Treasury SA (Pty) Limited holds the master accounts ("the cash pool"). The Company was a participant in the previous cash pool and, alongside Pharmacare Limited, Aspen SA Operations (Pty) Limited, Fine Chemicals Corporation (Pty) Limited and Aspen Finance (Pty) Limited, is a participant in the new one.

Pharmacare Limited and Aspen Treasury (SA) Pty Limited maintain separate funding facilities which they utilise or repay daily to ensure that the cash pool's debit balances are matched by its credit balances. On this basis, the Company is able to access amounts due by Aspen Treasury SA (Pty) Limited in terms of the cash pool to the extent that the cash pool is appropriately funded. Therefore, the Company's liquidity risk is inextricably linked to that of the aforementioned cash pool participants as a whole. The Group's treasury department monitors the cash pool and the cash forecasts of each of the cash pool participants and ensures that adequate funding facilities and reserve borrowing capacities are maintained to ensure that each of the cash pool participants are able to meet their payment obligations as they fall due.

The following are the undiscounted contractual maturities of financial assets and liabilities:

	Undiscounted cash flows			
	On demand R'million	<1 year R'million	1 – 5 years R'million	Total R'million
2025				
Financial assets				
Receivables and other current assets (financial instruments only)	–	235	–	235
Cash and cash equivalents	–	1	–	1
Amounts due by Group companies	2 614	–	–	2 614
Total financial assets	2 614	236	–	2 850
Financial liabilities				
Trade and other payables (financial instruments only)	–	(172)	–	(172)
Amounts due to Group companies	(58)	–	–	(58)
Total financial liabilities	(58)	(172)	–	(230)
Net exposure	2 556	64	–	2 620

	Undiscounted cash flows			
	On demand R'million	<1 year R'million	1 – 5 years R'million	Total R'million
2024				
Financial assets				
Receivables and other current assets (financial instruments only)	–	185	–	185
Cash and cash equivalents	–	1 446	–	1 446
Amounts due by Group companies	839	–	–	839
Total financial assets	839	1 631	–	2 470
Financial liabilities				
Trade and other payables (financial instruments only)	–	(140)	–	(140)
Amounts due to Group companies	(46)	–	–	(46)
Total financial liabilities	(46)	(140)	–	(186)
Net exposure	793	1 491	–	2 284

Notes to the Company annual financial statements continued

for the year ended 30 June 2025

18. FINANCIAL RISK MANAGEMENT CONTINUED

18.7 CREDIT RISK

Credit risk, or the risk of financial loss due to counterparties to financial instruments not meeting their contractual obligations, is managed by monitoring procedures.

Credit risk primarily arises from receivables and other current assets and cash and cash equivalents. The Company's maximum exposure to credit risk is represented by the carrying amounts of these financial assets. Refer to the respective notes for more detail on how the Company manages credit risks for these financial assets.

18.8 CAPITAL RISK

The Company's objectives when managing capital are to safeguard the Company's ability to continue as a going concern in order to provide sustainable returns for shareholders, benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of capital.

The capital structure of the Company consists of equity attributable to holders of the parent comprising share capital, non-distributable reserves and retained income.

The Board's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence, and to sustain future development of the business. The Board reviews this capital structure on at least a semi-annual basis. As part of the review, the Board considers the cost of capital and the risks associated with each class of capital. Based on recommendations by the Board, the Company may seek to adjust the composition of its capital structure depending on circumstances existing at the time of each review.

There were no changes to the Company's approach to capital management during the year.

19. FINANCIAL GUARANTEES

Guarantees to financial institutions

The Company, along with Pharmacare Limited, Aspen Global Incorporated, Aspen Treasury SA (Pty) Limited, Aspen Treasury Ireland Limited, Aspen Finance (Pty) Limited, Aspen Asia Pacific (Pty) Limited (and its active subsidiaries) and Aspen SA Operations (Pty) Limited (collectively, the "Guarantors") is a guarantor with respect to a significant portion of the Group's banking or funding facilities. There exists between the Guarantors operational, legal, technological, financial ties and interdependence to a level that it would be detrimental to the interests of the Guarantors to not support the performance of any one of the others.

The financial guarantees do not increase the substance of the Guarantors' incentive and commitment to support one another if so required. The following facility amounts (which exclude facilities where the Company is the only borrower thereto) were, collectively guaranteed by the Company (along with the Guarantors):

	2025 R'million	2024 R'million
Australian Dollar denominated facilities	3 941	4 100
Euro denominated facilities	52 835	39 754
US Dollar denominated facilities	2 001	2 055
South Africa Rand denominated facilities	14 398	13 098
	73 175	59 007

Amounts owed under these facilities were R36 billion (2024: R36 billion).

The funding and banking facilities to which the guarantees relate either have no set maturity dates or, where they do have maturity dates, would be expected to be substantially refinanced in the ordinary course with new debt which would be subject to the same guarantees.

There were no breaches of the contractual terms of these facilities during the current financial year, and as such no creditor with respect to these facilities has called upon any of these guarantees provided by the Company.

20. MATERIAL OPERATING SUBSIDIARIES AND STRUCTURED ENTITIES

				Effective Group holding		Investment	
Country of incorporation	Company	Currency	Issued capital '000	2025 %	2024 %	2025 R'million	2024 R'million
Direct							
India	Alphamed Formulations Pvt Limited	INR	1	100	100	673	673
Germany	Aspen Bad Oldesloe GmbH	EUR	1	100	100	1 147	1 147
South Africa	Aspen Finance (Pty) Limited	EUR	12 000	100	100	213	213
Mauritius	Aspen Global Incorporated	EUR	908 529	100	100	8 654	8 654
France	Aspen Notre Dame de Bondeville SAS	EUR	341 311	100	100	5 094	5 094
The Netherlands	Aspen Oss B.V.	EUR	53 000	100	100	1 389	1 389
The Netherlands	Aspen Biochem B.V.	EUR	205	100	100	734	734
Nigeria	Aspen Pharmacare Nigeria Limited	NGN	61 267	100	100	3	3
Ireland	Aspen Treasury Ireland Limited	EUR	1	100	100	96	96
Uganda	Beta Healthcare (Uganda) Limited	UGX	6 040 000	100	100	26	26
Kenya	Beta Healthcare International Limited	KES	30 000	100	100	7	7
South Africa	Fine Chemicals Corporation (Pty) Limited	ZAR	1 675 000	100	100	–	–
Ghana	Kama Industries Limited	GHS	6 927	100	100	55	55
South Africa	Pharmacare Limited	ZAR	1 435	100	100	2 927	2 910
South Africa	Aspen Treasury SA (Pty) Limited	ZAR	75 000	100	–	75	–
South Africa	Aspen SA Operations (Pty) Limited	ZAR	7 850 000	100	100	7 850	4 850
United Arab Emirates	Aspen Technology Enabled Services FZ LLC	AED	6 800	100	100	35	–
Various	Various	2	2	2	2	193	193
Indirect							
Brazil	A.Pharma Distribuidora Limitada	BRL	1	100	100	–	–
Hong Kong	Aspen Asia Company Limited	HKD	5 514	100	100	–	–
Australia	Aspen Asia Pacific Pty Limited	AUD	83 952	100	100	–	–
Costa Rica	Aspen CariCam S.A.	CRC	500	100	100	–	–
China	Aspen China Company Limited	CNY	41 960	100	100	–	–
Colombia	Aspen Colombiana S.A.S.	COP	41 278 187	100	100	–	–
France	Aspen France SAS	EUR	12 550	100	100	–	–
Germany	Aspen Germany GmbH	EUR	2 525	100	100	–	–
Russia	Limited Liability Company Aspen Health	RUB	615 400	100	100	–	–

Notes to the Company annual financial statements continued

for the year ended 30 June 2025

20. MATERIAL OPERATING SUBSIDIARIES AND STRUCTURED ENTITIES CONTINUED

				Effective Group holding		Investment	
Country of incorporation	Company	Currency	Issued capital '000	2025 %	2024 %	2025 R'million	2024 R'million
Indirect continued							
United Arab Emirates	Aspen Healthcare FZ LLC	USD	1	100	100	–	–
Malta	Aspen Healthcare Malta Limited	EUR	1	100	100	–	–
Taiwan	Aspen Healthcare Taiwan Limited	TWD	65 000	100	100	–	–
Italy	Aspen Italia SRL	EUR	1 010	100	100	–	–
Mexico	Aspen Labs S.A. de C.V.	MXN	909 274	100	100	–	–
Malaysia	Aspen Medical Products Malaysia Sdn Bhd	MYR	19 000	100	100	–	–
Mexico	Aspen Mexico, S de R. L. de C.V.	MXN	5 850 367	100	100	–	–
Peru	Aspen Peru S.A.	PEN	60 731	100	100	–	–
Brazil	Aspen Pharma – Indústria Farmacêutica Limitada	BRL	399 377	100	100	–	–
Australia	Aspen Pharma Pty Limited	AUD	11 862	100	100	–	–
Ireland	Aspen Pharma Ireland Limited	EUR	42 001	100	100	–	–
Mexico	Aspen Pharma Mexicana S. de R.L. de C.V.	MXN	1	100	100	–	–
Australia	Aspen Pharmacare Australia Pty Limited	AUD	167 373	100	100	–	–
Canada	Aspen Pharmacare Canada Incorporated	CAD	32 826	100	100	–	–
Spain	Aspen Pharmacare Espana SL	EUR	12 003	100	100	–	–
England	Aspen Pharmacare UK Limited	GBP	13 500	100	100	–	–
Philippines	Aspen Philippines Incorporated	PHP	396 389	100	100	–	–
Poland	Aspen Polska Sp z.o.o	PLN	1	100	100	–	–
Ecuador	Aspenpharma S.A.	USD	6 499	100	100	–	–
Cyprus	PharmaLatina Holdings Limited	USD	15 637	100	100	–	–
Tanzania	Shelys Pharmaceuticals Limited	TZS	6 723 843	100	100	–	–
Turkey	VLD Danışmanlık Tıbbi Ürünler ve Tanıtım Hizmetleri A.Ş.	TRY	15 850	100	100	–	–
Various	Various	2	2	2	2	–	–
Trusts (structured entities) ³							
South Africa	Aspen Share Appreciation Plan	ZAR	N/A	100	100	–	–
South Africa	Aspen Share Incentive Scheme	ZAR	N/A	100	100	–	–
Total investments in subsidiaries						29 171	26 044

¹ Less than 500.

² These direct and indirect holdings are made up of various subsidiaries incorporated in multiple territories.

³ These trusts are structured entities which are consolidated into the Group Annual Financial Statements and are not subject to any other risk exposure.

Detailed information is only given in respect of the Company's material operating subsidiaries. The Company maintains a register of all subsidiaries and structured entities available for inspection at the registered office of Aspen Holdings.

Definitions

AUD : Australian Dollar

EUR : Euro

KES : Kenyan Shilling

PHP : Philippine Peso

TZS : Tanzanian Shilling

BRL : Brazilian Real

GBP : British Pound Sterling

MXN : Mexican Peso

PLN : Polish Zloty

UGX : Ugandan Shilling

CAD : Canadian Dollar

GHS : Ghanaian Cedi

MYR : Malaysian Ringgit

RUB : Russian Ruble

USD : US Dollar

CNY : Chinese Yuan Renminbi

HKD : Hong Kong Dollar

NGN : Nigerian Naira

TRY : Turkish Lira

ZAR : South African Rand

COP : Colombian Peso

INR : Indian Rupee

PEN : Peruvian Sol

TWD : Taiwan Dollar

Illustrative constant exchange rate report on selected financial data – annexure 1

The Group has presented selected line items from the consolidated statement of comprehensive income and certain trading profit metrics on a constant exchange rate basis in the tables on the next page. The pro forma constant exchange rate information is presented to demonstrate the impact of fluctuations in currency exchange rates on the Group's reported results. The *pro forma* constant exchange rate information is the responsibility of the Group's Board of Directors and is presented for illustrative purposes only. Due to the nature of this information, it may not fairly present the Group's financial position, changes in equity and results of operations or cash flows. The *pro forma* constant exchange rate information has been compiled in terms of the JSE Listings Requirements and SAICA's *Guide on Pro Forma Information* and the accounting policies of the Group as at 30 June 2025. The illustrative *pro forma* constant exchange rate information on selected financial data has been derived from the audited financial information and has been reported on by Aspen's auditor who issued an independent auditor's report thereon, which is available for inspection at the Group's registered office.

The Group's financial performance is impacted by numerous currencies which underlie the reported unaudited condensed Group financial results where, even within geographic segments, the Group trades in multiple currencies ("source currencies"). The *pro forma*, constant exchange rate information has been calculated by adjusting the prior periods' reported results at the current period's reported average exchange rates. Recalculating the prior periods' numbers provides illustrative comparability with the current period's reported performance by adjusting the estimated effect of source currency movements.

The listing of average exchange rates against the Rand for the currencies contributing materially to the impact of exchange rate movements are set out below:

	June 2025 average rates	June 2024 average rates
Euro	19,759	20,233
Australian Dollar	11,757	12,263
Chinese Yuan Renminbi	2,518	2,593
US Dollar	18,164	18,707
Mexican Peso	0,924	1,089
Brazilian Real	3,184	3,732
British Pound Sterling	23,504	23,556
Canadian Dollar	13,017	13,809
Colombian Peso	0,004	0,005

Revenue, other income, cost of sales and expenses

For the purposes of the constant exchange rate report, the recalculated prior period's source currency revenue, other income, cost of sales and expenses have been recalculated from the prior period's relevant average exchange rate to the current period's relevant reported average exchange rate.

Interest paid net of investment income

Net interest paid is directly linked to the source currency of the borrowing on which it is levied and recalculated from the prior period's relevant reported average exchange rate to the current period's relevant reported average exchange rate.

Tax

The tax charge for purposes of the constant currency report has been recomputed by applying the actual effective tax rate to the recalculated profit before tax.

Illustrative constant exchange rate report on selected financial data – annexure 1 continued

	June 2025 (at 2025 average rates) R'million	June 2024 (at 2024 average rates) R'million	Change at reported exchange rates %	Recalculated illustrative constant exchange rates June 2024 (at 2025 average rates) R'million	Change at constant exchange rates %
Key constant exchange rate indicators					
Revenue	43 363	44 706	(3)	42 977	1
Gross profit	19 129	19 454	(2)	18 328	4
Operating profit	1 437	6 998	(79)	6 326	(77)
Adjusted for					
– Depreciation	1 454	1 390		1 357	
– Amortisation	635	583		564	
– Loss on sale of assets	22	34		32	
– Net impairment of assets	4 806	1 667		1 631	
– Restructuring costs	848	227		206	
– Transaction costs	412	356		342	
– Insurance compensation on assets	(25)	–		–	
– Product litigation costs	2	–		–	
Normalised EBITDA ¹	9 591	11 255	(15)	10 458	(8)
Normalised headline earnings	4 688	6 628	(29)	5 996	(22)
Basic and diluted (loss)/earnings per share (cents)	(243,9)	991,4	>(100)	866,1	>(100)
Headline and diluted headline earnings per share (cents)	792,1	1 356,6	(42)	1 222,6	(35)
Normalised headline and diluted headline earnings per share (cents)	1 055,8	1 492,1	(29)	1 349,9	(22)

¹ Normalised EBITDA represents operating profit before depreciation and amortisation adjusted for specific non-trading items as defined in the Group's accounting policy.

	June 2025 (at 2025 average rates) %	June 2024 (at 2024 average rates) %
Revenue currency mix		
Euro	29	34
South African Rand	18	15
Australian Dollar	13	14
Chinese Yuan Renminbi	7	5
US Dollar	6	6
Mexican Peso	4	5
Brazilian Real	4	5
British Pound Sterling	2	2
Canadian Dollar	2	2
Colombian Peso	2	1
Other currencies	13	11
Total	100	100

Group segmental analysis

	June 2025 (at 2025 average rates)						
	Prescription R'million	OTC R'million	Injectables R'million	Total Commercial Pharmaceuticals R'million	Manufacturing R'million	Other R'million	Total R'million
Revenue	12 519	9 812	9 885	32 216	11 147	–	43 363
Cost of sales	(4 785)	(4 087)	(4 628)	(13 500)	(10 734)	–	(24 234)
Gross profit	7 734	5 725	5 257	18 716	413	–	19 129
Selling and distribution expenses				(6 584)	(455)	–	(7 039)
Administrative expenses				(3 494)	(459)	–	(3 953)
Depreciation				285	1 169	–	1 454
Normalised EBITDA¹				8 923	668	–	9 591
Gross profit %	61,8	58,3	53,2	58,1	3,7		44,1
Selling and distribution expenses %				20,4	4,1		16,2
Administrative expenses %				10,8	4,1		9,1
Normalised EBITDA %				27,7	6,0		22,1

Recalculated illustrative constant exchange rate June 2024 (at 2025 average rates)

	Prescription R'million	OTC R'million	Injectables R'million	Total Commercial Pharmaceuticals R'million	Manufacturing R'million	Other R'million	Total R'million
Revenue	10 826	9 363	9 001	29 190	13 787	–	42 977
Cost of sales	(4 350)	(3 914)	(3 850)	(12 114)	(12 535)	–	(24 649)
Gross profit	6 476	5 449	5 151	17 076	1 252	–	18 328
Selling and distribution expenses				(6 060)	(176)	–	(6 236)
Administrative expenses				(3 128)	(402)	–	(3 530)
Depreciation				255	1 102	–	1 357
Other				–	–	539	539
Normalised EBITDA¹				8 143	1 776	539	10 458
Gross profit %	59,8	58,2	57,2	58,5	9,1		42,6
Selling and distribution expenses %				20,8	1,3		14,5
Administrative expenses %				10,7	2,9		8,2
Normalised EBITDA %				27,9	12,9		24,3

Change

	Prescription %	OTC %	Injectables %	Total Commercial Pharmaceuticals %	Manufacturing %	Other %	Total %
Revenue	16	5	10	10	(19)	–	1
Cost of sales	10	4	20	11	(14)	–	(2)
Gross profit	19	5	2	10	(67)	–	4
Selling and distribution expenses				9	>100	–	13
Administrative expenses				12	14	–	12
Depreciation				12	6	–	7
Other				–	–	(100)	(100)
Normalised EBITDA¹				10	(62)	–	(8)

¹ Normalised EBITDA represents operating profit before depreciation and amortisation, adjusted for specific non-trading items as defined in the Group's accounting policy.

Illustrative constant exchange rate report on selected financial data – annexure 1 continued

	June 2025 (at 2025 average rates) R'million	Recalculated illustrative constant exchange rate June 2024 (at 2025 average rates) R'million	Change %
Group revenue segmental analysis			
Commercial Pharmaceuticals by customer geography	32 216	29 190	10
Africa Middle East	10 086	8 914	13
Americas	6 826	5 855	17
Australasia	5 748	5 651	2
Asia	4 850	3 991	22
Europe CIS	4 706	4 779	(2)
Manufacturing by geography of manufacture	5 099	5 122	0
Finished dose form	4 159	4 033	3
Europe CIS	563	749	(25)
Australasia	250	210	19
Africa Middle East	110	97	13
Asia	17	33	(48)
Active pharmaceutical ingredients	4 718	4 981	(5)
Europe CIS	4 487	4 716	(5)
Africa Middle East	231	265	(13)
Heparin	1 330	3 684	(64)
Europe CIS	1 330	3 684	(64)
Total Manufacturing	11 147	13 787	(19)
Total revenue	43 363	42 977	1
Summary of regions			
Europe CIS	14 682	17 212	(15)
Africa Middle East	10 567	9 389	13
Americas	6 843	5 888	16
Australasia	6 311	6 400	(1)
Asia	4 960	4 088	21
Total revenue	43 363	42 977	1

Commercial Pharmaceuticals therapeutic area analysis

	June 2025 (at 2025 average rates)			
	Prescriptions R'million	OTC R'million	Injectables R'million	Total R'million
By customer geography				
Africa Middle East	4 569	3 746	1 771	10 086
Americas	3 320	1 329	2 177	6 826
Australasia	2 377	2 448	923	5 748
Asia	1 210	316	3 324	4 850
Europe CIS	1 043	1 973	1 690	4 706
Total Commercial Pharmaceuticals	12 519	9 812	9 885	32 216

Recalculated illustrative constant exchange rate June 2024 (at 2025 average rates)

	Prescriptions R'million	OTC R'million	Injectables R'million	Total R'million
By customer geography				
Africa Middle East	4 185	3 534	1 195	8 914
Americas	2 483	1 281	2 091	5 855
Australasia	2 506	2 327	818	5 651
Asia	680	282	3 029	3 991
Europe CIS	972	1 939	1 868	4 779
Total Commercial Pharmaceuticals	10 826	9 363	9 001	29 190

	Change			
	Prescriptions %	OTC %	Injectables %	Total %
By customer geography				
Africa Middle East	9	6	48	13
Americas	34	4	4	17
Australasia	(5)	5	13	2
Asia	78	12	10	22
Europe CIS	7	2	(10)	(2)
Total Commercial Pharmaceuticals	16	5	10	10

Unaudited share statistics

ANALYSIS OF SHAREHOLDERS AT 30 JUNE 2025

	Number of shareholders	% of shareholders	Number of shares	% of total shareholding
Ordinary shares				
Size of holding				
1 – 2 500	38 640	92,5	11 553 663	2,6
2 501 – 12 500	1 945	4,7	9 950 355	2,2
12 501 – 25 000	360	0,9	6 471 017	1,5
25 001 – 50 000	260	0,6	9 203 158	2,1
50 001 and over	551	1,3	409 074 139	91,6
	41 756	100,0	446 252 332	100,0

SHAREHOLDERS' SPREAD

As required by paragraph 8.63 and in terms of paragraph of 4.25 of the JSE Listings Requirements, the spread of the ordinary shareholding at close of business 30 June 2025 was as follows:

	Number of shareholders	Number of shares	% of total shareholding
Non-public shareholders	11	151 365 422	33,9
Directors of the Company and directors of material subsidiaries	9	59 096 599	13,2
Government Employees Pension Fund ("GEPF")	1	90 039 044	20,2
Employee share trusts – treasury shares	1	2 229 779	0,5
Public shareholders	41 745	294 886 910	66,1
Total shareholding	41 756	446 252 332	100,0
Public shareholders (including the GEPF)	41 746	384 925 954	86,3

MAJOR SHAREHOLDERS

Top 10 institutional shareholders

According to the register of shareholders at 30 June 2025, the following are the top 10 registered institutional shareholders:

	Number of shares	% of total shareholding
Institutional shareholder		
Public Investment Corporation	84 306 416	18,9
Coronation	30 095 270	6,7
Strate Street Bank Nominees	24 285 435	5,4
Allan Gray	20 089 482	4,5
Vanguard	14 299 852	3,2
Citi Nominees	12 609 528	2,8
Bank of New York Mellon Nominees	8 839 797	2,0
Foord	7 713 391	1,7
Old Mutual	6 016 194	1,3
Sanlam	5 883 989	1,3
	214 139 354	47,8

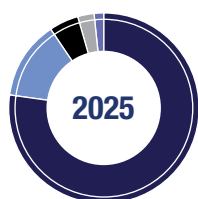
MAJOR SHAREHOLDERS CONTINUED

Top 10 beneficial shareholders

According to the register of shareholders at 30 June 2025, the following are the top 10 registered beneficial shareholders.

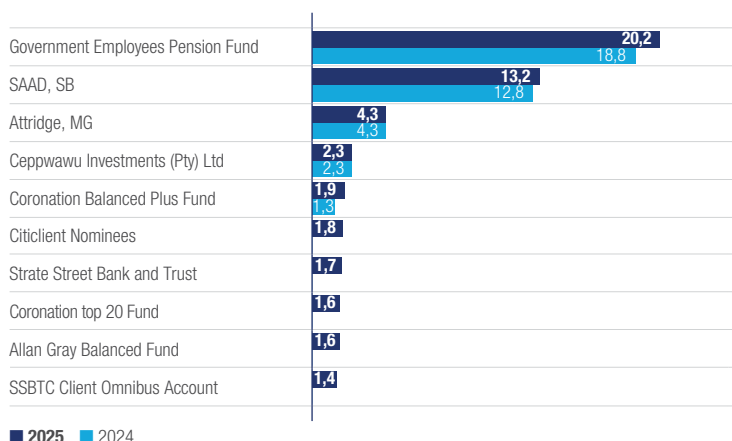
Shareholder	Number of shares	% of total shareholding
Government Employees Pension Fund	90 039 044	20,2
Saad, SB	58 797 851	13,2
Attridge, MG	19 063 476	4,3
Ceppwawu Investments (Pty) Ltd	10 053 368	2,3
Coro Balanced Plus Fund – COBP	8 270 987	1,9
Citiclient Nominees No 8 NY GW	7 864 587	1,8
Strate Street Bank and Trust	7 788 060	1,7
Coronation Top 20 Fund – COTTF	7 180 493	1,6
Allan Gray Balanced Fund	7 143 518	1,6
SSBTC Client Omnibus Account	6 343 004	1,4
	222 544 388	50,0

Beneficial shareholders – country (%)

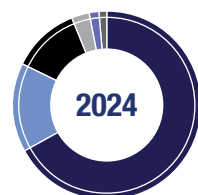


South Africa	77,3
United States of America	13,4
Various other	5,1
United Kingdom	2,7
Belgium	1,5

Top 10 beneficial shareholders (%)

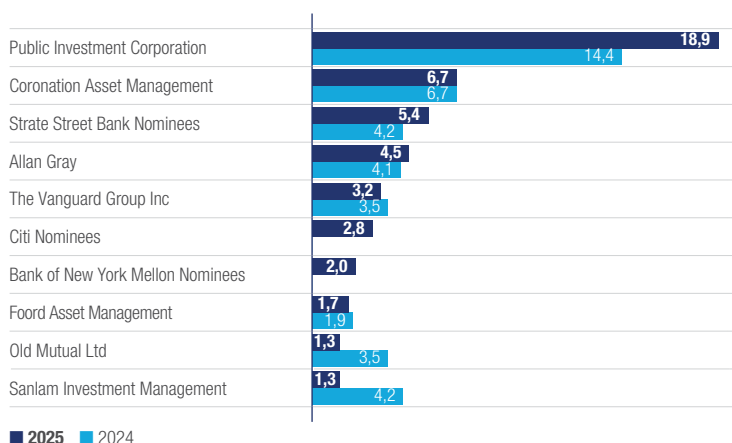


Beneficial shareholders – country (%)



South Africa	67,0
United States of America	15,4
Various other	11,5
United Kingdom	3,2
Belgium	1,6
Ireland	1,3

Top 10 institutional shareholders (%)



Percentages for top 10 beneficial shareholders and top 10 institutional shareholders reflected above are as a percentage of the total issued share capital of the Company.

FY2025 data was obtained from an independent external source.

Administration

Group Company Secretary

Raeesa Khan

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Registration number

1985/002935/06

Share code

APN ISIN: ZAE 000066692
APN Legal Entity Identifier ("LEI"): 635400ZYSN1IRD5QWQ94

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Sponsors

Investec Bank Limited

Transfer secretaries

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Disclaimer

We may make statements that are not historical facts and relate to analyses and other information based on forecasts of future results and estimates of amounts not yet determinable. These are forward looking statements as defined in the U.S. Private Securities Litigation Reform Act of 1995. Words such as "prospects", "believe", "anticipate", "expect", "intend", "seek", "will", "plan", "indicate", "could", "may", "endeavour" and "project", and similar expressions, are intended to identify such forward looking statements, but are not the exclusive means of identifying such statements.

By their very nature, forward looking statements involve inherent risks and uncertainties, both general and specific, and there are risks that predictions, forecasts, projections and other forward looking statements will not be achieved. If one or more of these risks materialise, or should underlying assumptions prove incorrect, actual results may be very different from those anticipated.

The factors that could cause our actual results to differ materially from the plans, objectives, expectations, estimates and intentions expressed in such forward looking statements are discussed in each year's Annual Report.

Forward looking statements apply only as of the date on which they are made, and we do not undertake, other than in terms of the Listings Requirements of the JSE Limited, any obligation to update or revise any of them, whether as a result of new information, future events or otherwise.



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